CONSTRUCTION-TO-MINI-PERMANENT LOAN AGREEMENT

The Piedmont at Brightleaf — 601 and 615 Foster Street, Durham, North Carolina 27701 — Pinnacle Savings Bank, N.A. Loan No. CRE-2025-0342

DRAFT OF JANUARY 30, 2025 — FOR DISCUSSION PURPOSES ONLY — PRIVILEGED AND CONFIDENTIAL — ATTORNEY WORK PRODUCT. This draft has been prepared by Ashford, Cromdale Consulting & Laine LLP from (i) the executed Term Sheet dated January 10, 2025, (ii) the Senior Loan Committee Credit Memorandum dated January 22, 2025 (Loan No. CRE-2025-0342), (iii) the appraisal of Ridgeline Appraisal Services Inc. dated November 15, 2024, (iv) the Commitment for Title Insurance of Aldersgate Title & Escrow Inc., Commitment No. NC-2024-88712, dated December 5, 2024, (v) the Phase I Environmental Site Assessment excerpt of Sentinel Environmental Consulting LLC dated October 28, 2024, (vi) the Borrower organizational chart and operating agreement excerpts delivered by Calloway & Strauss PLLC, and (vii) the construction budget and draw schedule workbook dated January 8, 2025. Four items remain to be conformed at or before closing and are bracketed or cross-referenced in the text: (1) the legal description in **Exhibit A** (to be conformed to the ALTA/NSPS Survey and the final title policy), (2) the Required Equity Contribution and the Refinancing Payoff amount shown on the Closing Statement (see **Section 2.4** and **Section 12.4**), (3) the final recorded amount of the Note, and (4) the Draw Schedule in **Exhibit C**, which supersedes the draw schedule attached to the Term Sheet. All material discrepancies among the source documents are identified in the accompanying Cover Memorandum of even date.

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This **CONSTRUCTION-TO-MINI-PERMANENT LOAN AGREEMENT** (this "**Agreement**") is made and entered into as of February 28, 2025 (the "**Effective Date**"), by and among **PINNACLE SAVINGS BANK, N.A.**, a nationally chartered savings bank organized and existing under the laws of the United States and regulated by the Office of the Comptroller of the Currency, with its principal office at 215 South Tryon Street, 18th Floor, Charlotte, North Carolina 28202 ("**Lender**"); **HARBORVIEW CAPITAL PARTNERS LLC**, a North Carolina limited liability company, with its principal office at 400 West Main Street, Suite 310, Durham, North Carolina 27701 ("**Borrower**"); and **ELENA VASQUEZ-TORRES**, an individual resident of Durham, North Carolina, and **REGINALD K. OSEI**, an individual resident of Chapel Hill, North Carolina (each, a "**Guarantor**" and, collectively, the "**Guarantors**"), who join in this Agreement for the limited purposes set forth in **Article 30**.

RECITALS

A. Borrower is the owner in fee simple of two contiguous parcels of real property located at 601 and 615 Foster Street, Durham, Durham County, North Carolina 27701, identified on the records of the Durham County Tax Administration as Parcel Identification Numbers 0821-04-72-3341 and 0821-04-72-4102, containing in the aggregate approximately 3.47 acres (the "**Land**").

B. Borrower has requested that Lender make available to Borrower a construction-to-mini-permanent loan in the principal amount of Forty-Seven Million Five Hundred Thousand and No/100 Dollars ($47,500,000) to finance a portion of the

costs of constructing, on the Land, a six-story Class A mixed-use development consisting of 212 residential units (142 one-bedroom, 56 two-bedroom and 14 three-bedroom units), approximately 18,400 square feet of ground-floor retail space in seven retail bays, and a four-level structured parking garage containing 276 parking spaces, together with related amenities and site improvements (collectively, the "**Project**").

C. The Project is to be constructed by Graystone Construction Group Inc., a North Carolina corporation (NC General Contractor License No. 78442) (the "**Contractor**"), pursuant to a guaranteed maximum price construction contract in the guaranteed maximum price amount of $34,750,000 (as amended, supplemented and assigned from time to time in accordance with this Agreement, the "**GMP Contract**"), and has been designed by Meridian Design Collective PC, a North Carolina professional corporation (the "**Architect**").

D. Borrower has advised Lender that Brightleaf Mezzanine Capital LLC, a North Carolina limited liability company (NC Secretary of State File No. 2103988) (the "**Mezzanine Lender**"), has made or will make a mezzanine loan to Borrower in the original principal amount of $9,200,000 (the "**Mezzanine Loan**"), secured by a pledge of one hundred percent (100%) of the membership interests in Borrower, which Mezzanine Loan is to be governed by the Intercreditor Agreement described herein.

E. The Land was formerly improved with tobacco warehouse structures that were demolished in August 2024, and petroleum contamination associated with a former underground storage tank located in the northeast corner of Parcel 0821-04-72-4102 has been investigated pursuant to a Phase II Environmental Site Assessment dated August 2024 and remediated in September 2024 under the oversight of the North Carolina Department of Environmental Quality, Inactive Hazardous Sites Branch, which issued a conditional No Further Action determination letter dated September 30, 2024 for Site ID IHSB-24-1203 / Incident No. NONUST-24-0847.

F. The Loan is being made on the basis of, among other things, the Appraisal, the Phase I ESA, the NFA Letter, the Title Commitment and the other Due Diligence Items described in this Agreement, and is subject to the conditions precedent set forth in **Article 9** and in the other Loan Documents.

G. Each Guarantor has agreed to execute and deliver the Completion Guaranty, the Carry Guaranty, the Partial Repayment Guaranty and the Environmental Indemnity, in each case as more particularly described in **Article 13**.

NOW, THEREFORE, in consideration of the mutual covenants contained herein and other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties, intending to be legally bound, agree as follows:

ARTICLE 1 — DEFINITIONS AND INTERPRETATION

Section 1.1 Defined Terms

The following terms have the meanings set forth below. Terms defined elsewhere in this Agreement have the meanings assigned to them in the provision in which they are defined.

"**Advance**" means any disbursement of Loan proceeds by Lender under this Agreement, including the Closing Advance and each Progress Advance.

"**Affected Area**" means the approximately 0.38-acre area in the northeast corner of Parcel 0821-04-72-4102 identified in the Phase II ESA and the NFA Letter as the area in which residual petroleum contamination remains in soil at concentrations that exceed the NCDEQ Preliminary Soil Remediation Goals for residential land use, and as further delineated on the ALTA/NSPS Survey and in the Soil Management Plan.

"**Affiliate**" means, with respect to any Person, any other Person that directly or indirectly controls, is controlled by, or is under common control with such Person, and, with respect to any individual, any member of such individual's immediate family and any trust or entity established for the primary benefit of such individual or such family members. For the avoidance of doubt, Brightleaf Investors Group LLC, Brightleaf Mezzanine Capital LLC and Thomas R. Chen are Affiliates of one another and of Borrower.

"**ALTA/NSPS Survey**" means the current ALTA/NSPS Land Title Survey of the Property described in **Section 21.3**.

"**Anti-Corruption Laws**" means the U.S. Foreign Corrupt Practices Act of 1977, as amended, all other applicable anti-bribery and anti-corruption laws, and all applicable sanctions regimes administered by OFAC.

"**Applicable Rate**" means the Construction Rate at all times during the Construction Period and the Mini-Perm Rate at all times during the Mini-Perm Period (in each case subject to **Section 3.4** during the continuance of an Event of Default).

"**Appraisal**" means the self-contained appraisal report of the Property dated November 15, 2024, prepared by Ridgeline Appraisal Services Inc. (Linda M. Haverford, MAI; Ridgeline File No. RAS-2024-1147), concluding an as-is land value of $8,900,000, an as-completed value of $72,800,000 and an as-stabilized value of $76,200,000, together with any reappraisal or update obtained pursuant to **Section 16.9**.

"**Approved Budget**" means the Project budget and sources and uses statement attached as **Exhibit B**, as the same may be revised from time to time with Lender's

prior written consent in accordance with **Section 11.5**. As of the Effective Date the Approved Budget reflects Total Project Costs of $56,700,000.

"**Approved Change Order**" means a change order to the GMP Contract approved in accordance with **Section 10.3**.

"**Approved Fund**" means any Person (other than a natural person) that is engaged in making, purchasing, holding or investing in bank loans and similar extensions of credit in the ordinary course of its business and that is administered or managed by (a) Lender, (b) an Affiliate of Lender, or (c) an entity or an Affiliate of an entity that administers or manages Lender.

"**Approved Leasing Guidelines**" means the leasing guidelines (including rental rates, concessions, lease forms and approval thresholds) approved by Lender prior to the execution of the first lease of any portion of the Project.

"**Architect**" has the meaning set forth in Recital C.

"**As-Completed Value**" means the "as-completed" market value of the Property as most recently determined in the Appraisal (being $72,800,000 as of the Effective Date).

"**As-Stabilized Value**" means the "as-stabilized" market value of the Property assuming ninety-five percent (95%) occupancy, as most recently determined in the Appraisal (being $76,200,000 as of the Effective Date).

"**Bankruptcy Code**" means Title 11 of the United States Code, as amended, and any successor statute, together with all rules and regulations promulgated thereunder.

"**Benchmark Replacement**" means the successor rate, and associated spread adjustment and conforming changes, determined in accordance with **Section 3.6**.

"**Borrower**" has the meaning set forth in the preamble.

"**Borrowing Base Availability**" means, at any time of determination, the maximum aggregate principal amount of the Loan permitted to be outstanding under **Section 2.4(a)**, being the lesser of (a) the Commitment, (b) eighty percent (80%) of Total Project Costs as then reflected in the Approved Budget, and (c) sixty-five percent (65%) of the most recent As-Completed Value.

"**Business Day**" means any day other than a Saturday, a Sunday or a day on which commercial banks in Charlotte, North Carolina or New York, New York are authorized or required by law to close; and, when used with respect to Daily Simple SOFR, any day that is also a U.S. Government Securities Business Day.

"**Carry Guaranty**" has the meaning set forth in **Section 13.2**.

"**Casualty**" means any casualty, damage, destruction or loss affecting the Property or the Project.

"**Closing**" means the initial funding of the Loan on the Closing Date.

"**Closing Advance**" means the initial Advance made on the Closing Date in accordance with Draw 1 of the Draw Schedule.

"**Closing Date**" means February 28, 2025, or such other date as Lender and Borrower may agree in writing upon satisfaction of the conditions set forth in **Article 9**.

"**Code**" means the Internal Revenue Code of 1986, as amended.

"**Combined DSCR**" means, as of any date of determination, the ratio of (a) Stabilized NOI to (b) Total Debt Service.

"**Commitment**" means Forty-Seven Million Five Hundred Thousand and No/100 Dollars ($47,500,000), as such amount may be reduced in accordance with **Section 2.4**, **Section 7.2**, **Section 7.3** or **Section 9.3**.

"**Completion Guaranty**" has the meaning set forth in **Section 13.1**.

"**Construction Delay Default**" has the meaning set forth in **Section 24.9**.

"**Construction Maturity Date**" means August 28, 2027, subject to adjustment as provided in **Section 6.1**.

"**Construction Period**" means the period from and including the Closing Date to but excluding the Construction Maturity Date.

"**Construction Rate**" means, for any day, a rate per annum equal to the sum of (a) Daily Simple SOFR for such day (but not less than the SOFR Floor) plus (b) three and twenty-five one-hundredths percent (3.25%).

"**Contractor**" has the meaning set forth in Recital C.

"**Daily Simple SOFR**" means, for any day, SOFR, with the conventions for this rate (including any day-count convention, rounding convention and lookback convention) being established by Lender in accordance with the conventions for this rate selected or recommended by the Relevant Governmental Body for syndicated business loans; *provided* that if Lender determines that no such conventions are available, Lender shall apply the conventions then applicable to substantially similar facilities administered by Lender. Daily Simple SOFR shall be determined on the basis of the SOFR rate published for the applicable U.S. Government Securities Business Day, and, where the applicable day is not a U.S. Government Securities Business Day, the SOFR rate for the immediately preceding U.S. Government Securities Business Day.

"**Deed Notice**" means the notice of residual contamination and land use restriction required to be recorded in the Durham County Registry of Deeds pursuant to Condition 4 of the NFA Letter.

"**Deed of Trust**" means the Deed of Trust, Assignment of Rents, Security Agreement and Fixture Filing dated as of the Closing Date, executed by Borrower for the benefit of Lender, encumbering the Property, as the same may be amended, restated, supplemented or assigned from time to time.

"**Default**" means any event or condition that, with the giving of notice, the passage of time, or both, would constitute an Event of Default.

"**Default Rate**" means a rate per annum equal to the Applicable Rate plus five percent (5.00%).

"**Defect**" means any defect, deficiency, error, omission or nonconformity in the design, materials, workmanship, construction or completion of the Project, or any failure of the Project to comply with the Plans and Specifications, the GMP Contract, any permit or any Legal Requirement.

"**Developer Fee**" means the developer fee of $2,835,000 reflected in the Approved Budget (line item 5.01), payable to Borrower in accordance with **Section 11.6** and the Draw Schedule.

"**Development Documents**" means the GMP Contract, the Architect's Agreement, the Plans and Specifications, and all other construction, design, consulting, geotechnical, environmental-remediation-closeout and construction-management agreements relating to the Project.

"**Disbursement Agent**" means Aldersgate Title & Escrow Inc. (Escrow Officer: Patricia Langley), in its capacity as issuing title company and escrow agent, or such other title company as Lender may approve.

"**DSCR**" means, as of any date of determination, the ratio of (a) Stabilized NOI to (b) Senior Debt Service.

"**Due Diligence Items**" means the Appraisal, the Phase I ESA, the Phase II ESA, the NFA Letter, the Title Commitment, the ALTA/NSPS Survey, the Zoning Report, the property condition and geotechnical reports, and the other third-party reports identified in the Credit Memorandum.

"**Eligible Assignee**" means (a) Lender, (b) an Affiliate of Lender, (c) an Approved Fund, or (d) any other Person (other than a natural person) approved by Lender and, so long as no Event of Default exists, approved by Borrower (such approval not to be unreasonably withheld or delayed); *provided* that Borrower's approval shall not be required at any time during the continuance of a Default or an Event of Default.

"**Environmental Indemnity**" means the Environmental Indemnity Agreement described in **Section 13.5**.

"**Environmental Laws**" means all federal, state and local statutes, ordinances, rules, regulations, orders, directives, guidance documents having the force of law, permits, licenses and judgments relating to pollution, the protection of human health or the environment, or the use, generation, storage, treatment, transportation, disposal, release or threatened release of Hazardous Materials, including CERCLA (42 U.S.C. §9601 *et seq.*), the Resource Conservation and Recovery Act (42 U.S.C. §6901 *et seq.*), the Clean Water Act, the Clean Air Act, the Toxic Substances Control Act, N.C.G.S. Chapter 130A (including Part 7 thereof), N.C.G.S. Chapter 143, Article 21A (Oil Pollution and Hazardous Substances Control Act), N.C.G.S. Chapter 143B, Article 9 (Sedimentation Pollution Control Act), and all rules of NCDEQ, in each case as amended.

"**Equity Contribution**" means any contribution to the capital of Borrower in the form of cash or (to the extent permitted by **Section 2.4**) contributed real property, made by the members of Borrower in accordance with the Approved Budget and this Agreement.

"**Equity Escrow Account**" has the meaning set forth in **Section 2.4(c)**.

"**Event of Default**" has the meaning set forth in **Article 24**.

"**Extended Maturity Date**" means February 28, 2029, being the date that is twelve (12) months after the Construction Maturity Date plus the six (6) month extension contemplated by **Section 6.2**.

"**Extension Option**" has the meaning set forth in **Section 6.2**.

"**Final Completion**" means the date on which each of the following has occurred: (a) Substantial Completion of the entire Project; (b) issuance of a final, unconditional certificate of occupancy (or equivalent certificate of completion) for all residential units, all retail bays and the parking garage by the City of Durham; (c) expiration of all applicable lien periods under N.C.G.S. Chapter 44A without the filing of any claim of lien, or bonding off or release of any claim of lien so filed; (d) delivery of final unconditional lien waivers and releases from the Contractor, the Architect and all subcontractors and materialmen; (e) delivery of the as-built Plans and Specifications, warranties, guaranties and operating manuals; (f) completion of all Punchlist Items; and (g) delivery of all close-out items described in **Section 10.8** and **Exhibit E**.

"**Financial Covenants**" means the covenants set forth in **Article 16**.

"**Fiscal Quarter**" means each fiscal quarter of Borrower.

"**Fiscal Year**" means each fiscal year of Borrower, ending December 31.

"**GAAP**" means generally accepted accounting principles in the United States, consistently applied.

"**GMP Contract**" has the meaning set forth in Recital C.

"**Governmental Authority**" means the United States, the State of North Carolina, the City of Durham, Durham County, and any department, agency, commission, board, bureau, court, tribunal or instrumentality of any of the foregoing, including NCDEQ, the OCC and the City of Durham Inspections Department.

"**Guaranties**" means, collectively, the Completion Guaranty, the Carry Guaranty, the Partial Repayment Guaranty and the Environmental Indemnity.

"**Guarantor**" and "**Guarantors**" have the meanings set forth in the preamble.

"**Hazardous Materials**" means any hazardous substance, hazardous waste, hazardous material, pollutant, contaminant, petroleum product or petroleum derivative, underground or aboveground storage tank, asbestos-containing material, polychlorinated biphenyl, radon gas, per- and polyfluoroalkyl substance, or other substance, material or waste defined, regulated or listed as hazardous or toxic under any Environmental Laws, including the residual petroleum contamination described in the Phase I ESA and the NFA Letter.

"**HVCRE**" means "high volatility commercial real estate" within the meaning of 12 C.F.R. Part 3, Subpart D (or any successor capital rule applicable to Lender).

"**Indemnified Party**" has the meaning set forth in **Section 26.1**.

"**Independent Manager**" has the meaning set forth in **Section 18.2**.

"**Intercreditor Agreement**" means the intercreditor and subordination agreement among Lender, Borrower and the Mezzanine Lender, in form and substance satisfactory to Lender and its counsel, as required by **Section 22.1**.

"**Interest Reserve**" has the meaning set forth in **Section 8.1**.

"**Interest Reserve Account**" has the meaning set forth in **Section 8.1**.

"**Interest Reserve Shortfall**" has the meaning set forth in **Section 8.3**.

"**Legal Requirements**" means all present and future laws, statutes, ordinances, codes, rules, regulations, orders, judgments, decrees, permits, licenses, approvals, variances, covenants, conditions, restrictions and requirements of any Governmental Authority or recorded instrument applicable to the Property, the Project, Borrower or the Loan, including Environmental Laws, the CC&Rs, the NFA Letter and all building, fire, life-safety, accessibility, zoning, stormwater and energy codes.

"**Lender**" has the meaning set forth in the preamble.

"**Lien**" means any mortgage, deed of trust, deed to secure debt, pledge, security interest, hypothecation, assignment, encumbrance, lien (statutory or otherwise), claim of lien, charge or other preferential arrangement of any kind, including any conditional sale or title retention arrangement.

"**Loan**" means the construction-to-mini-permanent loan made by Lender to Borrower under this Agreement in the principal amount of the Commitment.

"**Loan Documents**" means this Agreement, the Note, the Deed of Trust, the Assignment of Rents and Leases, the Security Agreement, the UCC-1 financing statements, the Assignments of Development Documents, the Collateral Assignments of Insurance and Condemnation Proceeds, the Pledge Agreements, each Pledged Account Agreement, the Guaranties, the Environmental Indemnity, the Intercreditor Agreement, the Non-Consolidation Opinion, and each other document, instrument, certificate or agreement executed and delivered in connection with the Loan, as any of the foregoing may be amended, restated, supplemented or replaced from time to time.

"**Loan-to-Cost Ratio**" or "**LTC**" means, at any time of determination, the ratio (expressed as a percentage) of the outstanding principal balance of the Loan to Total Project Costs as then reflected in the Approved Budget.

"**Loan-to-Value Ratio**" or "**LTV**" means, at any time of determination, the ratio (expressed as a percentage) of the outstanding principal balance of the Loan to (a) before Substantial Completion, the As-Completed Value, and (b) thereafter, the As-Stabilized Value, in each case based on the most recent Appraisal.

"**Material Adverse Effect**" means a material adverse effect on (a) the business, assets, liabilities, financial condition, operations or prospects of Borrower, any Guarantor or the Project, (b) the value, marketability, condition or occupancy of the Property, (c) the ability of Borrower or any Guarantor to perform its obligations under the Loan Documents, or (d) the validity, enforceability, perfection or priority of any Lien granted to Lender.

"**Maturity Date**" means the Construction Maturity Date, unless the Mini-Perm Period applies, in which case the Mini-Perm Maturity Date, and, if the Extension Option is validly exercised, the Extended Maturity Date.

"**Mezzanine Debt Service**" means, for any period, all interest (whether payable in cash or, to the extent accrued, paid-in-kind), principal, fees and other amounts that are due and payable (or, in the case of paid-in-kind interest, accrued) on the Mezzanine Loan during such period.

"**Mezzanine Loan**" has the meaning set forth in Recital D.

"**Mini-Perm Maturity Date**" means August 28, 2028.

"**Mini-Perm Period**" means, if Borrower satisfies the conditions set forth in **Section 6.1(b)** (or Lender otherwise consents in writing), the period from and including the Construction Maturity Date through the earlier of (a) the Mini-Perm Maturity Date (or the Extended Maturity Date, if the Extension Option is exercised) and (b) the Maturity Date.

"**Mini-Perm Rate**" means, for any day, a rate per annum equal to the sum of (a) Daily Simple SOFR for such day (but not less than the SOFR Floor) plus (b) three and one-half percent (3.50%).

"**NCDEQ**" means the North Carolina Department of Environmental Quality, Inactive Hazardous Sites Branch, or any successor agency.

"**Net Proceeds**" means, with respect to any casualty, condemnation, sale, transfer or other event, the gross proceeds thereof less the reasonable costs and expenses incurred in connection therewith (including repair, demolition, remediation and sale costs, brokerage commissions, transfer taxes and legal fees) and less any amounts applied to the payment of prior Liens (other than the Loan) as required by applicable law or the terms of such Liens.

"**NFA Letter**" means the conditional No Further Action determination letter issued by NCDEQ on September 30, 2024 with respect to Site ID IHSB-24-1203 / Incident No. NONUST-24-0847, including Conditions 1 through 4 described in **Exhibit E**.

"**Non-Consolidation Opinion**" has the meaning set forth in **Section 18.3**.

"**Note**" means the promissory note of Borrower payable to the order of Lender in the original principal amount of the Commitment, evidencing the Loan.

"**Obligations**" means all present and future obligations and liabilities of Borrower and each Guarantor to Lender under the Loan Documents, whether for principal, interest, fees, expenses, indemnities, costs or otherwise, whether direct or indirect, absolute or contingent, now existing or hereafter arising, and whether or not evidenced by any note or other instrument.

"**OFAC**" means the U.S. Department of the Treasury's Office of Foreign Assets Control.

"**Operating Agreement**" means the Amended and Restated Operating Agreement of Borrower dated as of March 14, 2019, as amended through the Closing Date (including the amendments required by **Article 18**), as the same may be further amended in accordance with this Agreement.

"**Outside Completion Date**" means the date that is ninety (90) days after the Construction Maturity Date.

"**Partial Repayment Guaranty**" has the meaning set forth in **Section 13.3**.

“**Partial Repayment Guaranty Amount**” means $11,875,000, being twenty-five percent (25%) of the original principal amount of the Loan.

“**Permitted Exceptions**” means the exceptions to title set forth in **Exhibit D**, together with such other exceptions as Lender may approve in writing.

“**Permitted Indebtedness**” means: (a) the Obligations; (b) the Mezzanine Loan in an original principal amount not to exceed $9,200,000 (plus paid-in-kind interest, fees and enforcement costs accrued thereon in accordance with the mezzanine loan documents as approved by Lender); (c) trade payables incurred in the ordinary course of business and not yet delinquent; (d) customary equipment leases entered into in the ordinary course of business not exceeding $100,000 in the aggregate at any time outstanding; and (e) any other indebtedness approved in writing by Lender.

“**Person**” means any individual, corporation, partnership, limited liability company, joint venture, association, trust, unincorporated organization, Governmental Authority or other entity.

“**Phase I ESA**” means the Phase I Environmental Site Assessment of the Property dated October 28, 2024, prepared by Sentinel Environmental Consulting LLC (Sentinel Project No. SEC-2024-1147).

“**Phase II ESA**” means the Phase II Environmental Site Assessment of the Property dated August 2024, prepared by Sentinel Environmental Consulting LLC (Sentinel Project No. SEC-2024-1089).

“**Plans and Specifications**” means the plans, drawings, specifications, details and other design documents for the Project prepared by the Architect and approved by Lender in accordance with **Section 10.2**.

“**Pledge Agreements**” means the pledge and security agreements pursuant to which Borrower’s members pledge one hundred percent (100%) of the membership interests in Borrower to Lender (subject to the lien subordination provisions of the Intercreditor Agreement).

“**Pledged Account Agreement**” means an account control agreement, in form satisfactory to Lender, establishing Lender’s control over the Interest Reserve Account, the Equity Escrow Account, the Retainage Account (if any) and any other pledged account.

“**Progress Advance**” means any Advance other than the Closing Advance and other than the release of Retainage under Draw 9.

“**Project**” has the meaning set forth in Recital B.

“**Property**” means the Land, the Improvements, all fixtures and appurtenances, all Development Documents, all personal property and general intangibles used in

connection with the Project, all permits and approvals, all leases and rents, and all proceeds of the foregoing.

"**Punchlist Items**" means the items of incomplete or corrective work identified by Lender, the Architect, the Contractor, the construction inspector and the City of Durham in connection with Substantial Completion, the aggregate cost of which does not exceed $500,000 and which do not impair the occupancy, use or value of the Project.

"**Recourse Triggers**" has the meaning set forth in **Section 13.4**.

"**Refinancing Payoff**" means the amount required to satisfy in full, and to cause to be released of record, the deed of trust dated September 14, 2018 recorded in Book 6215, Page 892, Durham County Registry, from Foster Street Properties LLC to the trustee named therein for the benefit of Triangle Commercial Bank, securing an original indebtedness of $3,400,000 (the "**Prior Deed of Trust**"), together with all accrued interest, fees, prepayment premiums, per diem interest through the Closing Date and the costs of recordation of the cancellation or certificate of satisfaction.

"**Release**" means any release, spill, emission, leaking, pumping, pouring, dumping, emptying, injection, deposit, disposal, discharge, dispersal, leaching or migration of Hazardous Materials into or through the indoor or outdoor environment.

"**Relevant Governmental Body**" means the Board of Governors of the Federal Reserve System (or the Federal Reserve Bank of New York) and/or a committee officially endorsed or convened by the Board of Governors of the Federal Reserve System (or the Federal Reserve Bank of New York), or any successor thereto.

"**Rent Roll**" means a current rent roll of the Property certified by Borrower.

"**Required Equity Contribution**" means, as of the Closing Date, the amount set forth as such on the Closing Statement and approved by Lender, being the amount by which Total Project Costs (as reflected in the Approved Budget, as conformed pursuant to **Section 11.2** to include the Refinancing Payoff) exceed the sum of the Commitment plus the Mezzanine Loan, and in no event less than $2,140,000, all of which must be funded from sources of the type described in **Section 2.4(b)**.

"**Retainage**" means ten percent (10%) of the cost of each hard cost line item of the Approved Budget funded by the Loan, withheld from each Progress Advance and held and released in accordance with **Section 9.3**.

"**Senior Debt Service**" means, for any period, the sum of all payments of interest and principal that would be due on the Loan during such period on the basis of interest-only payments at the Mini-Perm Rate in effect on the date of determination, applied to the outstanding principal balance of the Loan; and, for purposes of any test performed on a pro forma basis, applied to the full Commitment.

“**SOFR**” means the Secured Overnight Financing Rate as published by the Federal Reserve Bank of New York (or a successor administrator) for the applicable U.S. Government Securities Business Day.

“**SOFR Floor**” means one percent (1.00%) per annum.

“**Soil Management Plan**” means the soil management plan for the Affected Area required by Condition 3 of the NFA Letter, approved by NCDEQ prior to any subsurface disturbance in the Affected Area.

“**Stabilization**” means the first date on which the Project has achieved not less than ninety-five percent (95%) physical occupancy of the residential units for two (2) consecutive calendar months.

“**Stabilized NOI**” means, as of any date of determination, (a) for purposes of any covenant test occurring before the first anniversary of the date of Substantial Completion, the stabilized net operating income of the Property set forth in the most recent Appraisal ($4,876,800 per annum as of the Effective Date), and (b) thereafter, the actual net operating income of the Property for the trailing twelve (12) month period then ended (or, if the Project has not been operating for twelve (12) months, the annualized net operating income for the period since Substantial Completion), in each case calculated in accordance with GAAP consistent with the operating statement delivered under **Section 23.2**, excluding any non-recurring items and any income from the Affected Area that is not permitted under the NFA Letter.

“**Subsidiary**” means any Person in which Borrower owns, directly or indirectly, more than fifty percent (50%) of the equity or voting interests. Borrower represents that it has no Subsidiaries as of the Effective Date.

“**Substantial Completion**” means substantial completion of the Project within the meaning of the GMP Contract, evidenced by (a) a certificate of substantial completion from the Architect, (b) the issuance of a temporary or final certificate of occupancy for all residential units, retail bays and the parking garage by the City of Durham, and (c) Lender’s receipt of a third-party inspector’s certification to that effect.

“**Term Sheet**” means the term sheet dated January 10, 2025 between Lender and Borrower, as accepted by Borrower.

“**Title Commitment**” means the Commitment for Title Insurance issued by Aldersgate Title & Escrow Inc., Commitment No. NC-2024-88712, effective December 5, 2024, as updated.

“**Title Policy**” means the ALTA Loan Policy (2006 form, as modified) issued by the Disbursement Agent in favor of Lender in an amount not less than the Commitment, insuring the Deed of Trust as a valid first priority lien on the

Property, subject only to the Permitted Exceptions, together with such endorsements as Lender may require.

"**Total Debt Service**" means, for any period, the sum of Senior Debt Service and Mezzanine Debt Service for such period.

"**Total Project Costs**" means the aggregate of all costs and expenses incurred or to be incurred in connection with the acquisition, development, construction and completion of the Project, as set forth in the Approved Budget, including all hard costs, soft costs, financing costs, the Interest Reserve, the Developer Fee, contingency, and the Refinancing Payoff.

"**UCC**" means the Uniform Commercial Code as in effect in the State of North Carolina.

"**Unavoidable Delay**" means any delay in the construction of the Project caused by acts of God, fire, flood, hurricane, earthquake, war, terrorism, civil disturbance, epidemic, governmental moratorium, unusually severe weather, or the wrongful act or default of a party other than Borrower, the Contractor, the Architect or any of their respective Affiliates or subcontractors, in each case not caused by the negligence or willful misconduct of Borrower, the Contractor or the Architect, and as to which Borrower has delivered written notice to Lender within ten (10) Business Days after the commencement of such delay.

"**U.S. Government Securities Business Day**" means any day other than a Saturday, Sunday or day on which the Securities Industry and Financial Markets Association recommends that the fixed income departments of its members be closed for the entire day for purposes of trading in U.S. government securities.

"**Vapor Mitigation System**" means the passive sub-slab depressurization system, with the capability of conversion to an active depressurization system, required by Condition 1 of the NFA Letter to be installed beneath any enclosed structure constructed over the Affected Area.

"**Zoning Report**" means the zoning compliance letter or report from the City of Durham confirming that the Project is permitted as of right in the MU-D (Mixed Use — Downtown) zoning district.

Section 1.2 Interpretation

In this Agreement: (a) headings are for convenience only and do not affect interpretation; (b) the words "include," "includes" and "including" are deemed to be followed by "without limitation"; (c) references to Articles, Sections, Schedules and Exhibits are to Articles and Sections of, and Schedules and Exhibits to, this Agreement, each of which is incorporated herein by reference; (d) "hereof," "herein" and "hereunder" refer to this Agreement as a whole; (e) references to any statute, rule or regulation include any amendment, successor or re-codification

thereof and the rules and regulations promulgated thereunder; (f) references to any document include such document as amended, restated, supplemented or otherwise modified from time to time in accordance with its terms and, where applicable, this Agreement; (g) the singular includes the plural and vice versa, and any gender includes all genders; (h) references to "$" or "dollars" are to the lawful currency of the United States; and (i) no presumption shall operate against the party that drafted this Agreement or any Loan Document.

Section 1.3 Accounting Terms; Determinations

All accounting terms not specifically defined herein shall be construed in accordance with GAAP applied on a consistent basis. All determinations of the Applicable Rate, Daily Simple SOFR, the Benchmark Replacement, the Loan-to-Cost Ratio, the Loan-to-Value Ratio, DSCR, Combined DSCR and all other financial calculations shall be made by Lender in its reasonable discretion, in good faith, and shall be conclusive and binding on Borrower absent manifest error.

Section 1.4 Day Count; Rounding

All interest under this Agreement and the Note shall be computed on the basis of actual days elapsed over a 360-day year. Any change in the Applicable Rate resulting from a change in Daily Simple SOFR shall become effective automatically on the day of such change, without notice to Borrower. Any determination of a rate of interest that would otherwise result in a fraction of one one-hundredth of one percent (0.01%) shall be rounded upward to the nearest one one-hundredth of one percent.

ARTICLE 2 — THE LOAN

Section 2.1 Commitment and Obligation to Advance

Subject to the terms and conditions of this Agreement and the other Loan Documents, Lender agrees to make Advances to Borrower from time to time during the Construction Period (and, in the case of the Retainage release and the final portion of the Developer Fee, during the Mini-Perm Period) in an aggregate principal amount not to exceed at any time outstanding the Borrowing Base Availability, and in an aggregate principal amount not to exceed the Commitment. The Loan is a fully committed construction-to-mini-permanent facility. The Loan is **not** a revolving credit facility, and no amount repaid or prepaid may be reborrowed.

Section 2.2 Purpose

The proceeds of the Loan shall be used solely (a) to pay or reimburse the hard costs, soft costs and financing costs of the Project set forth in the Approved Budget

to the extent allocated to the Loan in the Approved Budget, (b) to fund the Interest Reserve, (c) to pay the Origination Fee to the extent permitted by **Section 5.1**, and (d) to pay such other costs of the Project as Lender may approve in writing. No proceeds of the Loan shall be used (i) to pay any distribution to any member of Borrower other than the Developer Fee to the extent permitted by **Section 11.6**, (ii) to pay any interest, principal, fee or other amount on the Mezzanine Loan, (iii) to pay any cost of the Project that is not set forth in the Approved Budget, (iv) to pay any cost of remediation of Hazardous Materials other than as expressly set forth in the Approved Budget, or (v) for any purpose that would violate any Anti-Corruption Law or any applicable sanctions regime, including those administered by OFAC.

Section 2.3 Advances; Draw Schedule

The Loan shall be advanced in stages in accordance with the milestones, percentages of completion and amounts set forth in the Draw Schedule attached as **Exhibit C** (which supersedes the draw schedule set forth in Section 9.2 of the Term Sheet). The Draw Schedule is a schedule of anticipated disbursements and does not constitute a commitment by Lender to advance any amount other than in accordance with, and subject to, the conditions of **Article 9**. The aggregate amount of Advances shall not exceed the Commitment, and the final Advance (other than the release of Retainage) shall not exceed the amount necessary to pay the unpaid costs of the Project then due, less the Required Equity Contribution and all amounts funded by the Mezzanine Loan and by Equity Contributions.

Section 2.4 Loan-to-Cost and Loan-to-Value Limitations; Equity Requirement

(a) **Borrowing Base Limitation.** Notwithstanding the Commitment, no Advance shall be made, and Borrower shall not be entitled to any Advance, to the extent that, after giving effect thereto, (i) the outstanding principal balance of the Loan would exceed the Borrowing Base Availability, (ii) the Loan-to-Cost Ratio would exceed eighty percent (80%), or (iii) the Loan-to-Value Ratio would exceed sixty-five percent (65%). Lender's determinations under this Section shall be made in good faith and shall be conclusive absent manifest error.

(b) **Required Equity.** On or before the Closing Date, Borrower shall have funded, and shall deliver evidence satisfactory to Lender (including bank statements, wire confirmations, and a source-of-funds certification in form satisfactory to Lender) of, Equity Contributions in an aggregate amount not less than the Required Equity Contribution. The Required Equity Contribution shall be funded from sources **other than** (i) the Mezzanine Loan or any proceeds thereof, (ii) Brightleaf Mezzanine Capital LLC, Brightleaf Investors Group LLC, Thomas R. Chen, or any Affiliate of any of

the foregoing, (iii) any other financing or refinancing of the Property, or (iv) any borrowing that is secured, directly or indirectly, by the Property or by any interest in Borrower. Lender shall not be obligated to make any Advance (other than the Closing Advance) unless and until the Required Equity Contribution has been deposited and fully applied to Project Costs as contemplated by this Section.

(c) **Equity Escrow Account.** The Required Equity Contribution shall be deposited into a segregated, Lender-controlled account (the "**Equity Escrow Account**") at Closing, shall be applied to Project Costs before any Advance (other than the Closing Advance) is made, and shall be subject to a Pledged Account Agreement. To the extent necessary to cause the outstanding principal balance of the Loan to comply with clause (a) at all times, the Commitment shall be permanently reduced by the amount of the Required Equity Contribution applied to Project Costs that would otherwise have been advanced under the Draw Schedule, and Borrower and Lender shall record the resulting amount of the Commitment on the Closing Statement. For the avoidance of doubt, Total Project Costs shall not be reduced by any Equity Contribution.

(d) **Conforming Amendment.** If, at or before Closing, the Approved Budget is conformed to include the Refinancing Payoff as a Project Cost in accordance with **Section 11.2**, then the Required Equity Contribution and the Commitment shall be recomputed on the conformed Approved Budget, and the Loan-to-Cost Ratio shall be tested against the conformed Total Project Costs; *provided* that in no event shall the Required Equity Contribution be less than $2,140,000.

(e) **No Waiver.** Any failure of the Loan to satisfy the limitations of this Section shall not constitute a waiver by Lender, and Lender may condition any Advance on the deposit of additional Equity Contributions in amounts sufficient to satisfy such limitations.

Section 2.5 The Note

The Loan shall be evidenced by the Note, dated as of the Closing Date, payable to the order of Lender in the principal amount of the Commitment, bearing interest as provided in **Article 3** and repayable as provided in **Article 4**. The Note shall be entitled to the benefits of this Agreement and the other Loan Documents.

Section 2.6 Loan Documents

The Obligations shall be secured by, and Borrower shall execute and deliver at Closing (or, with respect to any later-arising document, when required hereunder), the following Loan Documents, each in form and substance satisfactory to Lender and its counsel: (a) this Agreement; (b) the Note; (c) the Deed of Trust, Assignment

of Rents, Security Agreement and Fixture Filing; (d) the Assignment of Rents and Leases; (e) the Security Agreement and UCC-1 financing statements; (f) the Assignments of Development Documents (including the GMP Contract and the Architect's Agreement); (g) the Collateral Assignment of Insurance Proceeds and Condemnation Awards; (h) the Pledge Agreements and Pledged Account Agreements; (i) the Guaranties; (j) the Environmental Indemnity; (k) the Intercreditor Agreement; (l) the Non-Consolidation Opinion; and (m) such other documents, instruments, certificates and opinions as Lender may reasonably require.

Section 2.7 No Lender Liability; Relationship of the Parties

The relationship between Lender and Borrower is that of creditor and debtor only. Nothing in this Agreement or the other Loan Documents shall be construed to make Lender a partner, joint venturer, joint owner, agent, manager, operator or fiduciary of Borrower, the Contractor, the Architect or any other Person, or to make Lender liable for any obligation of Borrower or for any cost of the Project in excess of the Commitment. Lender's review or approval of the Plans and Specifications, the Approved Budget, the Draw Schedule, any Draw Request, any Approved Change Order, any lease or any other matter shall not constitute a representation or warranty by Lender as to the adequacy, feasibility, legality, quality or sufficiency of the same, and Borrower expressly assumes all risk relating thereto.

Section 2.8 Borrower's Obligations Absolute

The Obligations of Borrower and each Guarantor shall be absolute, unconditional and irrevocable and shall not be affected by (a) any defect in the Project, the Plans and Specifications, the GMP Contract or the work of the Contractor, the Architect or any subcontractor or supplier; (b) any delay, suspension, withholding or reduction of any Advance; (c) any bankruptcy, insolvency or reorganization of the Contractor, the Architect, the Mezzanine Lender or any other Person; (d) any cost overrun, Defect or casualty; or (e) any setoff, counterclaim, defense or recoupment that Borrower may assert against Lender (other than a defense that the Obligations have been paid in full).

ARTICLE 3 — INTEREST

Section 3.1 Construction Rate

During the Construction Period, interest shall accrue on the outstanding principal balance of the Loan at the Construction Rate, computed daily on the basis of actual days elapsed over a 360-day year. As of the Effective Date, and assuming a Daily Simple SOFR rate of 4.35%, the Construction Rate would be 7.60% per annum.

Section 3.2 Mini-Perm Rate

During the Mini-Perm Period, interest shall accrue on the outstanding principal balance of the Loan at the Mini-Perm Rate, computed daily on the basis of actual days elapsed over a 360-day year. As of the Effective Date, and assuming a Daily Simple SOFR rate of 4.35%, the Mini-Perm Rate would be 7.85% per annum.

Section 3.3 SOFR Floor

Notwithstanding any change in Daily Simple SOFR, Daily Simple SOFR shall in no event be less than the SOFR Floor of one percent (1.00%) per annum for purposes of determining the Construction Rate or the Mini-Perm Rate. Accordingly, the Applicable Rate shall in no event be less than 4.25% per annum during the Construction Period or 4.50% per annum during the Mini-Perm Period.

Section 3.4 Default Rate

From and after the occurrence and during the continuance of an Event of Default (and after the occurrence of an Event of Default described in **Section 24.5**, automatically and without notice), all outstanding amounts of principal, and to the extent permitted by applicable law all accrued interest, fees and other Obligations, shall bear interest at the Default Rate, computed daily, payable on demand. The application of the Default Rate is not a penalty but a charge for the additional risk and expense of carrying an overdue obligation, and it is agreed to be just compensation therefor.

Section 3.5 Computation; Notices

Interest shall be computed on the daily outstanding principal balance of the Loan. Lender shall, upon request, deliver to Borrower a statement of the amount of interest and fees due for any period; such statement shall be conclusive absent manifest error. Lender shall not be required to deliver any notice of a change in, or determination of, Daily Simple SOFR or the Applicable Rate.

Section 3.6 Benchmark Replacement

(a) **Triggers.** If, at any time, Lender determines that (i) Daily Simple SOFR has been permanently or indefinitely discontinued or is no longer representative, (ii) the regulatory supervisor for the administrator of SOFR or the Relevant Governmental Body has made a public statement that SOFR is no longer representative or is to be discontinued, or (iii) the administrator of SOFR, its supervisory authority or a bankruptcy or insolvency official has declared SOFR to be unlawful or unworkable, then Lender and Borrower shall endeavor in good faith to establish a Benchmark Replacement consistent with the Alternative Reference Rates Committee’s recommended best practices, including an appropriate term rate or a daily adjusted version of

SOFR, a spread adjustment (which shall equal or be consistent with the applicable ARRC spread adjustment for the relevant tenor), and conforming changes to this Agreement and the Note.

(b) **Unilateral determination.** If, after thirty (30) days, Lender and Borrower have not agreed to a Benchmark Replacement, Lender may designate a Benchmark Replacement (including a spread adjustment, if any, and conforming changes) that is consistent with market practice for comparable commercial real estate construction facilities and is not adverse to Borrower in any material respect, and any such designation shall be binding on Borrower; *provided* that no such designation shall increase the Applicable Rate above the rate in effect on the date of such designation unless required to reflect the difference between SOFR and the successor rate plus the spread adjustment.

(c) **No compensation.** Borrower shall not be entitled to any payment or compensation solely as a result of any Benchmark Replacement, and the SOFR Floor shall continue to apply to any Benchmark Replacement (with the floor adjusted, if applicable, in a manner consistent with the ARRC recommendation for the successor rate).

Section 3.7 Interest Rate Limitation

Notwithstanding anything to the contrary in this Agreement, the Note or any other Loan Document, in no event shall the amount of interest or any other charge constituting interest under applicable law (including 12 U.S.C. §85 or Chapter 24 of the North Carolina General Statutes) exceed the maximum rate permitted by applicable law (the "**Maximum Rate**"). If any such amount would exceed the Maximum Rate, the rate of interest shall be automatically reduced to the Maximum Rate, and any amount previously collected in excess of the Maximum Rate shall be, at Lender's option, applied to reduce the principal balance of the Loan or refunded to Borrower. To the extent permitted by law, all interest at any time contracted for, charged or received shall be amortized, prorated, allocated and spread over the full period of the Loan in accordance with 12 C.F.R. §160.5 (or any analogous law).

Section 3.8 Inability to Determine Rate

If Lender determines that (a) adequate and reasonable means do not exist for ascertaining Daily Simple SOFR, or (b) Daily Simple SOFR is not available for any reason and no Benchmark Replacement has been established under **Section 3.6**, Lender shall promptly notify Borrower, and until such notice is withdrawn, the Applicable Rate shall be determined using the last available Daily Simple SOFR (but not less than the SOFR Floor), and Lender shall not be obligated to make Advances during such period if the determination of the Applicable Rate is impractical in Lender's reasonable judgment.

ARTICLE 4 — PAYMENTS

Section 4.1 Payment of Interest

Interest on the outstanding principal balance of the Loan shall be payable monthly in arrears on the first (1st) Business Day of each calendar month, commencing on the first (1st) Business Day of the first full calendar month following the Closing Date. During the Construction Period, and for so long as sufficient funds remain in the Interest Reserve Account, each monthly payment of interest shall be funded by Lender from the Interest Reserve Account in accordance with **Article 8**. From and after the date on which the Interest Reserve is exhausted, and throughout the Mini-Perm Period, all interest shall be paid by Borrower from its own funds (subject to the Carry Guaranty).

Section 4.2 Payment of Principal

The outstanding principal balance of the Loan, together with all accrued and unpaid interest, fees, costs and other Obligations, shall be due and payable in full on the Maturity Date, without notice, presentment, demand or protest, all of which are waived by Borrower. The Loan is interest-only; no scheduled amortization shall apply, except that the outstanding principal balance may be reduced by optional prepayments permitted under **Article 7** and by mandatory prepayments required under **Section 7.2**.

Section 4.3 Manner of Payment

All payments shall be made in immediately available funds, in lawful currency of the United States, without setoff, counterclaim, deduction or withholding of any kind, to the account designated by Lender in writing (or by wire transfer in accordance with Lender’s written instructions). Any payment received after 2:00 p.m. Eastern Time on a Business Day shall be deemed received on the next Business Day. If any payment is due on a day that is not a Business Day, such payment shall be due on the next succeeding Business Day, and interest shall continue to accrue during such extension.

Section 4.4 No Setoff; Absolute Obligation

Borrower’s obligation to pay all amounts due under the Loan Documents is absolute and unconditional. Borrower waives any right of setoff, counterclaim, defense or recoupment with respect to any payment due, and shall not withhold or delay any payment by reason of any dispute with Lender, the Contractor, the Architect, the Mezzanine Lender or any other Person.

Section 4.5 Application of Payments

All payments received by Lender shall be applied in the following order of priority: (a) to reimburse Lender for any costs, expenses and indemnities (including reasonable attorneys' fees) incurred in connection with the Loan; (b) to late charges and fees; (c) to accrued and unpaid interest (including interest at the Default Rate); (d) to the outstanding principal balance of the Loan; and (e) to any other Obligations. Notwithstanding the foregoing, during the continuance of an Event of Default, Lender may apply payments in any order it determines in its discretion.

Section 4.6 Payments Received from Third Parties

Lender may, but shall not be obligated to, accept payments from any Guarantor or other Person on account of the Obligations, and any such payment shall be applied as provided in **Section 4.5** without releasing Borrower or any Guarantor from liability.

ARTICLE 5 — FEES

Section 5.1 Origination Fee

Borrower shall pay to Lender at Closing a non-refundable origination fee equal to one percent (1.00%) of the original principal amount of the Loan, being $475,000 (the "**Origination Fee**"). The Origination Fee may, at Borrower's election and to the extent reflected in the Approved Budget (line item 4.02), be funded from the proceeds of the Loan as part of the Closing Advance.

Section 5.2 Exit Fee

Borrower shall pay to Lender a non-refundable exit fee (the "**Exit Fee**") determined as follows: (a) if the Loan is repaid in full at any time during the Construction Period, an amount equal to one-half of one percent (0.50%) of the outstanding principal balance of the Loan immediately prior to such repayment; (b) if the Loan is repaid in full during the first six (6) months of the Mini-Perm Period, an amount equal to one-quarter of one percent (0.25%) of the outstanding principal balance of the Loan immediately prior to such repayment; and (c) no Exit Fee shall be payable if the Loan is repaid in full after the first six (6) months of the Mini-Perm Period or after the Mini-Perm Maturity Date. For the avoidance of doubt, the Exit Fee shall not be payable in connection with a refinancing of the Loan by Lender or any Affiliate of Lender.

Section 5.3 Unused Line Fee

Borrower shall pay to Lender a fee equal to one-quarter of one percent (0.25%) per annum on the average daily undrawn amount of the Commitment, computed on the

basis of actual days elapsed over a 360-day year, payable quarterly in arrears commencing with the first Business Day of the first full calendar quarter following the Closing Date and continuing through the earlier of (a) the date on which the Loan is fully advanced and (b) the Maturity Date. For purposes of this Section, amounts held in the Interest Reserve Account and the Equity Escrow Account shall be deemed drawn, and the undrawn amount of the Commitment shall exclude the amount of the Commitment permanently reduced under **Section 2.4(c)**.

Section 5.4 Extension Fee

If Borrower validly exercises the Extension Option, Borrower shall pay to Lender, on or before the Construction Maturity Date, a non-refundable extension fee equal to one-quarter of one percent (0.25%) of the outstanding principal balance of the Loan as of the date of such payment.

Section 5.5 Late Charge

If any installment of principal, interest, a fee or any other amount (other than an amount that is subject to a permitted grace period under **Section 24.1**) is not paid in full within five (5) days after its due date, Borrower shall pay to Lender, upon demand, a late charge equal to five percent (5.00%) of the overdue amount. Borrower acknowledges that such late charge represents a fair and reasonable estimate of the costs and administrative burdens Lender will incur as a result of late payment and does not constitute a penalty; *provided* that such charge shall be subject to **Section 3.7**.

Section 5.6 Other Fees and Charges

Borrower shall pay (a) all fees and charges of the Disbursement Agent, the construction inspector, the appraiser, the environmental consultant and any other third-party consultant engaged by Lender in connection with the Loan, (b) all recording, filing, endorsement and title charges, and (c) all administrative, servicing, wire-transfer, processing and similar fees customarily charged by Lender for administration of construction facilities. Lender’s schedule of such fees as in effect at Closing is attached as **Schedule 5.6**.

Section 5.7 Fees Non-Refundable

The Origination Fee, the Exit Fee, the Unused Line Fee, the Extension Fee and all other fees paid under this Article shall be non-refundable when paid, except as expressly provided in this Agreement or as required by applicable law.

ARTICLE 6 — MATURITY AND EXTENSION

Section 6.1 Maturity; Transition to Mini-Perm

(a) **Construction Period.** The entire outstanding principal balance of the Loan, together with all accrued interest and other Obligations, shall be due and payable on the Construction Maturity Date, unless Borrower satisfies the conditions of **Section 6.1(b)** and the Loan converts to the Mini-Perm Period.

(b) **Conversion Conditions.** The Loan shall convert to the Mini-Perm Period if, on or before the Construction Maturity Date, each of the following conditions is satisfied (or waived by Lender in writing): (i) no Default or Event of Default exists; (ii) Substantial Completion has been achieved and a certificate of occupancy has been issued for all residential units, retail bays and the parking garage; (iii) the Vapor Mitigation System has been installed, verified and accepted by NCDEQ, and all other conditions of the NFA Letter then due have been satisfied; (iv) the Interest Reserve is not then subject to an unremedied Interest Reserve Shortfall; (v) Lender has received evidence of the required insurance, a current Rent Roll (to the extent any leases are in place) and a then-current budget for the Mini-Perm Period; (vi) the Required Equity Contribution has been fully deposited and applied; and (vii) no Construction Delay Default has occurred and is continuing.

(c) **Extension of Construction Maturity Date.** If Substantial Completion has not occurred by July 1, 2027, Lender may, in its sole discretion, extend the Construction Maturity Date to the Outside Completion Date; *provided* that any such extension shall not constitute a waiver of any Construction Delay Default and shall be subject to Borrower’s payment of a fee of 0.15% of the outstanding principal balance. If the Construction Maturity Date is so extended, the Mini-Perm Maturity Date and the Extended Maturity Date shall each be extended by a like period.

Section 6.2 Extension Option

Borrower shall have one (1) option (the “**Extension Option**”) to extend the Mini-Perm Maturity Date from August 28, 2028 to the Extended Maturity Date, subject to the satisfaction of each of the conditions set forth in **Exhibit F** (together with such other customary conditions as Lender may reasonably establish) and the payment of the Extension Fee. The Extension Option is personal to Borrower and may not be exercised following the occurrence of an Event of Default or after March 1, 2028.

Section 6.3 Relations to Mini-Perm; No Further Extension

The Mini-Perm Period is not a new or additional loan and does not constitute a novation or refinancing of the Loan. Borrower acknowledges that Lender's agreement to the Mini-Perm Period is conditioned upon the representations and covenants in this Agreement. Borrower shall have no right to any further extension of the Maturity Date beyond the Extended Maturity Date, and Lender shall have no obligation to refinance the Loan at or after the Maturity Date.

Section 6.4 Take-Out Financing Cooperation

Borrower shall use commercially reasonable efforts to obtain a permanent take-out refinancing or sale of the Property. Not later than one hundred twenty (120) days prior to the then-current Maturity Date, Borrower shall deliver to Lender a written plan (including term sheets, lender identification, or marketing materials) reasonably satisfactory to Lender demonstrating Borrower's progress toward repayment of the Loan on or before the Maturity Date. Failure to deliver such a plan shall not itself constitute an Event of Default but shall be a factor considered by Lender in evaluating any request for an extension.

ARTICLE 7 — PREPAYMENT

Section 7.1 Optional Prepayment

Borrower may prepay the Loan in whole or in part at any time without premium or penalty, other than payment of the Exit Fee to the extent payable under **Section 5.2**, accrued interest to the date of prepayment, and all other Obligations then due. Borrower shall give Lender not less than five (5) Business Days' prior written notice of any optional prepayment.

Section 7.2 Mandatory Prepayments

Borrower shall prepay the Loan, without premium or penalty (other than the Exit Fee to the extent payable), in the following circumstances: (a) upon receipt of any Net Proceeds of casualty insurance or condemnation that Lender determines not to make available for restoration under **Section 20.6**, in an amount equal to such Net Proceeds; (b) upon any sale, transfer or other disposition of the Property or any material portion thereof or interest therein permitted under this Agreement (including any permitted transfer requiring Lender's consent that is conditioned on a prepayment), in the amount of the Net Proceeds thereof; (c) upon the incurrence of any Indebtedness not constituting Permitted Indebtedness, in the amount of the net proceeds thereof; (d) upon any DSCR cure required under **Section 16.3**; and (e) upon any determination by Lender that Borrower has received a capital contribution in excess of the amounts contemplated by the Approved Budget, to the extent required to maintain compliance with **Section 16.1** or **Section 16.2**.

Section 7.3 Reduction of Commitment

Any prepayment of the Loan shall permanently reduce the Commitment by the amount so prepaid, and no portion of any amount repaid may be reborrowed. Upon Lender's demand, Borrower shall execute such confirmations of the reduction of the Commitment as Lender may reasonably request.

Section 7.4 Prepayment of Other Debt

Borrower shall not prepay, defease, redeem or otherwise satisfy the Mezzanine Loan or any other Indebtedness (other than Permitted Indebtedness described in **Section 1.1**, clause (c) or (d)) without Lender's prior written consent.

ARTICLE 8 — INTEREST RESERVE

Section 8.1 Funding of Interest Reserve

At Closing, Lender shall fund from the proceeds of the Closing Advance an interest reserve in the amount of $4,850,000 (the "**Interest Reserve**"), to be held in a segregated sub-account of the Loan (the "**Interest Reserve Account**") established with Lender or the Disbursement Agent and subject to a Pledged Account Agreement. The Interest Reserve is part of the Loan and bears interest at the Applicable Rate; interest accruing on the Interest Reserve itself shall be paid from the Interest Reserve Account.

Section 8.2 Application of Interest Reserve

Amounts in the Interest Reserve Account shall be disbursed solely to pay interest accruing on the outstanding principal balance of the Loan during the Construction Period. Lender is authorized to withdraw from the Interest Reserve Account on each interest payment date the amount of interest then due, without further request or authorization from Borrower. No amounts in the Interest Reserve Account shall be available for any other purpose, and Borrower shall have no right to withdraw or direct the application of such amounts.

Section 8.3 Interest Reserve Shortfall; Replenishment

(a) Borrower acknowledges that, based on the draw timing reflected in the Draw Schedule and a Daily Simple SOFR rate of 4.35% per annum (the rate in effect on the date of the Credit Memorandum), the projected aggregate interest accruing during the thirty (30) month Construction Period is approximately $5,211,500, which exceeds the Interest Reserve by approximately $361,500. Borrower further acknowledges that the draw schedule analysis delivered with the Approved Budget projected aggregate interest of $4,628,675 and a surplus of $221,325 only on the assumption of a

Daily Simple SOFR rate of 3.50% per annum, which is below the rate in effect on the date of this Agreement.

(b) If at any time the balance of the Interest Reserve Account is or is projected to be insufficient to pay interest through the Construction Maturity Date (an "**Interest Reserve Shortfall**"), Borrower shall, within five (5) Business Days after written notice from Lender, deposit into the Interest Reserve Account, in immediately available funds and from sources other than the proceeds of the Loan or the Mezzanine Loan, an amount sufficient to eliminate the Interest Reserve Shortfall. Amounts so deposited shall be applied as provided in **Section 8.2** and shall not reduce the Commitment or be credited against any other obligation of Borrower.

(c) At Lender's election, any unremedied Interest Reserve Shortfall may be funded by Lender (without any obligation to do so) and the amount so funded shall be added to the outstanding principal balance of the Loan, shall bear interest at the Default Rate until reimbursed, and shall be secured by the Loan Documents.

Section 8.4 Adequacy Testing

Lender shall test the adequacy of the Interest Reserve at each Draw Request and not less often than quarterly, by comparing (a) the balance of the Interest Reserve Account with (b) the projected interest accruing through the earlier of (i) the next anticipated Draw date and (ii) the date ninety (90) days after the date of the test, based on the then-current Daily Simple SOFR, the Applicable Rate and the projected outstanding principal balance. If the test is not satisfied, Lender may condition any pending Advance on Borrower's deposit of additional funds into the Interest Reserve Account under **Section 8.3(b)**.

Section 8.5 Monthly Reconciliation

Within fifteen (15) days after the end of each calendar month during the Construction Period, Borrower shall deliver to Lender a reconciliation of the Interest Reserve Account showing (a) the opening balance, (b) interest charged during the month, (c) any deposits, (d) the closing balance, and (e) Borrower's projection of interest accruing through the Construction Maturity Date, together with the SOFR assumptions used.

Section 8.6 Rate Protection

If at any time (a) Daily Simple SOFR exceeds 5.00% per annum, (b) Lender reasonably determines that the Interest Reserve will be exhausted more than one hundred eighty (180) days before the Construction Maturity Date, or (c) the DSCR on a pro forma basis would be less than 1.25x, Lender may require Borrower, within thirty (30) days, to obtain and maintain an interest rate cap agreement on

terms (including notional amount, strike rate, term and counterparty rating) reasonably satisfactory to Lender, at Borrower's sole cost, and to collaterally assign such cap to Lender. Borrower's failure to do so after demand shall constitute an Event of Default under **Section 24.3**.

Section 8.7 Interest Reserve Is Not a Funded Reserve

The Interest Reserve is a funded accounting reserve within the Loan and is not a trust fund, escrow or deposit for the benefit of Borrower. Amounts in the Interest Reserve Account remain the property of Lender until disbursed, and Borrower has no interest therein except the right to have such amounts applied as provided in this Article.

ARTICLE 9 — ADVANCES; CONDITIONS TO LENDING

Section 9.1 Draw Requests

Borrower shall request each Progress Advance by delivering to Lender, not less than fifteen (15) days prior to the requested funding date, a draw request in the form attached as **Exhibit G** (a "**Draw Request**"), signed by the Managing Member of Borrower and accompanied by each of the following, in each case in form and substance satisfactory to Lender:

(a) an AIA Application and Certificate for Payment (Form G702) and Continuation Sheet (Form G703) certified by the Architect and the Contractor;

(b) an updated construction progress report and schedule prepared by Borrower and the Contractor, including a comparison of actual to scheduled progress, a schedule of all Approved Change Orders and pending change orders, and a budget reconciliation demonstrating that the remaining undisbursed Loan proceeds, Retainage, contingency and Equity Contributions are sufficient to complete the Project in accordance with the Approved Budget;

(c) a certification from the third-party construction inspector engaged by Lender that the applicable milestone has been achieved, the percentage of completion stated in the Draw Request is accurate, and the remaining funds are adequate to complete the Project;

(d) partial lien waivers and releases, in statutory form under N.C.G.S. Chapter 44A, from the Contractor, the Architect and all subcontractors and materialmen for all work performed and materials furnished through the date of the Draw Request (including, for the first Draw Request after Closing, the waivers and releases described in **Section 12.6**);

(e) a date-down endorsement to the Title Policy from the Disbursement Agent, confirming that the Deed of Trust remains a first priority lien and that no intervening lien, encumbrance or title defect has been recorded since the effective date of the prior endorsement;

(f) evidence that all insurance required under **Article 20** remains in full force and effect, together with certificates of insurance reflecting Lender as mortgagee, loss payee and additional insured, as applicable;

(g) a certificate of Borrower certifying that (i) no Default or Event of Default exists and no condition exists that, with notice or lapse of time or both, would constitute a Default or an Event of Default, (ii) all representations and warranties in the Loan Documents remain true and correct in all material respects, and (iii) all costs for which reimbursement is requested have been incurred and are not the subject of any dispute;

(h) evidence of compliance with **Section 2.4** (equity and Borrowing Base) and **Section 8.4** (interest reserve adequacy);

(i) during any period in which the Affected Area is the subject of work, evidence of compliance with the Soil Management Plan and the NFA Letter;

(j) a Disbursement Agent’s or construction inspector’s certification of the amount of Retainage then held; and

(k) such other documents, certificates, lien waivers, affidavits, budgets and information as Lender may reasonably request.

Section 9.2 Conditions to Each Advance

Lender’s obligation to make any Advance (including the Closing Advance) is subject to the satisfaction of each of the conditions precedent set forth in **Schedule 9.2** (Closing Conditions) and, in the case of each Progress Advance, to the satisfaction of each of the following additional conditions: (a) no Default or Event of Default shall have occurred and be continuing; (b) each representation and warranty in the Loan Documents shall be true and correct in all material respects as of the date of the Advance; (c) Lender shall have received a complete Draw Request under **Section 9.1**; (d) after giving effect to the Advance, the outstanding principal balance of the Loan shall not exceed the Borrowing Base Availability; (e) the Required Equity Contribution shall have been applied as required by **Section 2.4**; (f) no material adverse change shall have occurred in the financial condition of Borrower or any Guarantor or in the condition or value of the Property; (g) the Interest Reserve shall be adequate or replenished as required by **Article 8**; and (h) no Construction Delay Default or suspension under **Section 9.6** shall be continuing.

Section 9.3 Retainage

(a) **Withholding.** Lender shall withhold Retainage equal to ten percent (10%) of each hard cost line item of the Approved Budget funded by the Loan, as reflected in the Draw Schedule. The aggregate Retainage shall be $3,475,000, being ten percent (10%) of the $34,750,000 of hard costs. Retainage shall be held by Lender (and not by the Disbursement Agent or Borrower) and shall not bear interest.

(b) **Release.** Lender shall release the Retainage as Draw 9 of the Draw Schedule upon satisfaction of each of the following: (i) Final Completion; (ii) issuance of the final, unconditional certificate of occupancy for all residential units, retail bays and the parking garage; (iii) expiration of the lien filing period under N.C.G.S. §44A-12 and §44A-13 without the filing of any claim of lien, or delivery of lien bonds or releases satisfactory to Lender and the Disbursement Agent with respect to any claim of lien so filed; (iv) delivery of final, unconditional lien waivers from the Contractor, the Architect, all subcontractors and all materialmen; (v) delivery of the Architect's certificate of final completion; (vi) delivery of the as-built Plans and Specifications, all warranties, guaranties, manuals and training materials, and all close-out items required by **Section 10.8**; (vii) receipt by Lender of an updated ALTA/NSPS Survey and a date-down endorsement confirming no survey or title change; (viii) no Default or Event of Default; and (ix) receipt of evidence that the Vapor Mitigation System has been installed and that the as-built drawings and performance verification report required by Condition 1 of the NFA Letter have been submitted to NCDEQ.

(c) **Partial Release.** Lender may, in its discretion, release Retainage on a line-item basis upon completion and acceptance of that line item and receipt of the corresponding lien waivers, provided that the aggregate Retainage retained for the Project is not less than the amount reasonably determined by Lender to be necessary to secure completion.

Section 9.4 Inspections

Lender, and the third-party construction inspector engaged by Lender at Borrower's expense, may inspect the Property and the Project at any time during normal business hours upon reasonable prior notice (and without notice during the continuance of an Event of Default), and may review all construction records, contracts, lien waivers and requisitions. Borrower shall cooperate fully and shall cause the Contractor and the Architect to cooperate. No inspection, and no approval of a Draw Request, shall constitute a waiver of any Default or of any obligation of Borrower, or a representation by Lender as to the quality or adequacy of the work.

Section 9.5 Disbursement Mechanics

All Advances shall be disbursed through the Disbursement Agent in accordance with Lender’s written disbursement instructions and the Disbursement Agent’s closing instructions, and shall be funded directly to the Contractor, the Architect, the applicable vendor or consultant, the Interest Reserve Account or such other payee as Lender may approve. Borrower hereby irrevocably authorizes and directs Lender to disburse the proceeds of the Loan in accordance with this Section. No Advance shall be deemed made until funds are actually disbursed by the Disbursement Agent.

Section 9.6 Suspension and Withholding

Lender may suspend, withhold, condition or reduce any Advance, without liability to Borrower, if (a) any condition in **Section 9.1** or **Section 9.2** is not satisfied; (b) Lender reasonably determines that the undisbursed portion of the Loan, together with Retainage, contingency and committed Equity Contributions, is insufficient to complete the Project free and clear of liens; (c) a material deviation from the Plans and Specifications or the Approved Budget has occurred; (d) any mechanics’ or materialmen’s lien is filed against the Property and is not bonded off or released within thirty (30) days; (e) Borrower fails to comply with the NFA Letter, the Soil Management Plan or any Environmental Law; (f) a Construction Delay Default has occurred; or (g) Lender reasonably determines that the Project cannot be completed by the Outside Completion Date. Any suspension under this Section shall not constitute a default by Lender or excuse Borrower from any obligation, and interest shall continue to accrue on all outstanding amounts.

Section 9.7 Cost Overruns; Borrower’s Completion Obligation

Borrower shall complete the Project in accordance with the Plans and Specifications, the Approved Budget and the Draw Schedule, free and clear of all Liens other than Permitted Exceptions, on or before the Outside Completion Date, regardless of the availability of any Advance. All costs of the Project in excess of the Loan proceeds, Retainage, contingency and the Required Equity Contribution shall be funded by Borrower from Equity Contributions or other sources approved by Lender, and shall be deposited with Lender (or applied directly to such costs) before Lender shall be obligated to make any further Advance. Lender shall have no obligation to increase the Commitment or to advance funds to cover any cost overrun.

Section 9.8 Equity First

Borrower’s Equity Contributions (including the Required Equity Contribution held in the Equity Escrow Account) shall be applied to Project Costs before any Progress Advance is made, other than the Closing Advance. Borrower shall deliver

a written certification with each Draw Request of the amount of Equity Contributions applied to date.

Section 9.9 Advances Not a Waiver; No Obligation to Continue

No Advance shall constitute a waiver of any condition, Default or Event of Default, whether known or unknown to Lender. Lender's making of any Advance with knowledge of a Default or Event of Default shall not constitute a waiver thereof, and Lender may thereafter declare an Event of Default and exercise its remedies on the basis thereof.

Section 9.10 Advances to Cure Defaults; Protective Advances

If Borrower fails to perform any covenant, or if Lender reasonably determines that it is necessary to protect its interest in the Property, Lender may (but shall not be obligated to) make Advances or incur costs to perform such covenant or protect such interest, including payment of taxes, insurance, liens, completion costs, environmental remediation costs and legal fees. All amounts so advanced or incurred shall constitute Obligations, shall bear interest at the Default Rate from the date incurred until reimbursed, and shall be secured by the Loan Documents, but shall not be deemed to increase the Commitment or to waive any Default.

ARTICLE 10 — CONSTRUCTION COVENANTS

Section 10.1 Commencement and Continuity of Construction

Borrower shall cause construction of the Project to commence not later than thirty (30) days after the Closing Date and to be prosecuted diligently and continuously, in a good and workmanlike manner, in accordance with the Plans and Specifications, the GMP Contract, the Approved Budget, all applicable permits and Legal Requirements, and the approved construction schedule. Borrower shall not suspend or abandon construction for more than fifteen (15) consecutive days (other than as a result of an Unavoidable Delay that is not caused by Borrower, the Contractor or any Affiliate of either, and as to which Borrower has delivered prior written notice to Lender).

Section 10.2 Plans and Specifications

Lender has reviewed and approved the Plans and Specifications identified in **Schedule 10.2** for purposes of this Agreement only. Borrower shall not modify the Plans and Specifications in any material respect, and shall not permit any material deviation from the Plans and Specifications, without Lender's prior written consent. For purposes of this Section, a modification is "material" if it (a) changes the number or mix of residential units or the amount of retail square footage; (b) changes the building footprint, height, structural system, exterior materials or

parking count; (c) relocates any residential occupancy space into or above the Affected Area; (d) changes the scope or design of the Vapor Mitigation System; (e) would require any rezoning, variance, special use permit or other discretionary approval; (f) would require any additional approval of the Brightleaf Historic District Association Architectural Review Committee; or (g) increases hard costs by more than $500,000 in the aggregate.

Section 10.3 GMP Contract; Change Orders

(a) Borrower shall not amend, modify, terminate, replace or assign the GMP Contract (other than the collateral assignment to Lender) without Lender's prior written consent. Borrower shall cause the Contractor to perform in accordance with the GMP Contract, and shall enforce the GMP Contract for the benefit of Lender.

(b) Borrower may approve individual change orders that, in the aggregate with all other change orders, do not exceed $250,000 and do not constitute a material modification under **Section 10.2** without Lender's consent, provided that (i) such change orders are funded from the contingency line item of the Approved Budget or from Equity Contributions, (ii) Borrower delivers a copy of each such change order to Lender within ten (10) Business Days, and (iii) no such change order reduces the scope of the Project or the quality of the work. All other change orders require Lender's prior written consent ("**Approved Change Orders**").

(c) Borrower shall deliver to Lender, within ten (10) days after execution, a copy of each Approved Change Order, together with the Contractor's and Architect's certification of the resulting contract amount and schedule impact.

(d) Borrower shall not permit the aggregate of the GMP Contract amount plus all Approved Change Orders to exceed the hard cost line items of the Approved Budget unless the excess is funded from the contingency line item or from Equity Contributions deposited with Lender.

Section 10.4 Contractor and Architect Requirements

(a) Borrower shall not terminate, replace or substitute the Contractor or the Architect without Lender's prior written consent. Any replacement contractor or architect must be approved by Lender and must satisfy the requirements of this Section.

(b) Borrower shall cause the Contractor to (i) maintain its North Carolina general contractor's license in good standing, (ii) maintain the insurance required under **Article 20** and the GMP Contract, (iii) deliver payment and performance bonds in the full amount of the GMP Contract (100%) from a surety acceptable to Lender and rated at least A- by A.M. Best, unless

waived by Lender in writing, and (iv) deliver, within thirty (30) days after the Closing Date, its audited or reviewed financial statements for the two most recent fiscal years and a statement of bonding capacity. The requirement for payment and performance bonds shall be a condition to the first Progress Advance.

(c) Borrower shall cause the Architect to maintain professional liability (errors and omissions) insurance of not less than $2,000,000 per claim, and to deliver a collateral assignment of the Architect's Agreement, together with consents to assignment from the Contractor and the Architect.

Section 10.5 Construction Schedule; Construction Delay Default

Borrower has delivered the baseline construction schedule approved by Lender (the "**Baseline Schedule**"), which reflects a Projected Substantial Completion Date of August 31, 2027. Borrower acknowledges that (a) the Construction Maturity Date of August 28, 2027 precedes the Projected Substantial Completion Date of August 31, 2027, and (b) accordingly the Loan contemplates that Substantial Completion may occur during the Mini-Perm Period. Borrower shall deliver an updated construction schedule with each monthly progress report. If at any time the Project is more than ninety (90) days behind the Baseline Schedule (as adjusted for Approved Change Orders and Unavoidable Delays), a Construction Delay Default shall exist under **Section 24.9**.

Section 10.6 Compliance with Legal Requirements; Permits

Borrower shall comply, and shall cause the Contractor and the Architect to comply, with all Legal Requirements applicable to the Property, the Project and the construction, including all building, fire, life-safety, accessibility, energy, zoning, stormwater, sedimentation and Environmental Laws. Borrower shall obtain and maintain all permits, licenses, approvals and certificates required for the construction and occupancy of the Project, including the building permits, the certificates of occupancy, the Zoning Report, the right-of-way and utility approvals, and all approvals required under the Brightleaf Historic District Association Declaration of Covenants, Conditions and Restrictions recorded in Book 6984, Page 1155, as amended by the First Amendment recorded in Book 7102, Page 388, Durham County Registry (the "**CC&Rs**").

Section 10.7 Brightleaf Historic District Architectural Review

Borrower shall, as a condition to Closing and thereafter as a continuing covenant, (a) submit the final Plans and Specifications to the Brightleaf Historic District Association Architectural Review Committee in accordance with Article V of the CC&Rs, and (b) obtain the written approval of the Architectural Review Committee (or the lapse of the sixty (60) day deemed-approval period under Section 5 of the CC&Rs without written action). Borrower shall deliver evidence of such approval

to Lender not later than ten (10) days prior to the Closing Date. Borrower shall comply with the architectural review and design standards of the CC&Rs and with the assessment obligations thereunder, which Borrower acknowledges are currently assessed at $0.12 per square foot of gross building area per annum (approximately $34,500 per annum for the Project) and are not separately identified as a line item in the Appraisal's operating expense projection. Any modification to the Plans and Specifications requiring architectural review committee approval shall not be implemented until such approval is obtained.

Section 10.8 Close-Out Deliverables

Upon Substantial Completion, and as a condition to the release of Retainage, Borrower shall deliver to Lender: (a) the final, unconditional certificate of occupancy for all residential units, retail bays and the parking garage; (b) the Architect's certificate of final completion; (c) as-built Plans and Specifications and CAD files; (d) all warranties, guaranties, operating manuals, attic stock and training materials, together with assignments of all contractor and manufacturer warranties; (e) final, unconditional lien waivers and releases from the Contractor, the Architect, all subcontractors and all materialmen; (f) an updated ALTA/NSPS Survey showing the Project as built, with no encroachments or survey defects other than those approved by Lender; (g) evidence that all punchlist items have been completed; (h) evidence of final inspection sign-off by the City of Durham and the fire marshal; (i) evidence of compliance with the life-safety, accessibility and energy-code requirements; and (j) such other close-out items as Lender may reasonably require.

Section 10.9 Leasing and Stabilization

From and after Substantial Completion, Borrower shall use commercially reasonable efforts to lease the Project to Stabilization, shall lease the Property in accordance with the Approved Leasing Guidelines (as approved by Lender prior to the first lease), and shall not enter into any lease of more than 5,000 square feet of retail space, any lease with a term (including options) exceeding fifteen (15) years, any lease requiring landlord construction work in excess of $250,000, or any lease that is not on arm's-length terms without Lender's prior written consent. Borrower shall deliver the Rent Roll and a leasing status report with each quarterly report delivered under **Article 23**.

Section 10.10 Defects; Corrective Work

Borrower shall promptly correct, or cause the Contractor to correct, any Defect in the Project. If Borrower fails to do so within thirty (30) days after notice from Lender (or such longer period as is reasonably necessary provided Borrower is diligently pursuing cure), Lender may perform such work as a protective advance under **Section 9.10**, and the cost thereof shall be an Obligation.

ARTICLE 11 — APPROVED BUDGET; SOURCES AND USES; EQUITY

Section 11.1 Approved Budget

The Approved Budget is attached as **Exhibit B** and reflects Total Project Costs of $56,700,000, comprising land acquisition of $8,200,000, hard construction costs of $34,750,000, soft costs of $4,150,000, the Interest Reserve of $4,850,000, the Origination Fee of $475,000, the Developer Fee of $2,835,000 and contingency of $1,440,000. Borrower shall not incur any cost in excess of the Approved Budget except as permitted under **Section 11.5** or funded by Equity Contributions.

Section 11.2 Sources and Uses; Conforming of Budget

(a) As of the Effective Date, the sources of funds for the Project are (i) the Loan in the maximum amount of $47,500,000, (ii) the Mezzanine Loan in the amount of $9,200,000, and (iii) Equity Contributions in the amount of the Required Equity Contribution. Borrower acknowledges that the Approved Budget delivered with the draw schedule workbook dated January 8, 2025 allocates (A) the entire $8,200,000 land acquisition line item and $1,000,000 of the Developer Fee to proceeds of the Mezzanine Loan, and (B) $0 of land acquisition cost to Equity Contributions, and that the sources and uses statement in Section 5.1 of the Term Sheet reflects Equity Contributions of $0 and does not identify any source for the land acquisition cost.

(b) Borrower shall, on or before the Closing Date, deliver to Lender a conformed sources and uses statement (the "**Closing Statement**") that (i) identifies each source of funds and each use of funds, (ii) includes the Refinancing Payoff as a Project Cost (or demonstrates to Lender's satisfaction that the Prior Deed of Trust will be released without the use of Project funds), (iii) reflects the Required Equity Contribution and its verified source, (iv) demonstrates that sources equal uses, and (v) demonstrates compliance with **Section 2.4**. The Closing Statement approved by Lender shall be attached as **Schedule 11.2** and shall control for all purposes of this Agreement.

(c) Borrower acknowledges that Lender does not count the Mezzanine Loan as an Equity Contribution for any purpose, including the Loan-to-Cost Ratio, the Loan-to-Value Ratio, HVCRE contributed capital, or the minimum equity requirements of this Agreement.

Section 11.3 Equity Requirement and Verification

Borrower shall deliver to Lender, not later than five (5) Business Days prior to the Closing Date, (a) a source-of-funds certification executed by each member of Borrower contributing equity, (b) bank or brokerage statements evidencing the availability of the Required Equity Contribution, (c) wire instructions for the Equity Escrow Account, and (d) such other evidence as Lender may reasonably require to

confirm that the Required Equity Contribution is not derived, directly or indirectly, from the Mezzanine Loan, the Mezzanine Lender, Brightleaf Investors Group LLC, Thomas R. Chen, or any of their respective Affiliates. Borrower's failure to deliver such evidence shall entitle Lender to decline to close.

Section 11.4 Use of Equity

Equity Contributions shall be applied only to Project Costs and only in the order and manner described in **Section 9.8**. No Equity Contribution may be returned, refunded or distributed to any member of Borrower prior to the payment in full of the Obligations.

Section 11.5 Reallocations; Contingency

Borrower may reallocate amounts among line items of the Approved Budget without Lender's consent only if (a) the reallocation is between line items within the same category (hard costs, soft costs or contingency), (b) no line item is increased or decreased by more than ten percent (10%) of its original amount and by not more than $250,000, (c) the reallocation does not reduce any hard cost line item below the amount required to complete the corresponding work, (d) the reallocation does not reduce the contingency below $500,000, and (e) Borrower delivers written notice of the reallocation to Lender within ten (10) Business Days. All other reallocations require Lender's prior written consent. The contingency shall be available to fund Approved Change Orders and documented cost overruns, in each case at Lender's discretion.

Section 11.6 Developer Fee

The Developer Fee shall be funded from Loan proceeds only as and to the extent set forth in the Draw Schedule, and only if (a) no Default or Event of Default exists or would result therefrom, (b) the remaining undisbursed Loan proceeds, Retainage, contingency and committed Equity Contributions are sufficient to complete the Project in accordance with the Approved Budget, and (c) all hard costs and soft costs then due have been paid. The final portion of the Developer Fee reflected in Draw 9 shall be payable only upon satisfaction of the conditions to the release of Retainage under **Section 9.3(b)**. No Developer Fee shall be payable at any time during which a Construction Delay Default or an unremedied Interest Reserve Shortfall exists. Borrower acknowledges that the Developer Fee is not an Equity Contribution and shall not be credited toward any Financial Covenant.

Section 11.7 HVCRE

Borrower acknowledges that (a) the Loan is expected to be classified as an HVCRE exposure, (b) the contributed capital of Borrower (consisting of the land contribution, if and to the extent properly counted as contributed capital, plus the Required Equity Contribution) is projected to equal approximately $10,340,000, or

14.2% of the $72,800,000 As-Completed Value, which is below the fifteen percent (15%) threshold, and (c) Lender would require contributed capital of not less than $10,920,000 to avoid HVCRE classification. Borrower shall cooperate with Lender in making any determination under the HVCRE rule, including by delivering documentation of the source, amount and timing of all contributions, and shall not take any position inconsistent with Lender's HVCRE classification for regulatory capital purposes.

ARTICLE 12 — COLLATERAL; TITLE; SURVEY

Section 12.1 Security

The Obligations shall be secured by: (a) a first priority Deed of Trust, Assignment of Rents, Security Agreement and Fixture Filing encumbering the Property, subject only to the Permitted Exceptions; (b) a first priority Assignment of Rents and Leases; (c) a first priority security interest in all personal property, fixtures, equipment, permits, plans, specifications, contracts, licenses, approvals, accounts and general intangibles relating to the Project, perfected by UCC-1 financing statements filed with the North Carolina Secretary of State and, as to fixtures, in the Durham County Registry; (d) the Assignments of Development Documents; (e) the Collateral Assignment of Insurance Proceeds and Condemnation Awards; (f) the Pledge Agreements pledging one hundred percent (100%) of the membership interests in Borrower, subject to the lien subordination provisions of the Intercreditor Agreement; (g) the Pledged Account Agreements; and (h) such other collateral as Lender may reasonably require.

Section 12.2 Priority of Membership Interest Pledge

Borrower acknowledges that the Mezzanine Loan is currently secured by a pledge of one hundred percent (100%) of the membership interests in Borrower, that Lender requires a first priority pledge of the same collateral, and that the resolution of such competing pledges is a condition to Closing. Borrower shall cause each of its members to execute and deliver the Pledge Agreements and shall cause the Mezzanine Lender to execute and deliver the Intercreditor Agreement providing that Lender's pledge is a first priority lien and the Mezzanine Lender's pledge is a second priority lien. Borrower shall cause each member to execute a consent to the pledge, cooperation in any UCC-8 filing, and an irrevocable proxy in favor of Lender exercisable during the continuance of an Event of Default, all in form satisfactory to Lender.

Section 12.3 Title Policy

At Closing, Lender shall have received the Title Policy, issued by the Disbursement Agent, in an amount not less than the Commitment, insuring the Deed of Trust as a valid first priority lien on the Property subject only to the Permitted Exceptions,

with such endorsements as Lender may require, including (a) access, (b) contiguity, (c) survey, (d) comprehensive, (e) zoning (3.0 with parking and loading), (f) subdivision, (g) location, (h) doing business, and (i) such additional endorsements as Lender may reasonably require. The Title Policy shall not contain any exception for the Prior Deed of Trust, any mechanics' or materialmen's lien arising from work performed prior to Closing, the Declaration of Land Use Restrictions required by the NFA Letter (other than as approved by Lender), or any other monetary lien.

Section 12.4 Refinancing Payoff of Prior Deed of Trust

(a) Borrower shall cause the Prior Deed of Trust to be satisfied and released of record on the Closing Date concurrently with the recording of the Deed of Trust, and the Title Policy shall insure Lender's first priority lien free of the Prior Deed of Trust.

(b) Borrower shall deliver to Lender and the Disbursement Agent, not later than five (5) Business Days prior to Closing, a payoff letter from Triangle Commercial Bank (or its successor or assign), dated not more than thirty (30) days prior to Closing, stating the outstanding principal balance, all accrued and unpaid interest, per diem interest, fees, prepayment premiums, and the aggregate amount required to satisfy the indebtedness in full, together with (i) an executed cancellation of deed of trust or certificate of satisfaction in recordable form under N.C.G.S. §45-37, or (ii) the Disbursement Agent's undertaking to record a satisfaction upon disbursement of the Refinancing Payoff through escrow.

(c) Borrower acknowledges that the Title Commitment reflects that the Prior Deed of Trust secured an original indebtedness of $3,400,000 and that, according to the Title Commitment, Borrower's counsel has advised the Disbursement Agent that the indebtedness has been partially repaid and that the Company has not independently verified the outstanding balance. Borrower shall identify the source of the Refinancing Payoff on the Closing Statement, and such source shall not include the Mezzanine Loan or any source described in **Section 2.4(b)**.

Section 12.5 Survey

Not later than ten (10) days prior to Closing, Borrower shall deliver to Lender and the Disbursement Agent the ALTA/NSPS Survey of the Property, prepared by a surveyor licensed in North Carolina, certified to Lender, Borrower and the Disbursement Agent, dated or re-certified within ninety (90) days of Closing, conforming to the 2021 ALTA/NSPS Minimum Standard Detail Requirements, and including Table A optional items 1, 2, 3, 4, 6, 7(a), 8, 9, 10, 11, 13, 14, 15, 16, 17, 18, 19 and 20 as requested by Lender. The Survey shall (a) confirm the acreage and boundaries of each parcel and of the combined site, (b) depict the Affected

Area, the Duke Energy utility easement, the stormwater management easement, the CC&Rs, and all other matters of record, (c) identify all improvements, encroachments and means of access, and (d) enable the deletion of the standard survey exceptions from the Title Policy.

Section 12.6 Mechanics' Lien Priority; Pre-Closing Work

(a) Borrower acknowledges that under N.C.G.S. §44A-10 a claim of lien for labor or materials relates back to and is effective from the date of first furnishing of labor or materials at the site of the improvement, and that demolition, environmental remediation, rough grading, utility stubbing and other site work were performed on the Property in 2024 prior to the Closing Date. Accordingly, the Deed of Trust, when recorded, may be subject to claims of lien for such pre-Closing work unless the matters described in this Section are satisfied.

(b) As a condition to Closing, Borrower shall deliver to Lender (i) final, unconditional lien waivers and releases, in statutory form, from the Contractor, all demolition contractors, the environmental remediation contractor (Sentinel Environmental Consulting LLC or its subcontractors), the grading and site-work contractors and all materialmen that furnished labor or materials to the Property before the Closing Date; (ii) an owner's and contractor's affidavit in the form required by N.C.G.S. §44A-23 and satisfactory to the Disbursement Agent; and (iii) either (A) an unconditional mechanics' lien endorsement to the Title Policy (an ALTA 31 form or equivalent) or (B) such other affirmative coverage or indemnity from the Disbursement Agent as Lender may approve in writing. If Lender does not receive the items described in clauses (i) through (iii), Lender may decline to close.

(c) Borrower shall not permit any work to commence at the site prior to the recording of the Deed of Trust other than the work described in this Section for which waivers have been delivered.

Section 12.7 Further Assurances

Borrower shall execute, deliver, file and record all such further instruments, financing statements, continuation statements, affidavits, certificates and other documents, and shall take all such further actions, as Lender may reasonably request to create, perfect, maintain and protect its Liens on the Property and the other collateral and to carry out the purposes of this Agreement.

Section 12.8 Release of Collateral

Upon payment in full of the Obligations (including all amounts payable under the Guaranties and the Environmental Indemnity, which shall survive), and upon

performance of all other obligations of Borrower under the Loan Documents, Lender shall execute and deliver to Borrower, at Borrower's expense, releases of the Deed of Trust, the Pledge Agreements and the other security instruments, and shall deliver to Borrower the pledged membership interests and any amounts remaining in the Interest Reserve Account, the Equity Escrow Account or any other pledged account.

ARTICLE 13 — GUARANTIES

Section 13.1 Completion Guaranty

Each Guarantor shall execute and deliver to Lender, at Closing, a joint and several completion guaranty (the "**Completion Guaranty**") pursuant to which the Guarantors shall absolutely and unconditionally guarantee to Lender (a) the lien-free completion of the Project in accordance with the Plans and Specifications, the GMP Contract, the Approved Budget and the construction schedule, on or before the Outside Completion Date; (b) the funding of all costs of such completion in excess of the Loan proceeds, Retainage, contingency and Equity Contributions, without regard to any cost overrun, change order, casualty, Defect, contractor default, any insolvency proceeding affecting the Contractor or the Architect, or any other circumstance; and (c) payment of all amounts necessary to obtain the final, unconditional certificate of occupancy and to discharge all Liens (other than Permitted Exceptions). The Completion Guaranty shall remain in full force and effect until Lender has received evidence satisfactory to it that Final Completion has occurred. The Completion Guaranty is not limited in amount.

Section 13.2 Carry Guaranty

Each Guarantor shall execute and deliver to Lender, at Closing, a joint and several carry guaranty (the "**Carry Guaranty**") pursuant to which the Guarantors shall guarantee the payment of interest and all other carrying costs on the Loan during the term of the Loan, including (a) monthly interest, (b) real estate taxes and assessments, (c) insurance premiums, (d) the costs of completing the Project, (e) the reasonable costs of maintaining and operating the Property during any period of suspension or after an Event of Default, and (f) all Interest Reserve Shortfalls funded by Lender. The Carry Guaranty is in addition to, and not in lieu of, the Interest Reserve and shall apply to interest and carrying costs accruing after the Interest Reserve is exhausted or to the extent the Interest Reserve is insufficient.

Section 13.3 Partial Repayment Guaranty

Each Guarantor shall execute and deliver to Lender, at Closing, a joint and several partial repayment guaranty (the "**Partial Repayment Guaranty**") in the maximum aggregate amount of $11,875,000, being twenty-five percent (25%) of the original principal amount of the Loan (the "**Partial Repayment Guaranty**

Amount"). The Partial Repayment Guaranty is a guarantee of payment and not of collection. The Guarantors shall be jointly and severally liable for the Partial Repayment Guaranty Amount, meaning that each Guarantor is individually liable for the full Partial Repayment Guaranty Amount (and not merely for a pro rata share), **provided** that Lender shall not be entitled to recover more than the Partial Repayment Guaranty Amount in the aggregate from all Guarantors under the Partial Repayment Guaranty. The Partial Repayment Guaranty shall become due and payable upon (a) the occurrence of an Event of Default and acceleration of the Loan, (b) the commencement of any foreclosure or other enforcement proceeding, or (c) the Maturity Date, whichever first occurs.

Section 13.4 Recourse Triggers

Notwithstanding **Section 13.3**, the liability of the Guarantors under the Partial Repayment Guaranty shall become full recourse for the entire amount of the Obligations (and not merely the Partial Repayment Guaranty Amount), less any amounts recovered by Lender from the realization on the collateral, upon the occurrence of any of the following (each, a "**Recourse Trigger**"): (a) fraud, intentional misrepresentation or willful misconduct by Borrower, any Guarantor, any member of Borrower or any Affiliate of any of the foregoing in connection with the Loan or the Loan Documents; (b) the voluntary filing by Borrower of a petition under the Bankruptcy Code or any other insolvency proceeding, or the consent by Borrower to the appointment of a receiver, trustee or custodian, or the collusive or bad-faith failure by Borrower to contest an involuntary petition; (c) any prohibited transfer, encumbrance, pledge or hypothecation of the Property, any membership interest in Borrower or any other collateral in violation of this Agreement, or any transfer that results in a change of control of Borrower; (d) any breach of the SPE covenants in **Article 18** or of the covenant to maintain the Independent Manager; (e) any Environmental Violation, any release of Hazardous Materials caused or permitted by Borrower, its agents or contractors, or any failure to comply with the NFA Letter, the Soil Management Plan or the Environmental Laws; (f) waste, arson, intentional destruction of the Property, or misapplication of insurance proceeds, condemnation awards, rents or security deposits; (g) the failure to complete the Project or the abandonment of the Project; (h) the misapplication or diversion of Loan proceeds, including any use of proceeds in violation of **Section 2.2**; (i) any amendment, modification or refinancing of the Mezzanine Loan in violation of **Section 22.6** or the Intercreditor Agreement; and (j) Borrower's assertion in any proceeding that any Loan Document is unenforceable or that the Loan is nonrecourse. Lender may pursue the Guarantors for the full amount of the Obligations upon the occurrence of a Recourse Trigger, and the Guarantors shall not be entitled to any reduction for the value of the collateral or for any nonrecourse limitation contained in any Loan Document.

Section 13.5 Environmental Indemnity

Each Guarantor, and Borrower, shall execute and deliver to Lender, at Closing, an environmental indemnity agreement (the "**Environmental Indemnity**") in form satisfactory to Lender, pursuant to which Borrower and the Guarantors shall, jointly and severally, indemnify and hold harmless Lender and the other Indemnified Parties from and against all losses, liabilities, claims, damages, penalties, fines, judgments, remediation costs, natural resource damages, diminution in value, consultants' fees and attorneys' fees arising out of or relating to (a) the presence, release, threatened release or migration of Hazardous Materials at, on, under, from or migrating to or from the Property, including the residual petroleum contamination described in the Phase I ESA and the NFA Letter; (b) any violation of or liability under any Environmental Law relating to the Property; (c) any failure to comply with the NFA Letter, the Soil Management Plan or the Deed Notice; (d) the breach of any representation, warranty or covenant in **Article 19**; and (e) any claim by any Governmental Authority or third party relating to any of the foregoing. The Environmental Indemnity shall be unlimited in amount and shall survive repayment of the Loan, the release or reconveyance of the Deed of Trust, and any foreclosure, deed in lieu of foreclosure or acceptance of a transfer in lieu of foreclosure.

Section 13.6 Guarantor Waivers

Each Guarantor waives, to the fullest extent permitted by applicable law: (a) notice of acceptance, presentment, demand, protest, notice of dishonor, notice of nonpayment or nonperformance, notice of acceleration, and all other notices of any kind; (b) any defense arising from the disability, dissolution, insolvency or bankruptcy of Borrower or any other Guarantor; (c) any defense based on the absence, impairment, loss or release of any collateral, or Lender's failure to perfect any Lien; (d) any right to require Lender to proceed first against Borrower, any other Guarantor or any collateral (waiver of the benefits of any "one action" rule or anti-deficiency statute to the extent permitted by law, and of N.C.G.S. §26-7 *et seq.*); (e) any defense based on any modification, extension, renewal or forbearance of the Loan or the Loan Documents, whether or not the Guarantor has notice thereof; and (f) any right of subrogation, contribution or reimbursement against Borrower until the Obligations have been paid in full and all periods during which Lender may avoid payments under the Bankruptcy Code have expired.

Section 13.7 Independent Obligations; North Carolina Law

The obligations of each Guarantor are independent of the obligations of Borrower and of any other Guarantor, and a separate action may be brought against each Guarantor whether or not Borrower or any other Guarantor is joined. Borrower and the Guarantors acknowledge that (a) North Carolina is a judicial foreclosure state; (b) a deficiency judgment following a foreclosure sale is subject to the fair-

price confirmation and credit-bid procedures of N.C.G.S. §45-21.36; (c) the Guaranties are intended to constitute independent obligations of the Guarantors and not a deficiency judgment against Borrower, and Lender's rights under the Guaranties shall be enforceable to the maximum extent permitted by North Carolina law; and (d) Lender may elect to bid at any foreclosure sale, and the amount of Lender's credit bid shall not limit the Guarantors' obligations under the Guaranties, except to the extent required by applicable law. Nothing in this Section shall be construed to waive any right that may not be waived under applicable law, and the Guaranties shall be enforceable to the fullest extent permitted by law.

Section 13.8 Guarantor Financial Covenants

(a) Combined net worth of the Guarantors shall not at any time be less than $30,000,000, tested annually and upon Lender's reasonable request.

(b) The net worth of each Guarantor shall not at any time be less than $8,000,000, tested annually.

(c) Combined Liquid Assets of the Guarantors shall not at any time be less than $5,000,000, tested quarterly, determined as of the last day of each Fiscal Quarter.

(d) If any Guarantor fails to satisfy the covenant in clause (b) or (c), such Guarantor shall, within thirty (30) days after written notice from Lender, either (i) deposit cash collateral with Lender in an amount sufficient to restore compliance, or (ii) deliver additional collateral or an additional guarantor acceptable to Lender, or (iii) make a principal curtailment in the amount necessary to restore compliance with the applicable Financial Covenant. The foregoing remedies are cumulative with Lender's other rights.

Section 13.9 Guarantor Reporting

Each Guarantor shall deliver to Lender (a) annual personal financial statements, certified as true and correct and prepared in form reasonably acceptable to Lender, within one hundred twenty (120) days after the end of each calendar year; (b) quarterly liquidity certifications within forty-five (45) days after the end of each Fiscal Quarter; (c) copies of federal income tax returns for the two most recent taxable years within thirty (30) days after Lender's request (or, if later, within thirty (30) days after filing); and (d) such other financial information as Lender may reasonably request. Each Guarantor authorizes Lender to obtain credit reports and to verify the information provided.

Section 13.10 No Release of Guarantors

No release, amendment or modification of any Guaranty shall be effective unless in writing and signed by Lender. No act, delay or omission of Lender shall release, discharge or otherwise affect the obligations of any Guarantor, except a written release executed by Lender.

ARTICLE 14 — REPRESENTATIONS AND WARRANTIES

Section 14.1 Representations and Warranties

Borrower and each Guarantor (as to itself) represent and warrant to Lender as of the Effective Date and as of the Closing Date (and, with respect to each Progress Advance, as of the date of such Advance by delivery of the certificate required by **Section 9.1(g)**), as follows:

(a) **Organization; Authority.** Borrower is a limited liability company duly organized, validly existing and in good standing under the laws of the State of North Carolina, with full power and authority to own the Property, conduct its business, execute and deliver the Loan Documents and perform its obligations thereunder. Each Guarantor is an individual of full legal capacity. The execution, delivery and performance of the Loan Documents have been duly authorized by all necessary action of Borrower, its managers and its members, including any member approval required by the Operating Agreement.

(b) **Enforceability.** Each Loan Document constitutes the legal, valid and binding obligation of Borrower and each Guarantor, enforceable against them in accordance with its terms, subject to bankruptcy, insolvency, reorganization, moratorium and similar laws affecting creditors' rights generally and to general principles of equity.

(c) **No Conflicts; Consents.** The execution, delivery and performance of the Loan Documents do not and will not (i) violate Borrower's Articles of Organization or Operating Agreement, (ii) violate any Legal Requirement, order or judgment, (iii) result in a breach or default under any material agreement (including the GMP Contract, the Architect's Agreement, the Mezzanine Loan documents and the CC&Rs), or (iv) result in the creation of any Lien other than in favor of Lender. All consents, approvals and authorizations required in connection therewith have been obtained, including the approval of members holding at least 75% of the membership interests in Borrower as required by Section 3.2 of the Operating Agreement.

(d) **Litigation.** There is no action, suit, proceeding, investigation, arbitration or governmental inquiry pending or, to the knowledge of Borrower or any

Guarantor, threatened against Borrower, any Guarantor, any member of Borrower or the Property that, if adversely determined, could reasonably be expected to have a Material Adverse Effect.

(e) **Financial Statements.** The financial statements of Borrower and the personal financial statements of each Guarantor delivered to Lender (including the personal financial statements of Elena Vasquez-Torres dated December 15, 2024 and of Reginald K. Osei dated December 18, 2024) are true, complete and correct in all material respects and fairly present the financial condition of the applicable Person as of the dates thereof, and no material adverse change has occurred since such dates. Borrower's net worth, determined in accordance with GAAP, is not less than $12,000,000, and Borrower has delivered to Lender a balance sheet and supporting schedules demonstrating such net worth, including the treatment of the Prior Deed of Trust and of the Mezzanine Loan.

(f) **No Default.** No Default or Event of Default exists under this Agreement or any other Loan Document, and no default exists under the Mezzanine Loan, the GMP Contract, the Architect's Agreement, the CC&Rs or any other material agreement to which Borrower is a party.

(g) **Title.** Borrower owns the Property in fee simple, free and clear of all Liens other than the Permitted Exceptions and the Prior Deed of Trust (which will be released at Closing). The Title Commitment is true and correct, and the Permitted Exceptions are the only matters of record affecting the Property other than those to be released at Closing.

(h) **Zoning; CC&Rs; Permits.** The Property is zoned MU-D (Mixed Use — Downtown) and the Project is permitted as of right, without any variance, special use permit, conditional zoning or rezoning. The Project complies with the CC&Rs and has received all architectural review approvals required thereunder (or the applicable deemed-approval period has lapsed without written action). Borrower has obtained or will obtain before commencement of the applicable work all building permits, site permits, stormwater approvals, utility approvals and other governmental approvals required for the construction and occupancy of the Project.

(i) **Environmental.** Except as disclosed in the Phase I ESA, the Phase II ESA and the NFA Letter, (i) no Hazardous Materials are present at, on, under or migrating from the Property in violation of any Environmental Law or in a condition that requires investigation, remediation or reporting; (ii) the Property and the Project comply with all Environmental Laws; (iii) Borrower has not received any notice of violation, order, directive, information request or claim relating to Environmental Laws or Hazardous Materials; and (iv) there are no underground storage tanks, asbestos-containing materials, polychlorinated biphenyls or other Hazardous Materials at the Property

other than the residual petroleum contamination described in the Phase I ESA and the NFA Letter. Borrower has delivered to Lender true and complete copies of the Phase I ESA, the Phase II ESA, the NFA Letter and all material correspondence with NCDEQ.

(j) **NFA Conditions.** Borrower has not received any notice from NCDEQ that it is not in compliance with the NFA Letter. Borrower has caused (or will cause within the period required by the NFA Letter) the Deed Notice to be prepared and recorded, the Soil Management Plan to be prepared and submitted to NCDEQ, and the Vapor Mitigation System to be designed and incorporated into the Plans and Specifications.

(k) **Development Documents.** The GMP Contract has been duly executed and is in full force and effect, the GMP amount is not less than $34,750,000, and there are no pending or, to Borrower's knowledge, threatened claims, disputes, stop notices, termination notices or unpaid amounts thereunder. The Architect's Agreement is in full force and effect. Borrower has delivered true and complete copies of each Development Document to Lender.

(l) **Single-Purpose Entity.** As of the Closing Date, and after giving effect to the amendments to the Operating Agreement required by **Article 18**, Borrower is and shall be a single-purpose entity in compliance with **Article 18**, and its Operating Agreement includes the separateness covenants and the Independent Manager provisions required hereby.

(m) **Mezzanine Loan.** Borrower has delivered to Lender a true and complete copy of the Mezzanine Loan documents. The Mezzanine Loan is in the original principal amount of $9,200,000, bears interest at a fixed rate of 12.50% per annum, matures no earlier than the Maturity Date, and is subject to no default and no event that with notice or lapse of time would constitute a default. Borrower has not granted any Lien on the Property or any membership interest in Borrower other than in favor of Lender and the Mezzanine Lender.

(n) **Solvency.** Borrower is solvent, is able to pay its debts as they become due, and has assets having a fair saleable value greater than its liabilities.

(o) **Compliance with Anti-Corruption and Sanctions Laws.** Neither Borrower, any Guarantor, any member of Borrower nor any of their respective beneficial owners is (i) a Person named on any OFAC list, (ii) organized, resident or located in a country subject to comprehensive sanctions, or (iii) engaged in any transaction that would violate any anti-corruption or anti-money-laundering law, including the Foreign Corrupt Practices Act.

(p) **Insurance.** Borrower has obtained, or will obtain before Closing, all insurance required by **Article 20**, and no notice of cancellation, non-renewal or premium increase has been received with respect to any such policy.

(q) **No Brokers.** No broker, finder or placement agent is entitled to any fee or commission in connection with the Loan based upon any arrangement made by Borrower or any Guarantor.

(r) **Full Disclosure.** No representation, warranty, certificate or written statement furnished by Borrower or any Guarantor to Lender in connection with the Loan contains any untrue statement of a material fact or omits to state a material fact necessary to make the statements contained therein not misleading in light of the circumstances in which they were made. Borrower has disclosed to Lender in writing all facts known to it that could reasonably be expected to have a Material Adverse Effect.

Section 14.2 Survival of Representations

All representations and warranties shall survive the Closing and the making of each Advance and shall be deemed repeated as of the date of each Advance, and Lender’s rights with respect thereto shall not be affected by any investigation or inspection by Lender or by its knowledge of any facts.

ARTICLE 15 — AFFIRMATIVE COVENANTS

Section 15.1 Affirmative Covenants

Until the Obligations have been paid in full and the Loan Documents terminated, Borrower shall, and shall cause each Guarantor (as applicable) to:

(a) maintain the Property in good condition and repair, ordinary wear and tear excepted, and promptly make all repairs, renewals and replacements necessary to preserve the value and rentability of the Property;

(b) complete the Project in accordance with the Plans and Specifications, the Approved Budget and the construction schedule on or before the Outside Completion Date, free and clear of Liens other than Permitted Exceptions;

(c) deliver the reports, certificates and financial statements required by **Article 23**;

(d) maintain in full force and effect all insurance required by **Article 20**;

(e) comply with all Legal Requirements, including all Environmental Laws, the CC&Rs and the NFA Letter;

(f) maintain its status as a single-purpose entity in compliance with **Article 18**;

(g) maintain Borrower’s net worth at not less than $12,000,000 and cause the Guarantors to maintain the financial covenants set forth in **Section 13.8**;

(h) pay and discharge all taxes, assessments, governmental charges and claims for labor, materials and supplies when due, before delinquency and before any Lien attaches, unless contested in good faith by appropriate proceedings with adequate reserves and no risk of sale or forfeiture of the Property;

(i) promptly notify Lender in writing of (A) any Default or Event of Default, (B) any litigation, arbitration, investigation or governmental proceeding involving Borrower, any Guarantor, the Property or the Project that involves a claim in excess of $250,000 or that could reasonably be expected to have a Material Adverse Effect, (C) any Release of Hazardous Materials or any notice, order, directive or claim under any Environmental Law, (D) any material adverse change in the financial condition of Borrower or any Guarantor, (E) any notice of default, acceleration or breach received under the Mezzanine Loan, the GMP Contract, the Architect’s Agreement or the CC&Rs, (F) any casualty, condemnation or taking affecting the Property, and (G) any claim of lien, stop notice or bond claim filed against the Property or the Project;

(j) maintain and preserve Borrower’s existence, good standing and qualifications to do business in North Carolina, and maintain its books and records in accordance with GAAP;

(k) permit Lender and its agents, appraisers, engineers, consultants and inspectors to inspect the Property, the Project and Borrower’s books and records at any time during normal business hours upon reasonable notice, and to conduct an annual (or more frequent, upon an Event of Default) physical inspection of the Property;

(l) comply with the terms and conditions of the Intercreditor Agreement and cause the Mezzanine Lender to comply therewith;

(m) continue to use commercially reasonable efforts to obtain permanent financing for the Property and to deliver the take-out plan required by **Section 6.4**;

(n) maintain the Vapor Mitigation System in good working order, cause it to be inspected and certified at the frequency required by the NFA Letter (and not less than annually), and deliver to Lender evidence of such inspection and certification within thirty (30) days after completion;

(o) deliver to Lender, promptly upon receipt, copies of all notices, permits, governmental correspondence and regulatory communications relating to the Property, the Project or the environmental condition of the Property;

(p) cooperate with Lender in maintaining Lender's eligibility for the bona fide prospective purchaser, contiguous property owner and innocent landowner defenses under CERCLA, including by maintaining the Phase I ESA's all appropriate inquiry and by taking all reasonable steps to stop any continuing release and to prevent any threatened future release of Hazardous Materials;

(q) cause the Contractor to maintain its license, insurance and bonds in full force and effect, and deliver copies of all renewal certificates;

(r) keep the Property free of mechanics' and materialmen's liens (other than Permitted Exceptions), and bond off or release any claim of lien within thirty (30) days after filing;

(s) maintain the Zoning Report, the building permits and all other governmental approvals in full force and effect, and obtain any additional approvals required;

(t) cause the members of Borrower to make the capital contributions contemplated by the Approved Budget and the Operating Agreement when called;

(u) provide Lender with such other information, certificates and documents as Lender may reasonably request;

(v) maintain the Developer Fee disbursement conditions set forth in **Section 11.6**;

(w) use the proceeds of the Loan solely for the purposes set forth in **Section 2.2**; and

(x) pay all costs and expenses required by **Section 26.3**.

ARTICLE 16 — FINANCIAL COVENANTS

Section 16.1 Loan-to-Value Ratio

The LTV shall not exceed sixty-five percent (65%) at any time, tested (a) at Closing, (b) at the commencement of the Mini-Perm Period, (c) upon any reappraisal under **Section 16.9**, and (d) annually thereafter. Borrower acknowledges that the LTV as of the Effective Date, based on the Appraisal, is 65.25% on an as-completed basis ($47,500,000 ÷ $72,800,000) and 62.34% on an as-stabilized basis ($47,500,000 ÷ $76,200,000), and that the as-completed LTV exceeds the 65% limit by approximately $180,000 of principal. At or before Closing, Borrower shall either (i) reduce the principal amount of the Loan by $180,000, or (ii) deposit additional Equity Contributions in an amount sufficient to reduce the Loan-to-Value Ratio to not more than 65%, or (iii) deliver a reappraisal satisfactory to Lender demonstrating compliance.

Section 16.2 Loan-to-Cost Ratio

The LTC shall not exceed eighty percent (80%) at any time, tested at Closing and at each Advance with reference to Total Project Costs as then reflected in the Approved Budget. Borrower acknowledges that, without giving effect to the Required Equity Contribution and the conforming of the Approved Budget under **Section 11.2**, the LTC is 83.77% ($47,500,000 ÷ $56,700,000).

Section 16.3 Minimum DSCR

(a) **Test.** The DSCR shall not be less than 1.25x, tested (i) at the commencement of the Mini-Perm Period, calculated on a pro forma basis using Stabilized NOI and Senior Debt Service (and not on the basis of actual trailing twelve-month net operating income, which the parties acknowledge will not be meaningful until the Project has been operating and leasing for a reasonable period), (ii) at the first anniversary of Substantial Completion, (iii) annually thereafter, and (iv) upon any reappraisal under **Section 16.9**.

(b) **Cure.** If the DSCR is less than 1.25x at any test date, Borrower shall, within thirty (30) days after written notice from Lender, at Lender’s election either (i) prepay the Loan in an amount sufficient to restore the DSCR to not less than 1.25x, or (ii) deposit cash collateral with Lender in an amount determined by Lender to be sufficient to restore the DSCR to not less than 1.25x, to be held in a pledged account and applied to the Obligations in accordance with Lender’s instructions. Borrower’s failure to cure within such period shall constitute an Event of Default under **Section 24.3**.

Section 16.4 Combined Debt Service Coverage

(a) **Test.** From and after the first anniversary of Substantial Completion, the Combined DSCR shall not be less than 1.10x, tested annually. Borrower acknowledges that, based on Stabilized NOI of $4,876,800, Senior Debt Service of $3,728,750 (interest only at 7.85%) and Mezzanine Debt Service of approximately $1,150,000 per annum (12.50% on a $9,200,000 balance, before giving effect to paid-in-kind accrual), the Combined DSCR as of the Effective Date would be approximately 1.00x, and that, giving effect to the accrual of paid-in-kind interest on the Mezzanine Loan during the Construction Period (which would increase the Mezzanine Loan balance to approximately $12,075,000 by the Construction Maturity Date on a simple-interest basis), the Combined DSCR would be approximately 0.93x. The parties acknowledge that the Financial Covenants and the take-out strategy depend upon (i) the Mezzanine Lender’s agreement to defer or capitalize a substantial portion of its interest, (ii) achievement of NOI in excess of the Appraisal’s projection, or (iii) repayment or restructuring of the Mezzanine Loan at or before the Mini-Perm Period, and Borrower shall deliver to Lender, as a condition to conversion to the Mini-Perm Period, evidence

reasonably satisfactory to Lender that the Combined DSCR will be satisfied or that the Mezzanine Loan will be repaid or restructured.

(b) **Cure.** If the Combined DSCR is less than 1.10x, Borrower shall, within thirty (30) days after notice, either (i) cause the Mezzanine Loan to be repaid, reduced or restructured so as to restore compliance, (ii) prepay the Loan in an amount sufficient to restore compliance, or (iii) deposit cash collateral with Lender in an amount sufficient to restore compliance.

Section 16.5 Borrower Net Worth

Borrower's net worth, determined in accordance with GAAP, shall not at any time be less than $12,000,000, tested annually within one hundred twenty (120) days after the end of each Fiscal Year and upon Lender's reasonable request. Borrower acknowledges that its net worth as of the Effective Date is stated to be approximately $14,200,000 and that such figure must be supported by a balance sheet delivered under **Section 14.1(e)** that properly reflects the Prior Deed of Trust and the Mezzanine Loan.

Section 16.6 Guarantor Liquidity

The combined Liquid Assets of the Guarantors shall not at any time be less than $5,000,000, tested quarterly. "**Liquid Assets**" means cash, cash equivalents, marketable securities and other assets readily convertible to cash within thirty (30) days, excluding retirement accounts, interests in Borrower, real property and other illiquid assets. Borrower acknowledges that the combined guarantor liquidity as of the Effective Date is stated to be approximately $9,300,000 ($6,100,000 attributable to Ms. Vasquez-Torres and $3,200,000 attributable to Mr. Osei).

Section 16.7 Guarantor Net Worth

The combined net worth of the Guarantors shall not at any time be less than $30,000,000, and the net worth of each Guarantor shall not at any time be less than $8,000,000, tested annually, in each case as required by **Section 13.8**.

Section 16.8 Compliance Certificates

Borrower shall deliver to Lender, concurrently with each annual and quarterly financial statement, a compliance certificate in the form attached as **Exhibit H**, signed by the Managing Member of Borrower, setting forth in reasonable detail the calculations of each Financial Covenant and certifying that no Default or Event of Default exists (or, if one exists, describing it and the steps being taken to cure it).

Section 16.9 Appraisals

Lender may obtain, at Borrower's expense, an updated appraisal or reappraisal of the Property (a) at any time after the occurrence of an Event of Default, (b) not more than once in any twelve (12) month period in the absence of an Event of Default, (c) as required for compliance with FIRREA or Lender's regulatory requirements, or (d) in connection with any request by Borrower for the Extension Option or any material amendment. Each appraisal shall be prepared by an MAI-designated appraiser acceptable to Lender and shall comply with USPAP and FIRREA. If any appraisal indicates non-compliance with **Section 16.1**, Borrower shall comply with **Section 16.1** (or, at Lender's election, **Section 16.3(b)**) within thirty (30) days.

Section 16.10 Equity Cure Right

Borrower may cure a breach of **Section 16.2**, **Section 16.3**, **Section 16.4**, **Section 16.5** or **Section 16.6** by depositing cash with Lender or making a prepayment of the Loan, in either case in an amount sufficient to cure such breach, provided that (a) such right may be exercised not more than twice during the term of the Loan, (b) no more than one cure may occur in any twelve (12) month period, (c) the cure is completed within thirty (30) days after the applicable test date, and (d) no Default or Event of Default (other than the covenant breach being cured) exists.

ARTICLE 17 — NEGATIVE COVENANTS

Section 17.1 Negative Covenants

Until the Obligations have been paid in full, Borrower shall not, and shall not permit any Subsidiary or Affiliate holding any interest in the Property to, without Lender's prior written consent (which, except as expressly provided, may be withheld in Lender's sole and absolute discretion):

(a) incur, assume, guarantee or permit to exist any Indebtedness other than Permitted Indebtedness;

(b) create, incur, assume or permit to exist any Lien on the Property, any membership interest in Borrower or any other collateral, other than the Permitted Exceptions and the Liens in favor of Lender and (as to membership interests only, and only as subordinated under the Intercreditor Agreement) the Mezzanine Lender;

(c) sell, transfer, convey, assign, lease (other than leases of residential units and retail space in the ordinary course in accordance with **Section 10.9**), option, or otherwise dispose of the Property or any interest therein, or any

membership interest in Borrower, whether directly or indirectly, including by merger, consolidation, division, conversion or otherwise;

(d) change, modify or alter the ownership structure or membership interests of Borrower, or admit any new member, or permit any transfer, pledge, encumbrance or hypothecation of any membership interest, other than the pledge to Lender and the subordinated pledge to the Mezzanine Lender as governed by the Intercreditor Agreement;

(e) amend, restate, modify or waive any provision of Borrower's Articles of Organization or Operating Agreement in any manner that (i) affects the SPE covenants, the Independent Manager provisions, the management structure, the capital contribution obligations, the distribution provisions or the transfer restrictions, or (ii) could reasonably be expected to adversely affect Lender, without Lender's prior written consent;

(f) enter into, amend or consummate any transaction with any Affiliate of Borrower or of any member, including the Mezzanine Lender, except on arm's-length terms and for fair and reasonable consideration, and with prior written notice to Lender;

(g) make any distribution, dividend, return of capital or other payment to any member of Borrower during the Construction Period, except payment of the Developer Fee in accordance with **Section 11.6**; and, during the Mini-Perm Period, make any distribution except from Distributable Cash (as defined in the Operating Agreement) after payment of all debt service, reserves and operating expenses and provided no Default or Event of Default exists;

(h) amend, modify, supplement, terminate, replace or waive any material term of the GMP Contract, the Architect's Agreement or the Plans and Specifications except in accordance with **Article 10**;

(i) amend, modify, supplement or waive any term of the Mezzanine Loan (including the principal amount, interest rate, maturity, amortization, collateral, subordination or remedies), or prepay, defease or refinance the Mezzanine Loan, without Lender's prior written consent;

(j) amend, modify or waive any condition of the NFA Letter, the Soil Management Plan or the Deed Notice, or undertake any activity in the Affected Area inconsistent therewith;

(k) permit any residential occupancy of any portion of the building constructed over or within the Affected Area unless and until Borrower has obtained a written modification of the NFA Letter from NCDEQ expressly permitting such residential use, in form and substance satisfactory to Lender;

(l) change its Fiscal Year, change its method of accounting (except as required by GAAP), or change its name, jurisdiction of organization, organizational

identification number or principal place of business without thirty (30) days' prior written notice to Lender and delivery of all filings necessary to maintain the perfection of Lender's Liens;

(m) engage in any business other than the ownership, development, construction, leasing, management and operation of the Project;

(n) make any loan, advance or investment other than (i) investments in cash and cash equivalents, (ii) investments in the Project, and (iii) prepaid expenses in the ordinary course of business;

(o) dissolve, liquidate, merge, consolidate, divide or convert, or file any voluntary petition under the Bankruptcy Code or consent to the appointment of a receiver, or fail to contest in good faith any involuntary petition;

(p) settle or compromise any claim, litigation or arbitration involving an amount in excess of $250,000, or that imposes any non-monetary obligation on Borrower or affects the Property, without Lender's prior written consent;

(q) materially change the use or operation of the Property, or take any action that would cause the Property to violate the CC&Rs, the Zoning Report, any recorded covenant, condition or restriction, or any Environmental Law;

(r) permit the Project to be operated in a manner that would cause the Title Policy to be voided or any of its endorsements to be invalidated;

(s) enter into any easement, license, covenant, condition, restriction, declaration or other agreement affecting title to the Property, or grant any option or right of first refusal with respect to the Property, without Lender's prior written consent;

(t) voluntarily subject the Property to any assessment district, special taxing district, community development district or similar arrangement;

(u) make any capital expenditure not contemplated by the Approved Budget in excess of $250,000 in the aggregate in any Fiscal Year; or

(v) use any portion of the Property in a manner that would cause Lender to be deemed a "lender in possession," "owner or operator" or "arranger" for purposes of CERCLA or any Environmental Law.

Section 17.2 Permitted Transfers

Notwithstanding **Section 17.1(c)** and **(d)**, the following shall be permitted without Lender's consent, provided that no Default or Event of Default exists and Borrower delivers thirty (30) days' prior written notice (with such documentation as Lender may reasonably require): (a) the pledge of membership interests to the Mezzanine Lender as a second priority lien under the Intercreditor Agreement; and (b) transfers of membership interests resulting from the death of a member to

such member’s estate or heirs, provided that (i) the transferee executes a joinder to the Pledge Agreement and the Operating Agreement, (ii) the transfer does not result in a change of control, and (iii) no transfer may result in the Borrower having more than ten (10) members or in any member that is not an accredited investor.

ARTICLE 18 — SINGLE-PURPOSE ENTITY; SEPARATENESS; INDEPENDENT MANAGER

Section 18.1 SPE Covenants

Borrower shall at all times maintain its status as a single-purpose, bankruptcy-remote entity and shall:

(a) hold no assets other than the Property, the Project and related assets (including cash and cash equivalents and the accounts contemplated by the Loan Documents);

(b) incur no liabilities other than the Permitted Indebtedness, the Loan Documents, and trade payables and accrued expenses incurred in the ordinary course of business;

(c) conduct no business other than the ownership, development, construction, leasing, management and operation of the Project;

(d) maintain its own books, records, financial statements, bank accounts and payroll separate from those of any member, Affiliate or other Person, and not commingle its funds or other assets with those of any member, Affiliate or other Person;

(e) hold itself out as a separate and distinct entity, conduct its business in its own name, and not hold itself out as being liable for the debts of any member or Affiliate or as a division or part of any other Person;

(f) observe all organizational formalities, maintain minutes and records of member and manager actions, and make all required filings with the North Carolina Secretary of State;

(g) pay its own liabilities and expenses from its own funds, and allocate shared overhead and shared expenses (if any) on a basis that is fair and reasonable and that reflects arm’s-length dealings;

(h) maintain arm’s-length relationships with all Affiliates and enter into no transaction with an Affiliate except on arm’s-length terms documented in writing;

(i) not guarantee or become obligated for the debts of any other Person, and not pledge its assets for the benefit of any other Person;

(j) not acquire obligations or securities of any member or Affiliate, and not make any loans to any member or Affiliate;

(k) not identify any member or Affiliate as a division or part of Borrower, and correct any known misunderstanding regarding its separate identity;

(l) maintain adequate capital in light of its contemplated business operations, and cause its members to make the capital contributions required by the Operating Agreement and the Approved Budget;

(m) not commingle any funds held in trust or otherwise for the benefit of third parties;

(n) not engage in any transaction with the Mezzanine Lender except as permitted by the Mezzanine Loan documents and the Intercreditor Agreement; and

(o) file its own tax returns and not file a consolidated return with any member or Affiliate.

Section 18.2 Independent Manager

(a) **Requirement.** As a condition to Closing, Borrower's Operating Agreement shall be amended to provide, and Borrower shall at all times maintain, at least one manager (the "**Independent Manager**") who (i) is not, and has not been within the preceding five (5) years, an officer, director, manager, employee, member, creditor, supplier, customer, attorney, accountant or Affiliate of Borrower, any member of Borrower, the Mezzanine Lender, Thomas R. Chen or any Affiliate of any of the foregoing; (ii) has no economic interest in Borrower or any such Person; and (iii) is provided by a nationally recognized independent director/manager service provider acceptable to Lender (or is otherwise acceptable to Lender in its reasonable discretion).

(b) **Authority.** The affirmative vote of the Independent Manager shall be required for Borrower to (i) file a voluntary petition under the Bankruptcy Code or consent to the appointment of a receiver, trustee or custodian, (ii) make an assignment for the benefit of creditors, (iii) admit in writing its inability to pay its debts generally as they become due, (iv) dissolve, liquidate, merge, consolidate or transfer all or substantially all of its assets, or (v) amend the provisions of the Operating Agreement relating to the Independent Manager.

(c) **Removal.** The Independent Manager may not be removed, and the provisions of the Operating Agreement relating to the Independent Manager may not be amended, without Lender's prior written consent.

(d) **Springing Obligation.** If at any time Borrower's Operating Agreement does not contain the provisions required by this Section, Borrower shall,

within ten (10) Business Days after notice from Lender, cause such provisions to be adopted and an Independent Manager to be appointed.

(e) **Costs.** Borrower shall pay all reasonable costs and fees of the Independent Manager and the service provider.

Section 18.3 Non-Consolidation Opinion

As a condition to Closing, Borrower's counsel (Calloway & Strauss PLLC) shall deliver to Lender a substantive non-consolidation opinion (the "**Non-Consolidation Opinion**"), in form and substance satisfactory to Lender and its counsel, opining that, subject to customary assumptions and qualifications, a court applying applicable North Carolina law (with such reference to Delaware limited liability company law as counsel deems appropriate) would not substantively consolidate the assets and liabilities of Borrower with those of any member of Borrower, the Mezzanine Lender, Brightleaf Investors Group LLC, Thomas R. Chen or any other Affiliate of Borrower in any bankruptcy or insolvency proceeding of Borrower or any such Person. The Non-Consolidation Opinion shall be updated, if requested by Lender, in connection with any material amendment to the Operating Agreement or the Mezzanine Loan, or upon any change in the organizational structure of Borrower.

Section 18.4 Affiliate Relationship; Acknowledgment

Borrower acknowledges and discloses to Lender that Thomas R. Chen is the managing member of both Brightleaf Investors Group LLC (which holds a 28% membership interest in Borrower) and Brightleaf Mezzanine Capital LLC (the Mezzanine Lender), and that Brightleaf Investors Group LLC received its membership interest in Borrower in consideration of its commitment to arrange the mezzanine financing for the Project rather than for a cash capital contribution. Borrower shall ensure that the Intercreditor Agreement includes express acknowledgments of this relationship and provisions prohibiting the Mezzanine Lender from using its affiliate relationship to the detriment of Lender. Borrower shall promptly notify Lender of any change in the ownership or control of Brightleaf Investors Group LLC, Brightleaf Mezzanine Capital LLC or Borrower.

Section 18.5 Member Approval; Consents

Borrower represents that, as of the Closing Date, (a) the execution, delivery and performance of the Loan Documents, (b) the grant of the Pledge Agreements, (c) the amendments to the Operating Agreement required by this Article, and (d) the grant of the irrevocable proxies required by **Section 12.2**, have each been approved by the members of Borrower as required by Section 3.2 and Section 9.1 of the Operating Agreement, and that all such approvals remain in full force and effect. Borrower shall deliver to Lender certified copies of all such member consents and the executed amendment to the Operating Agreement.

Section 18.6 Breach a Recourse Trigger

Any breach of this Article shall constitute an Event of Default and a Recourse Trigger under **Section 13.4(d)**.

ARTICLE 19 — ENVIRONMENTAL COVENANTS

Section 19.1 Compliance with Environmental Laws

Borrower shall, and shall cause all contractors, subcontractors, tenants and occupants to, comply with all Environmental Laws and with all permits, licenses and approvals relating to the environmental condition of the Property. Borrower shall not cause or permit any Release of Hazardous Materials at, on, under or from the Property, and shall not use the Property for any use that would cause Lender to be deemed an "owner or operator" under CERCLA or any similar state law.

Section 19.2 NFA Letter Compliance

Borrower shall comply with each condition of the NFA Letter and shall, in particular:

(a) **Condition 1 — Vapor Mitigation System.** Cause the Vapor Mitigation System to be designed by a professional engineer licensed in North Carolina, incorporated into the Plans and Specifications, installed beneath any enclosed structure constructed over the Affected Area in accordance with the NCDEQ Division of Waste Management guidelines for vapor intrusion mitigation, and made capable of conversion from passive to active depressurization. Borrower shall deliver as-built drawings and a system performance verification report to NCDEQ within ninety (90) days after completion of the building foundation in the Affected Area, and shall deliver copies of all such submissions and any NCDEQ response to Lender within five (5) Business Days after submission or receipt. Borrower shall maintain the Vapor Mitigation System in good working order for so long as the NFA Letter remains in effect and shall not decommission, modify or impair the system without Lender's prior written consent.

(b) **Condition 2 — Non-Residential Land Use Restriction.** Not construct, use, lease, occupy or permit the occupancy of any residential dwelling unit, or any other "residential use" within the meaning of the NFA Letter, within the Affected Area, unless and until Borrower has obtained from NCDEQ a written modification of the NFA Letter expressly permitting such use, in form and substance satisfactory to Lender, and has delivered a copy thereof to Lender together with an updated appraisal and such other information as Lender may require. Borrower acknowledges that Lender's underwriting and the Appraisal do not reflect the loss of any residential units, and that if the NFA Letter is not modified, Borrower must (i) redesign the Affected Area

units (or the affected portion of the building) as non-residential space and deliver revised Plans and Specifications and revised income projections, and (ii) demonstrate to Lender's satisfaction that the Financial Covenants are satisfied on the revised program.

(c) **Condition 3 — Soil Management Plan.** Prior to any excavation, grading or other subsurface disturbance in the Affected Area, prepare and submit to NCDEQ for approval, and obtain NCDEQ's approval of, the Soil Management Plan addressing soil screening, stockpile management, dust control, worker health and safety, personal protective equipment, disposal of impacted soil and confirmation sampling. Borrower shall incorporate the Soil Management Plan into the construction documents, deliver a copy to the Contractor and all relevant subcontractors, provide training to all site personnel, and deliver a copy of the approved Soil Management Plan to Lender.

(d) **Condition 4 — Deed Notice.** Cause the Deed Notice to be prepared, executed and recorded in the Durham County Registry of Deeds in accordance with the NFA Letter, and deliver to Lender a certified copy of the recorded Deed Notice with the recording stamp. Borrower acknowledges that the NFA Letter required the Deed Notice to be recorded within sixty (60) days after September 30, 2024 (i.e., on or before November 29, 2024), that the Phase I ESA dated October 28, 2024 does not reflect that the Deed Notice had been recorded, and that the Deed Notice is not reflected in the Title Commitment. Borrower shall deliver evidence of the recorded Deed Notice not later than five (5) Business Days prior to the Closing Date, or, if not previously recorded, shall cause it to be recorded on the Closing Date concurrently with the recording of the Deed of Trust, and shall deliver to Lender a written statement from NCDEQ or environmental counsel confirming that the late recording does not impair the NFA determination.

Section 19.3 Environmental Reporting

Borrower shall deliver to Lender (a) copies of all submissions to and correspondence with NCDEQ relating to the Property, within five (5) Business Days after submission or receipt; (b) evidence of the annual inspection and certification of the Vapor Mitigation System within thirty (30) days after completion; (c) copies of all indoor air quality or sub-slab soil gas monitoring results, within ten (10) days after receipt; and (d) an annual environmental compliance certificate, signed by the Managing Member, certifying compliance with this Article and the NFA Letter.

Section 19.4 No Further Remediation; Additional Investigation

If any Governmental Authority requires additional investigation, remediation, monitoring or reporting with respect to the Property, or if Lender reasonably determines that any Hazardous Materials condition at the Property requires

investigation or remediation, Borrower shall, at its sole cost, promptly undertake and diligently complete such work in accordance with applicable Environmental Laws and shall keep Lender fully informed. Borrower shall not enter into any consent decree, administrative order or settlement relating to the environmental condition of the Property without Lender’s prior written consent.

Section 19.5 Notice of Releases

Borrower shall notify Lender in writing within twenty-four (24) hours after Borrower obtains knowledge of (a) any Release or threatened Release of Hazardous Materials at, on, under or from the Property that requires reporting under any Environmental Law, (b) any inspection, investigation, notice of violation, order or information request from any Governmental Authority relating to the environmental condition of the Property, or (c) any claim by any third party relating to Hazardous Materials or Environmental Laws.

Section 19.6 Lender’s Environmental Rights

Lender may, at Borrower’s expense (but not more than once per year in the absence of an Event of Default or a reasonable basis for concern), obtain a Phase I ESA update or other environmental assessment of the Property. Borrower shall cooperate with any such assessment and shall provide access to the Property and to all environmental records. Borrower shall not communicate with NCDEQ regarding the NFA Letter, the Affected Area or the Vapor Mitigation System without prior notice to Lender (except in an emergency), and shall permit Lender’s counsel to participate in any such communications.

Section 19.7 Environmental Indemnity; Survival

The Environmental Indemnity shall be in addition to, and not in limitation of, the covenants in this Article, and shall survive repayment of the Loan and any transfer of the Property by foreclosure, deed in lieu of foreclosure or otherwise. The obligations of Borrower and the Guarantors under this Article and the Environmental Indemnity shall not be limited by any exculpatory or nonrecourse provision of any Loan Document.

Section 19.8 Pollution Legal Liability Insurance

Lender may require, and Borrower shall obtain within sixty (60) days after Lender’s written request, a pollution legal liability insurance policy (or environmental remediation insurance) with coverage, limits, deductible, term and insurer rating reasonably satisfactory to Lender, naming Lender as additional insured and loss payee, and shall collaterally assign such policy to Lender. Lender’s failure to require such insurance at Closing shall not constitute a waiver of its right to require it thereafter.

Section 19.9 Environmental Default

Any failure to comply with this Article, the NFA Letter, the Soil Management Plan or the Deed Notice shall constitute an Event of Default under **Section 24.13** and a Recourse Trigger under **Section 13.4(e)**.

Section 19.10 Lender Not an Operator

Nothing in this Agreement, and no inspection, approval, consent or advance by Lender, shall be deemed to make Lender an "owner or operator," "arranger," "transporter" or "participant in management" of the Property or the Project for purposes of CERCLA, any Environmental Law or any other law. Borrower shall include in all leases and construction contracts such provisions as are reasonably necessary to preserve Lender's secured creditor exemption.

ARTICLE 20 — INSURANCE

Section 20.1 Required Insurance

Borrower shall procure and maintain, at its sole cost and expense, from insurers licensed in North Carolina and having an A.M. Best rating of not less than A- VIII (or such other rating as Lender may approve), the following insurance:

(a) **Builder's Risk.** All-risk builder's risk insurance (including soft cost, materials in transit, materials stored off-site, flood, windstorm, earth movement and equipment breakdown coverages) on a completed value, replacement cost basis in an amount not less than the hard construction costs of $34,750,000, naming Lender as mortgagee and loss payee as its interests may appear, with a deductible not exceeding $50,000 and with no coinsurance penalty;

(b) **Commercial General Liability.** Coverage on an occurrence basis with limits of not less than $5,000,000 per occurrence and $10,000,000 in the aggregate, including premises-operations, products/completed operations, contractual liability (including the insured contract covering the Loan Documents), personal and advertising injury, and, during construction, construction defect and explosion, collapse and underground coverages, naming Lender as additional insured on a primary and non-contributory basis;

(c) **Umbrella/Excess Liability.** Coverage of not less than $10,000,000 per occurrence and in the aggregate, in excess of the commercial general liability, automobile liability and employer's liability coverages, naming Lender as additional insured;

(d) **Workers' Compensation and Employer's Liability.** Statutory workers' compensation coverage as required by N.C.G.S. Chapter 97 and employer's

liability coverage of not less than $1,000,000 each accident, each disease and policy limit;

(e) **Automobile Liability.** Coverage of not less than $1,000,000 combined single limit for owned, hired and non-owned vehicles;

(f) **Flood Insurance.** If any portion of the Property is located in a Special Flood Hazard Area (as determined by a Standard Flood Hazard Determination Form obtained by Lender prior to Closing), flood insurance in an amount not less than the lesser of the outstanding principal balance of the Loan or the maximum amount available under the National Flood Insurance Program, plus excess flood coverage in an amount reasonably required by Lender. Borrower acknowledges that the Appraisal identifies the Property as located in Zone X (FIRM Panel 3710406400J, effective May 2, 2019) and that the Phase I ESA identifies the Property as located in Zone X (FIRM Panel 3720098700J, effective March 2, 2009); Lender shall obtain a current flood determination and the results thereof shall control;

(g) **Professional Liability.** Borrower shall cause the Architect to maintain professional liability (errors and omissions) insurance of not less than $2,000,000 per claim, and shall cause the Contractor to maintain contractor's pollution liability insurance (or an equivalent endorsement) covering work in the Affected Area in an amount not less than $5,000,000, in each case naming Lender as additional insured and providing for thirty (30) days' notice of cancellation; and

(h) **Other Insurance.** Such other insurance (including ordinance or law, terrorism, boiler and machinery, and equipment breakdown coverage) as Lender may reasonably require.

Section 20.2 Policy Requirements

All policies shall (a) name Lender as mortgagee and/or additional insured, as applicable, (b) provide that no cancellation, non-renewal, reduction in coverage or material modification shall be effective without thirty (30) days' prior written notice to Lender (ten (10) days for non-payment of premium), (c) be primary and non-contributory with respect to Lender's own insurance, (d) waive subrogation against Lender, and (e) with respect to builder's risk, include a standard mortgage clause. Borrower shall deliver certificates of insurance (ACORD 28 or equivalent) and, upon request, certified copies of the policies, prior to Closing and at each renewal.

Section 20.3 Evidence and Renewal

Borrower shall deliver evidence of renewal not less than ten (10) days prior to the expiration of each policy. If Borrower fails to maintain any required insurance, Lender may (but shall not be obligated to) obtain such insurance at Borrower's

expense, and the amount so expended shall be a protective advance under **Section 9.10**.

Section 20.4 Contractor’s Insurance

Borrower shall cause the Contractor and all subcontractors to maintain insurance meeting the requirements of the GMP Contract and this Article, with Lender named as additional insured, and shall cause the Contractor to deliver to Lender copies of its policies, endorsements and certificates, together with evidence of the payment and performance bonds required by **Section 10.4(b)**.

Section 20.5 No Occupancy Without Insurance

Borrower shall not permit any use or occupancy of the Property that would void or suspend any required insurance coverage, and shall not permit any policy to lapse.

Section 20.6 Casualty and Restoration

Borrower shall promptly notify Lender of any Casualty. Lender shall make insurance proceeds available for restoration of the Property only if (a) no Default or Event of Default exists, (b) Lender determines that the Property can be restored to its pre-Casualty condition and value within the earlier of the Outside Completion Date and the Maturity Date, (c) the cost of restoration does not exceed the available insurance proceeds plus other funds committed by Borrower, (d) the restoration is economically feasible in Lender’s reasonable judgment, and (e) Borrower deposits the deductible and any shortfall with Lender. If such conditions are not satisfied, Lender may apply the proceeds to the Obligations in accordance with **Section 7.2(a)**. Borrower’s obligations under this Section shall be secured by the Deed of Trust and, if Lender elects not to make proceeds available, Borrower shall nevertheless be obligated at its option to restore or to permit Lender to apply proceeds.

Section 20.7 Condemnation

If all or any material portion of the Property is taken by eminent domain or conveyed in lieu thereof, Lender may, at its election, apply the award to the Obligations in accordance with **Section 7.2(a)** or make the award available for restoration on the conditions set forth in **Section 20.6**.

ARTICLE 21 — TITLE AND SURVEY

Section 21.1 Title Insurance

Borrower shall cause the Title Policy to be issued at Closing in accordance with **Section 12.3**, and shall pay all premiums, endorsement charges and recording fees. Borrower shall cause the Title Policy to be dated as of the Closing Date (or to

include a gap endorsement) and to insure the Deed of Trust in the full amount of the Commitment, without any exception for the Prior Deed of Trust, any mechanics' or materialmen's lien arising from pre-Closing work, any environmental land use restriction (other than as approved by Lender) or any other monetary lien.

Section 21.2 Title Date-Downs

Borrower shall cause the Disbursement Agent to deliver to Lender, with each Draw Request and at such other times as Lender may require, a date-down endorsement to the Title Policy confirming that no intervening lien, encumbrance or title defect has been recorded since the effective date of the prior endorsement. Borrower shall pay all costs of such endorsements.

Section 21.3 Survey

Borrower shall deliver the ALTA/NSPS Survey required by **Section 12.5** prior to Closing, and thereafter shall deliver an updated survey upon Substantial Completion and at such other times as Lender may reasonably require. The Survey shall be sufficient to permit the deletion of the standard survey exceptions from the Title Policy and to obtain the survey, contiguity, access and location endorsements required by **Section 12.3**.

Section 21.4 Legal Description

The legal description of the Property set forth in **Exhibit A** has been derived from the Title Commitment. Prior to Closing, Borrower shall deliver to Lender (a) the ALTA/NSPS Survey and (b) the Disbursement Agent's written confirmation that the legal description in **Exhibit A** conforms to the Survey, the Title Commitment and the deed records of Durham County, including the metes and bounds descriptions of Parcel 0821-04-72-3341 and Parcel 0821-04-72-4102. Borrower acknowledges that (i) the Title Commitment describes Parcel 0821-04-72-3341 as containing approximately 2.09 acres and Parcel 0821-04-72-4102 as containing approximately 1.38 acres (approximately 3.47 acres in the aggregate), (ii) the Phase I ESA describes the parcels as containing approximately 1.89 acres and 1.58 acres, respectively, and (iii) the Appraisal describes approximately 420 feet of frontage along Foster Street, whereas the Title Commitment's metes and bounds descriptions reflect 298.62 feet and 201.88 feet of frontage (500.50 feet combined). The ALTA/NSPS Survey shall resolve these discrepancies, and **Exhibit A** shall be conformed accordingly prior to the recording of the Deed of Trust.

Section 21.5 No Further Encumbrances

Borrower shall not grant, permit or suffer any easement, covenant, condition, restriction, license, option or other encumbrance affecting the Property (other than the Permitted Exceptions) without Lender's prior written consent.

ARTICLE 22 — MEZZANINE LOAN; INTERCREDITOR AGREEMENT

Section 22.1 Intercreditor Agreement Required

As a condition to Closing, Lender, Borrower and the Mezzanine Lender shall have executed and delivered the Intercreditor Agreement in form and substance satisfactory to Lender and its counsel. The Intercreditor Agreement shall at a minimum provide for each of the matters described in this Article. Borrower's failure to deliver a fully executed Intercreditor Agreement at Closing shall entitle Lender to decline to close, and no Advance shall be made until it is delivered.

Section 22.2 Lien Subordination of Membership Interests Pledge

The Intercreditor Agreement shall provide that Lender's security interest in one hundred percent (100%) of the membership interests in Borrower is a first priority perfected security interest, and that the Mezzanine Lender's security interest in the same collateral is a second priority security interest, in each case pursuant to an intercreditor and subordination agreement, UCC-8 filings, and control arrangements satisfactory to Lender.

Section 22.3 Standstill Period

The Intercreditor Agreement shall provide that, following the occurrence of a default under the Mezzanine Loan, the Mezzanine Lender may not exercise any right or remedy (whether against Borrower, the membership interests, the Property or the Mezzanine collateral) for a period of not less than ninety (90) days, and thereafter only if the senior Obligations remain outstanding and Lender has not commenced and is not diligently pursuing remedies.

Section 22.4 Notice and Cure Rights

The Intercreditor Agreement shall provide that the Mezzanine Lender is entitled to receive copies of all notices of default delivered by Lender to Borrower and to cure any default under the Loan within the cure periods available to Borrower plus an additional thirty (30) days (or such longer period as is customary), and that Lender will not foreclose on the membership interests without prior written notice to the Mezzanine Lender.

Section 22.5 Purchase Option

The Intercreditor Agreement shall grant the Mezzanine Lender an option, exercisable at any time after the occurrence and during the continuance of an Event of Default, to purchase the Loan from Lender at a purchase price equal to the outstanding principal balance plus all accrued and unpaid interest, fees, costs, expenses and premiums.

Section 22.6 No Amendment Without Lender Consent

The Intercreditor Agreement shall prohibit the Mezzanine Lender and Borrower from amending, modifying, supplementing or waiving any material term of the Mezzanine Loan (including the principal amount, interest rate, payment terms, maturity, collateral, amortization, subordination or remedies) without Lender's prior written consent, and shall prohibit any increase in the principal amount of the Mezzanine Loan other than the accrual of paid-in-kind interest and capitalized fees expressly permitted by the Intercreditor Agreement.

Section 22.7 Bankruptcy Restrictions

The Intercreditor Agreement shall prohibit the Mezzanine Lender (and any Affiliate of the Mezzanine Lender) from filing or joining in the filing of any involuntary petition under the Bankruptcy Code against Borrower, from proposing or supporting a plan of reorganization that does not provide for the indefeasible payment in full in cash of the Obligations, and from objecting to or contesting any motion by Lender for relief from the automatic stay or for the appointment of a receiver.

Section 22.8 No Contest of Remedies

The Intercreditor Agreement shall provide that the Mezzanine Lender will not contest, challenge, delay or interfere with Lender's exercise of remedies under the Loan Documents, including any foreclosure of the Deed of Trust or any exercise of rights with respect to the membership interests.

Section 22.9 Affiliate Acknowledgments

The Intercreditor Agreement shall include express acknowledgments by the Mezzanine Lender that (a) Thomas R. Chen controls both the Mezzanine Lender and Brightleaf Investors Group LLC (a 28% member of Borrower), (b) the Mezzanine Lender has no rights against Lender arising from such relationship, (c) the Mezzanine Lender is not a third-party beneficiary of any Loan Document, and (d) the Mezzanine Lender will not use its affiliate relationship with Brightleaf Investors Group LLC to influence Borrower's decisions in a manner adverse to Lender, including through the exercise of Brightleaf Investors Group LLC's approval rights under Section 3.2 of the Operating Agreement.

Section 22.10 Mezzanine Default

Any default under the Mezzanine Loan or the Intercreditor Agreement shall constitute an Event of Default under **Section 24.4**. Borrower shall deliver to Lender copies of all notices of default and other material notices delivered or received under the Mezzanine Loan within three (3) Business Days after delivery or receipt.

Section 22.11 Lender’s Right to Cure

Lender may, but shall not be obligated to, cure any default under the Mezzanine Loan on Borrower’s behalf if Lender determines that such cure is necessary to protect its interest in the collateral. Amounts so advanced shall constitute Obligations secured by the Loan Documents and shall bear interest at the Default Rate.

Section 22.12 Mezzanine Interest and Combined Coverage

Borrower acknowledges that (a) the Mezzanine Loan bears interest at a fixed rate of 12.50% per annum, (b) interest on the Mezzanine Loan is to be paid-in-kind during the Construction Period and in cash during the Mini-Perm Period, (c) the accrual of paid-in-kind interest will increase the Mezzanine Loan balance to approximately $12,075,000 (simple interest) or $12,554,600 (monthly compounding) by the Construction Maturity Date, and (d) neither the debt service on the Mezzanine Loan nor such accrual is funded by any source identified in the Approved Budget. Borrower shall deliver to Lender, prior to the commencement of the Mini-Perm Period, evidence reasonably satisfactory to Lender that the Mezzanine Loan will be serviced in cash, repaid, or restructured so that the Combined DSCR covenant in **Section 16.4** is satisfied.

Section 22.13 Payments to Mezzanine Lender During Default

During the continuance of an Event of Default, Borrower shall not make, and the Mezzanine Lender shall not accept, any payment of principal, interest, fees or other amounts on the Mezzanine Loan (other than payments of regularly scheduled interest not in excess of the amount permitted by the Intercreditor Agreement), and any such payment shall be held in trust for Lender and promptly remitted to Lender.

ARTICLE 23 — REPORTING REQUIREMENTS

Section 23.1 Monthly Construction Reports

During the Construction Period, Borrower shall deliver to Lender, within fifteen (15) days after the end of each calendar month, a construction progress report in form satisfactory to Lender, including (a) a comparison of actual to scheduled progress, (b) a certified statement of the percentage of completion and the value of work in place, (c) a budget reconciliation, (d) a log of all change orders (approved and pending) and all claims, (e) the Contractor’s and Architect’s certifications, (f) the construction inspector’s report, (g) the Interest Reserve reconciliation required by **Section 8.5**, and (h) a statement of Equity Contributions applied to date.

Section 23.2 Quarterly Financial Statements

Borrower shall deliver to Lender, within forty-five (45) days after the end of each Fiscal Quarter, unaudited financial statements of Borrower (balance sheet, income statement and statement of cash flows, with a comparison to the Approved Budget), a Rent Roll (if any leases are in place), a leasing status report, a schedule of accounts payable aged sixty (60) days or more, and a certification of compliance with the Financial Covenants.

Section 23.3 Annual Financial Statements

Borrower shall deliver to Lender, within one hundred twenty (120) days after the end of each Fiscal Year, (a) audited financial statements of Borrower prepared by a nationally or regionally recognized independent certified public accounting firm acceptable to Lender, (b) the annual net worth certification required by **Section 16.5**, and (c) the compliance certificate required by **Section 16.8**.

Section 23.4 Guarantor Reporting

Borrower shall cause each Guarantor to deliver the financial statements, liquidity certifications and tax returns required by **Section 13.9**.

Section 23.5 Quarterly Guarantor Liquidity Certifications

Borrower shall deliver to Lender, within forty-five (45) days after the end of each Fiscal Quarter, a certification of the combined Liquid Assets of the Guarantors, in form satisfactory to Lender, together with supporting statements from each Guarantor’s financial institutions (or such other evidence as Lender may reasonably require).

Section 23.6 Notices

Borrower shall deliver the notices required by **Section 15.1(i)** within the time periods specified therein (and in any event within five (5) Business Days after Borrower obtains knowledge of the applicable event).

Section 23.7 Other Information; Audit Rights

Borrower shall deliver to Lender such other information, certificates, budgets, leases, contracts and reports as Lender may reasonably request, and shall permit Lender and its representatives to audit and copy Borrower’s books and records relating to the Property, the Project and the Loan at any time during normal business hours upon reasonable notice.

Section 23.8 Know Your Customer

Borrower shall deliver to Lender such information and documentation as Lender may reasonably request to comply with its customer identification, beneficial ownership and anti-money-laundering requirements, and shall promptly notify Lender of any change in the identity of its beneficial owners.

ARTICLE 24 — EVENTS OF DEFAULT

Section 24.1 Monetary Default

Borrower fails to pay any principal, interest, fee or other amount due under any Loan Document when due, and such failure continues for five (5) days after the due date; *provided* that no grace period shall apply to (a) the payment due on the Maturity Date, (b) any payment required under **Section 2.4**, **Section 8.3(b)**, **Section 16.3(b)** or **Section 16.4(b)**, or (c) any payment due after acceleration.

Section 24.2 Representation Default

Any representation or warranty made by Borrower or any Guarantor in any Loan Document, or in any certificate, report, financial statement or other document furnished in connection therewith, proves to have been untrue, incorrect or misleading in any material respect when made or deemed made.

Section 24.3 Covenant Default

Borrower or any Guarantor fails to observe or perform any covenant, condition or agreement contained in any Loan Document (other than a covenant for which a specific remedy is provided in **Article 16** or elsewhere, or a covenant described in **Sections 24.1** through **24.2** and **24.4** through **24.19**), and such failure continues for thirty (30) days after the earlier of (a) written notice from Lender and (b) the date on which Borrower obtains knowledge of such failure; *provided* that if such failure is capable of cure but cannot reasonably be cured within such thirty (30) day period, and Borrower is diligently and continuously pursuing cure, such period shall be extended for an additional thirty (30) days (but in no event beyond the Maturity Date). The extension in the preceding sentence shall not apply to any failure to maintain insurance, to any failure to deliver a required payment, to any breach of **Article 17** or **Article 18**, or to any failure to satisfy a Financial Covenant (as to which **Article 16** provides the exclusive cure).

Section 24.4 Cross-Default

(a) A default or event of default occurs under the Mezzanine Loan, the Intercreditor Agreement or the mezzanine pledge documents, or (b) Borrower or any Guarantor defaults (beyond any applicable notice and cure period) under any other Indebtedness or material agreement involving an

obligation in excess of $500,000, including the GMP Contract, the Architect’s Agreement or the CC&Rs.

Section 24.5 Bankruptcy and Insolvency

Borrower, any Guarantor, any member of Borrower, the Mezzanine Lender, Brightleaf Investors Group LLC or any Affiliate of any of the foregoing (a) commences any case, proceeding or other action under any bankruptcy, insolvency, reorganization, liquidation, dissolution or similar law, (b) consents to the institution of, or fails to contest in good faith within sixty (60) days, any such proceeding, (c) applies for or consents to the appointment of a receiver, trustee, custodian, conservator, liquidator or similar official, (d) makes a general assignment for the benefit of creditors, (e) admits in writing its inability to pay its debts generally as they become due, or (f) suffers the entry of an order for relief or the appointment of a receiver, trustee or custodian that is not dismissed within sixty (60) days.

Section 24.6 Judgments

One or more judgments, orders or decrees for the payment of money in an aggregate amount exceeding $500,000 (not covered by insurance as to which the insurer has acknowledged coverage in writing) is entered against Borrower, any Guarantor or the Property, and remains unsatisfied, unbonded or unstayed for thirty (30) days, or any such judgment is enforced against the Property.

Section 24.7 Liens; Attachment

Any claim of lien, levy, attachment, execution, sequestration or other process is issued or filed against the Property, the Project or any other collateral and is not released, bonded off or stayed within thirty (30) days, or any Lien other than a Permitted Exception or a Lien in favor of Lender attaches to the Property.

Section 24.8 Material Adverse Change

A material adverse change occurs in the financial condition, business, operations, properties or prospects of Borrower, any Guarantor, the Project or the Property, or in the value of the collateral, as determined by Lender in its reasonable discretion, including any material decline in the as-completed or as-stabilized value of the Property, any material increase in Total Project Costs not funded as required by this Agreement, or any material impairment of the enforceability of the Loan Documents.

Section 24.9 Construction Delay Default

The Project is more than ninety (90) days behind the Baseline Schedule (as adjusted for Approved Change Orders and Unavoidable Delays) at any time during

the Construction Period, or Borrower fails to achieve Substantial Completion on or before the Outside Completion Date (a "**Construction Delay Default**").

Section 24.10 Abandonment; Suspension

Borrower or the Contractor suspends or abandons construction of the Project for more than fifteen (15) consecutive days (other than as permitted by **Section 10.1**), or Borrower fails to cause construction to commence within thirty (30) days after Closing.

Section 24.11 Insurance

Borrower fails to maintain any insurance required by **Article 20** in full force and effect for more than ten (10) days after the earlier of notice from Lender and the date on which Borrower obtains knowledge of such failure.

Section 24.12 SPE Covenants; Independent Manager

Borrower breaches any covenant in **Article 18**, or the Operating Agreement is amended in any manner that eliminates, weakens or renders ineffective the SPE covenants or the Independent Manager provisions.

Section 24.13 Environmental Default

(a) Borrower fails to comply with any condition of the NFA Letter, the Soil Management Plan or the Deed Notice; (b) any violation of any Environmental Law occurs with respect to the Property that requires reporting, investigation, remediation or payment of a penalty in excess of $100,000; (c) any Governmental Authority issues any order, directive, notice of violation or administrative complaint relating to Hazardous Materials at the Property; (d) any lien arises under any Environmental Law; or (e) any Release of Hazardous Materials occurs at the Property that is not promptly remediated in accordance with Environmental Laws.

Section 24.14 Guaranty Default; Guarantor Events

(a) Any Guarantor repudiates, revokes, terminates, disaffirms or challenges the validity or enforceability of any Guaranty, or fails to perform any obligation thereunder; (b) any Guarantor dies, becomes incapacitated, or becomes the subject of any bankruptcy, insolvency or receivership proceeding; (c) any Guarantor fails to satisfy any covenant in **Section 13.8** and does not cure within the period permitted by **Section 13.8(d)**; or (d) any Guarantor is convicted of, or pleads guilty or nolo contendere to, a felony or any crime involving fraud or dishonesty.

Section 24.15 Failure to Complete

Final Completion has not occurred on or before the date that is one hundred eighty (180) days after the Outside Completion Date.

Section 24.16 Interest Reserve; Equity

(a) Borrower fails to fund an Interest Reserve Shortfall within the period required by **Section 8.3(b)**; (b) Borrower fails to fund the Required Equity Contribution or any additional Equity Contribution required by **Section 2.4**; or (c) Borrower fails to satisfy the conditions to conversion to the Mini-Perm Period on or before the Construction Maturity Date.

Section 24.17 Prohibited Transfer; Change of Control

Any sale, transfer, encumbrance or other disposition of the Property or any membership interest in Borrower occurs in violation of this Agreement, or any change of control of Borrower occurs (including by reason of the exercise of remedies by the Mezzanine Lender).

Section 24.18 Title; Permits; CC&Rs

The Title Policy is not issued at Closing, any title defect or unpermitted encumbrance arises, any required permit, approval, certificate of occupancy or architectural review approval is revoked, suspended or expires and is not reinstated within thirty (30) days, or the Property becomes non-conforming under the CC&Rs or applicable zoning.

Section 24.19 Notice and Cure; No Implied Waiver

Lender shall not be required to give notice of any Event of Default except to the extent expressly provided in this Article. Any notice given with respect to one Default or Event of Default shall not constitute a waiver or cure of any other Default or Event of Default. The acceptance by Lender of any payment after the occurrence of an Event of Default shall not constitute a waiver of such Event of Default or of any other Event of Default.

ARTICLE 25 — REMEDIES

Section 25.1 Acceleration

Upon the occurrence and during the continuance of an Event of Default, Lender may, at its option and without further notice to Borrower (except as required by applicable law), declare the entire outstanding principal balance of the Loan, together with all accrued and unpaid interest, fees, costs, expenses and other Obligations, immediately due and payable, whereupon the same shall become

immediately due and payable. Upon the occurrence of an Event of Default described in **Section 24.5**, all amounts shall become automatically due and payable without notice or demand of any kind.

Section 25.2 Suspension of Advances

Upon the occurrence of a Default or an Event of Default, Lender may cease making any further Advances, including any Advance previously approved, and may withhold the release of any Retainage.

Section 25.3 Default Rate

Upon the occurrence and during the continuance of an Event of Default, all outstanding amounts shall bear interest at the Default Rate as provided in **Section 3.4**.

Section 25.4 Foreclosure and Other Real Property Remedies

Lender may foreclose the Deed of Trust in accordance with the power of sale contained therein and applicable North Carolina law, including N.C.G.S. Chapter 45, Article 2A, or may proceed by judicial foreclosure, and may exercise any and all other rights and remedies available to a mortgagee under North Carolina law, including the right to seek the appointment of a receiver under N.C.G.S. §1-501 *et seq.*, to obtain possession of the Property, to collect rents (whether by assignment of rents, pendente lite receivership or otherwise), and to apply for a deficiency judgment in accordance with N.C.G.S. §45-21.36.

Section 25.5 UCC Remedies

Lender may exercise all rights and remedies of a secured party under Article 9 of the UCC and other applicable law with respect to the personal property collateral and the pledged membership interests, including (a) the right to file UCC-1 and UCC-8 financing statements, (b) the right to notify account debtors and obligors to make payment directly to Lender, (c) the right to sell, assign, transfer or otherwise dispose of the membership interests at public or private sale (and Lender may be the purchaser at any such sale to the extent permitted by law), (d) the right to exercise the irrevocable proxies granted under **Section 12.2** and to vote the membership interests, and (e) the right to exercise all rights of the pledgor of the membership interests.

Section 25.6 Guaranty Remedies

Lender may proceed directly against any Guarantor under any Guaranty, whether or not Lender has proceeded against Borrower or the collateral and whether or not the collateral has been exhausted.

Section 25.7 Application of Proceeds

All amounts realized from the exercise of remedies shall be applied as provided in **Section 4.5**, and any surplus shall be paid to Borrower or as otherwise required by applicable law.

Section 25.8 No Marshaling; Waiver of Defenses

Borrower and each Guarantor waive any right to require Lender to marshal assets, to exhaust any remedy or to proceed against any Person or any collateral in any particular order, and waive all rights of redemption and reinstatement to the fullest extent permitted by law (except any non-waivable statutory right of redemption, which Borrower acknowledges is limited under North Carolina law).

Section 25.9 Cumulative Remedies

All rights and remedies of Lender under the Loan Documents are cumulative and not exclusive of any rights or remedies provided by law or in equity. No delay or failure by Lender in exercising any right or remedy shall operate as a waiver thereof, and no single or partial exercise of any right or remedy shall preclude any other or further exercise thereof.

Section 25.10 Lender’s Right to Perform

Lender may perform any obligation of Borrower under the Loan Documents upon Borrower’s failure to do so, and the costs thereof shall be Obligations secured by the Loan Documents. Lender shall give Borrower such notice as is reasonable under the circumstances prior to performing, except in an emergency.

Section 25.11 Attorney’s Fees

If any Loan Document is placed in the hands of an attorney for collection or enforcement, or if any suit or proceeding is brought to enforce or interpret any Loan Document, Borrower shall pay Lender’s reasonable attorneys’ fees and costs in addition to all other amounts due, as permitted by N.C.G.S. §6-21.2 (in the amount provided therein) or, if such statute does not apply, in the amount of fifteen percent (15%) of the outstanding principal and interest then due, to the extent permitted by applicable law.

Section 25.12 No Waiver by Acceptance

No acceptance by Lender of any partial payment or any payment after the Maturity Date shall constitute a waiver of any Event of Default or of Lender’s right to exercise any remedy.

ARTICLE 26 — INDEMNIFICATION; EXPENSES

Section 26.1 General Indemnity

Borrower and each Guarantor shall, jointly and severally, indemnify, defend and hold harmless Lender, its Affiliates and their respective officers, directors, employees, agents, attorneys, successors and assigns (each, an "**Indemnified Party**") from and against any and all losses, liabilities, damages, claims, demands, actions, judgments, settlements, penalties, fines, costs and expenses (including reasonable attorneys' fees, consultant fees, court costs and costs of investigation and defense) arising out of or relating to (a) the Loan or the Loan Documents, (b) the Property, the Project or the construction, ownership, leasing, operation or sale of the Property, (c) any breach or non-performance of any covenant, representation or warranty of Borrower or any Guarantor, (d) any claim by any contractor, subcontractor, materialman, architect, tenant, broker or other Person relating to the Project, (e) any claim arising under any Environmental Law (which shall be governed by the Environmental Indemnity and **Article 19**, without duplication), and (f) any claim of usury or any statutory penalty relating to the Loan, except to the extent such loss arises from the gross negligence, bad faith or willful misconduct of the Indemnified Party as determined by a final, non-appealable judgment of a court of competent jurisdiction.

Section 26.2 Environmental Indemnity

The Environmental Indemnity is in addition to, and not in limitation of, **Section 26.1** and shall control with respect to environmental matters to the extent of any inconsistency.

Section 26.3 Lender's Expenses

Borrower shall pay, promptly upon demand, all reasonable costs and expenses incurred by Lender in connection with the origination, documentation, closing, administration, servicing, enforcement and collection of the Loan, including (a) the legal fees and disbursements of Ashford, Cromdale Consulting & Laine LLP, (b) appraisal, environmental, engineering, survey, title, recording, flood determination, construction inspection and consultant fees, (c) the fees of the Disbursement Agent, (d) all costs of any amendment, waiver, consent, forbearance or restructuring requested by Borrower or required by this Agreement, (e) all costs of enforcing or preserving Lender's rights and remedies (including in any bankruptcy or insolvency proceeding), and (f) all wire, administrative and servicing fees. Borrower's obligation to pay Lender's legal fees and expenses shall apply regardless of whether the Loan closes, and the $75,000 expense deposit paid under Section 22 of the Term Sheet shall be credited against such obligation.

Section 26.4 Waiver of Consequential Damages

Neither party shall be liable to the other for any indirect, special, punitive or consequential damages arising out of or relating to the Loan Documents, except that nothing in this Section shall limit (a) Borrower's or any Guarantor's indemnification obligations under this Article or the Environmental Indemnity, (b) Lender's rights upon an Event of Default, or (c) any claim arising from fraud or willful misconduct.

Section 26.5 Survival

The obligations of Borrower and each Guarantor under this Article and under the Environmental Indemnity shall survive the repayment of the Loan, the release of the Deed of Trust, any foreclosure or deed in lieu of foreclosure, and the termination of the other Loan Documents.

Section 26.6 No Liability for Inspections

Lender shall have no liability to Borrower or any other Person for any inspection, review, approval or failure to inspect the Property, the Project, the Plans and Specifications, the Approved Budget or the work of any contractor. Borrower acknowledges that Lender's inspections and approvals are for Lender's own protection and do not create any obligation to Borrower, any tenant, any contractor or any other Person.

ARTICLE 27 — NOTICES

Section 27.1 Notices

All notices, requests, demands, consents, approvals and other communications under the Loan Documents shall be in writing and shall be deemed given (a) when delivered personally, (b) one (1) Business Day after deposit with a nationally recognized overnight courier, (c) three (3) Business Days after deposit in the United States mail, certified or registered, return receipt requested, postage prepaid, or (d) when sent by electronic mail, if sent during normal business hours of the recipient and confirmed by non-automated reply, and otherwise on the next Business Day, in each case addressed as follows (or to such other address as a party may designate by notice):

Party	Notice Address
Lender	Pinnacle Savings Bank, N.A., Commercial Real Estate Lending Division, 215 South Tryon Street, 18th Floor, Charlotte, North Carolina 28202, Attention: David Forsythe, Senior Vice President; with a copy to Ashford, Cromdale Consulting & Laine LLP, 411 South Tryon Street, Suite 2800, Charlotte, North Carolina 28202, Attention: Katharine Drummond
Borrower	Harborview Capital Partners LLC, 400 West Main Street, Suite 310, Durham,

Party	Notice Address
	North Carolina 27701, Attention: Elena Vasquez-Torres, Managing Member; with a copy to Calloway & Strauss PLLC, 324 Blackwell Street, Suite 200, Durham, North Carolina 27701, Attention: Jonathan F. Ngo
Guarantors	Elena Vasquez-Torres, at the address most recently provided to Lender in writing; and Reginald K. Osei, at the address most recently provided to Lender in writing, in each case with a copy to Calloway & Strauss PLLC as above
Disbursement Agent	Aldersgate Title & Escrow Inc., 307 West Chapel Hill Street, Suite 400, Durham, North Carolina 27701, Attention: Patricia Langley, Escrow Officer
Mezzanine Lender	Brightleaf Mezzanine Capital LLC, at the address set forth in the Intercreditor Agreement

Section 27.2 Electronic Communications

Notices delivered by electronic mail shall be effective only as provided in **Section 27.1**, and Borrower acknowledges that Lender may communicate with Borrower by electronic mail for routine administrative matters (including draw status and interest statements) without complying with the formal notice requirements of this Article.

ARTICLE 28 — ASSIGNMENT; PARTICIPATIONS; CONFIDENTIALITY

Section 28.1 Assignment by Lender

Lender may, at any time and without the consent of Borrower or any Guarantor, sell, assign, transfer, participate or grant participations in all or any portion of the Loan, the Loan Documents and Lender’s rights thereunder to any Eligible Assignee or to any other Person with Borrower’s consent (not to be unreasonably withheld) if no Event of Default exists. Borrower shall execute such documents (including a replacement note or note split) as Lender may reasonably request to evidence any such assignment or participation, and shall recognize the assignee as the holder of the Loan. Borrower acknowledges that the Loan Documents may be assigned to a Federal Reserve Bank or to any successor by operation of law without consent.

Section 28.2 Assignment by Borrower

Borrower may not assign, delegate or transfer this Agreement or any of its rights or obligations hereunder, in whole or in part, whether by operation of law or otherwise, without Lender’s prior written consent, and any purported assignment in violation of this Section shall be void. No Guarantor may assign or delegate any of its obligations under any Guaranty.

Section 28.3 Participation Disclosures

Lender may disclose to any actual or prospective assignee, participant or Approved Fund, and to any rating agency, any information relating to Borrower, the Guarantors, the Property and the Loan, provided that such Person agrees to maintain the confidentiality of such information on terms customary for commercial real estate loans.

Section 28.4 Confidentiality

Each party shall maintain the confidentiality of the terms of the Loan Documents and of the information furnished by the other party, and shall not disclose the same except (a) to its officers, employees, managers, members, legal counsel, accountants, consultants and financial advisors who have a need to know, (b) to any actual or prospective assignee, participant, Approved Fund or rating agency, (c) to the Mezzanine Lender to the extent necessary in connection with the Intercreditor Agreement, (d) as required by applicable law, regulation, subpoena or regulatory examination, or (e) in connection with the enforcement of the Loan Documents. Lender may disclose the terms of the Loan to any Governmental Authority having jurisdiction over Lender, including the OCC.

Section 28.5 Patriot Act; OFAC

Lender hereby notifies Borrower that, pursuant to the requirements of the USA PATRIOT Act (Title III of Pub. L. 107-56) and Lender’s customer identification program, Lender is required to obtain, verify and record information that identifies Borrower and its beneficial owners, and Borrower shall provide such information upon request.

ARTICLE 29 — MISCELLANEOUS

Section 29.1 Governing Law

This Agreement and the other Loan Documents (other than the Deed of Trust and any other instrument recorded in North Carolina, which shall be governed by North Carolina law) shall be governed by and construed in accordance with the laws of the State of North Carolina, without regard to its conflict of laws principles, and, to the extent applicable, the laws of the United States.

Section 29.2 Venue; Jurisdiction

The exclusive venue for any action or proceeding arising out of or relating to the Loan Documents shall be the General Court of Justice of North Carolina, Durham County, or the United States District Court for the Middle District of North Carolina, and each party irrevocably submits to the jurisdiction of such courts and waives any objection based on venue or *forum non conveniens*.

Section 29.3 Waiver of Jury Trial

EACH PARTY HEREBY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES, TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, ANY RIGHT TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT, ANY OTHER LOAN DOCUMENT OR THE LOAN. EACH PARTY CERTIFIES THAT NO REPRESENTATIVE OF ANY OTHER PARTY HAS REPRESENTED THAT SUCH OTHER PARTY WOULD NOT SEEK TO ENFORCE THIS WAIVER.

Section 29.4 Time of the Essence

Time is of the essence with respect to each obligation of Borrower and each Guarantor under the Loan Documents.

Section 29.5 No Partnership; No Third-Party Beneficiaries

Nothing in the Loan Documents shall be deemed to create a partnership, joint venture or fiduciary relationship between Lender and Borrower or any Guarantor. Except for the Indemnified Parties (with respect to **Article 26** and the Environmental Indemnity) and Eligible Assignees, the Loan Documents are for the sole benefit of the parties and their permitted successors and assigns and confer no rights on any other Person, including the Mezzanine Lender.

Section 29.6 Severability

If any provision of any Loan Document is held to be invalid, illegal or unenforceable, such provision shall be enforced to the maximum extent permitted by law, and the remaining provisions shall remain in full force and effect.

Section 29.7 Entire Agreement; Amendment

The Loan Documents constitute the entire agreement among the parties with respect to the Loan and supersede all prior negotiations, term sheets, commitment letters, credit memoranda, correspondence and understandings, including the Term Sheet dated January 10, 2025 (except the continuing confidentiality, expense and indemnity obligations expressly stated therein to survive). No amendment, modification, waiver or supplement of any Loan Document shall be effective unless in writing and signed by Lender, Borrower and (with respect to any Guaranty) the applicable Guarantor. No course of dealing, usage of trade or delay shall constitute a waiver of any provision.

Section 29.8 Counterparts; Electronic Signatures

This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one

instrument. Delivery of an executed counterpart by electronic transmission (including .pdf or any electronic signature complying with the U.S. federal ESIGN Act or the North Carolina Uniform Electronic Transactions Act) shall be as effective as delivery of a manually executed counterpart.

Section 29.9 Headings; Construction

Headings are for convenience only. The parties acknowledge that each has been represented by counsel of its choosing (or has had the opportunity to be so represented) and that this Agreement shall not be construed more strictly against either party by reason of its authorship.

Section 29.10 Setoff

Lender shall have the right, upon the occurrence and during the continuance of an Event of Default, to set off against the Obligations any and all deposits, credits, balances or other property of Borrower or any Guarantor in the possession of or owing by Lender, in addition to any other rights Lender may have.

Section 29.11 Conflict Between Documents

In the event of any conflict between this Agreement and any other Loan Document, this Agreement shall control as between Lender and Borrower, except that the Deed of Trust, the Note, the Guaranties and the Environmental Indemnity shall control as to matters expressly addressed therein that are not inconsistent with this Agreement. In the event of any conflict between this Agreement and the Term Sheet, this Agreement shall control.

Section 29.12 Survival

All representations, warranties, covenants, indemnities and agreements of Borrower and each Guarantor contained in the Loan Documents shall survive the Closing, the making of each Advance, the repayment of the Loan and any foreclosure, sale or transfer of the Property, to the extent provided herein or therein.

Section 29.13 Further Assurances

Each party shall execute and deliver such further documents and take such further actions as may be reasonably necessary to carry out the purposes of the Loan Documents.

Section 29.14 Rights Cumulative; No Novation

No Advance, forbearance, extension, renewal, modification or waiver shall constitute a novation of the Loan or of any Loan Document, and the Liens securing

the Obligations shall continue in full force and effect notwithstanding any such action.

Section 29.15 Lender’s Discretion

Where any provision of the Loan Documents grants Lender a right to consent, approve, determine or exercise discretion, Lender may exercise such right in its sole and absolute discretion unless the provision expressly states that such consent, approval or determination shall be in Lender’s reasonable discretion or shall not be unreasonably withheld, conditioned or delayed.

Section 29.16 USA PATRIOT Act; Anti-Corruption

Borrower and each Guarantor represent, warrant and covenant that no part of the proceeds of the Loan will be used, directly or indirectly, for any purpose that would violate any applicable anti-corruption law (including the Foreign Corrupt Practices Act) or any applicable sanctions administered by OFAC, and that neither Borrower nor any Guarantor nor any of their respective beneficial owners is a Person with whom transactions are prohibited by OFAC.

Section 29.17 Proofs of Claim

Upon the occurrence of any Event of Default described in **Section 24.5**, Lender may file and prove a claim for the whole amount of the Obligations and may file such other documents and take such other actions as Lender deems necessary or advisable to protect its interests, and each of Borrower and the Guarantors irrevocably authorizes Lender to do so.

Section 29.18 Replacement of Disbursement Agent

Lender may replace the Disbursement Agent at any time (at Borrower’s expense) if Lender reasonably determines that the Disbursement Agent is unable or unwilling to perform its obligations, has become insolvent, or has failed to deliver a required endorsement or disbursement. Borrower shall cooperate in any such replacement.

ARTICLE 30 — GUARANTOR JOINDER

Section 30.1 Limited Joinder of Guarantors

Each Guarantor joins in this Agreement for the limited purposes of (a) **Article 13** (Guaranties), (b) **Article 14** (as to itself), (c) **Article 16** (as to the covenants in **Sections 16.6** and **16.7**), (d) **Article 17** (as applicable to such Guarantor), (e) **Article 24**, (f) **Article 25**, (g) **Article 26**, (h) **Article 29**, and (i) the representations, warranties, covenants and agreements applicable to such Guarantor under the Guaranties. Each Guarantor acknowledges receipt of a copy

of this Agreement and the other Loan Documents, and agrees to be bound by the provisions referred to in this Section.

Section 30.2 Guarantor Acknowledgments

Each Guarantor acknowledges that (a) such Guarantor has read and understands the Loan Documents, (b) such Guarantor has had the opportunity to consult with independent counsel, (c) the Obligations are substantial and such Guarantor's obligations under the Guaranties are not disproportionate to the benefits such Guarantor receives as a member of Borrower and an owner of the Project, (d) such Guarantor has received or expects to receive substantial direct and indirect economic benefit from the Loan, and (e) such Guarantor's obligations under the Guaranties are supported by adequate consideration.

Section 30.3 Joint and Several Liability

The obligations of the Guarantors under the Guaranties and this Agreement are joint and several, except that the Partial Repayment Guaranty is subject to the aggregate limitation on recovery set forth in **Section 13.3**.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

LENDER	BORROWER
PINNACLE SAVINGS BANK, N.A., a national banking association	**HARBORVIEW CAPITAL PARTNERS LLC**, a North Carolina limited liability company
By: _____	By: _____
Name: David Forsythe	Name: Elena Vasquez-Torres
Title: Senior Vice President, Commercial Real Estate Lending	Title: Managing Member
Date: _____	Date: _____
GUARANTORS	
_____	_____
ELENA VASQUEZ-TORRES, individually	**REGINALD K. OSEI**, individually
Date: _____	Date: _____

ACKNOWLEDGMENT AND CONSENT OF MEMBERS OF BORROWER

Each of the undersigned, being all of the members of Harborview Capital Partners LLC, hereby (a) acknowledges receipt of this Agreement and the other Loan Documents, (b) consents to the Loan and to the pledge of one hundred percent (100%) of the membership interests in Borrower to Lender and to the grant of the irrevocable proxies described in **Section 12.2**, (c) consents to the amendments to the Operating Agreement required by **Article 18**, and (d) confirms that such

consents have been given in accordance with Sections 3.2, 5.1 and 9.1 of the Operating Agreement and constitute all approvals required thereunder.

Member	Interest	Signature
Elena Vasquez-Torres	62%	_____
Brightleaf Investors Group LLC, by Thomas R. Chen, Managing Member	28%	_____
Reginald K. Osei	10%	_____

SCHEDULES AND EXHIBITS

The following Schedules and Exhibits are attached to and form part of this Agreement.

SCHEDULE 5.6 — ADMINISTRATIVE AND SERVICING FEES

Fee	Amount	When Payable
Loan administration and servicing fee	$250 per month during the Construction Period; $500 per month thereafter	Monthly, in arrears
Processing fee per Advance	$500 per Advance (other than the Closing Advance and the release of Retainage)	At funding of each Advance
Wire transfer fee	$35 per outgoing wire	At the time of each wire
Inspection fee	Actual cost of the third-party inspector (currently estimated at $125,000 for the construction period)	As incurred
Appraisal and reappraisal	Actual cost (currently $35,000 for the initial Appraisal)	As incurred
Flood determination	$20 per determination	At Closing and each renewal
Subordination, consent and amendment fees	$2,500 per request, plus Lender’s reasonable out-of-pocket expenses	Upon request
Late charge	5.00% of the overdue amount (subject to **Section 3.7**)	On demand
Returned payment fee	$50 per item	On demand

SCHEDULE 9.2 — CONDITIONS PRECEDENT TO CLOSING

Lender’s obligation to close the Loan and to make the Closing Advance is subject to the satisfaction of each of the following conditions, each in form and substance satisfactory to Lender and its counsel (with all documents to be delivered not later than two (2) Business Days prior to the Closing Date, other than recording and funding items to be delivered at Closing):

1. **Loan Documents.** Execution and delivery of each Loan Document described in **Section 2.6**, each duly authorized, executed, acknowledged (where required) and in recordable form.

2. **Required Equity Contribution.** Receipt of evidence satisfactory to Lender that the Required Equity Contribution has been deposited into the Equity Escrow Account in accordance with **Section 2.4**, together with the source-of-funds certification, bank statements and other evidence required by **Section 11.3**.

3. **Closing Statement.** Delivery of the Closing Statement described in **Section 11.2(b)**, approved in writing by Lender, demonstrating that sources equal uses, that the Required Equity Contribution is properly reflected, and that the Loan-to-Cost Ratio and Loan-to-Value Ratio comply with **Article 16**.

4. **Intercreditor Agreement.** Full execution and delivery of the Intercreditor Agreement by Lender, Borrower and the Mezzanine Lender, containing each of the provisions described in **Article 22**.

5. **Pledge and Member Consents.** Execution and delivery of the Pledge Agreements by each member of Borrower, together with UCC-8 and UCC-1 filing authorizations, irrevocable proxies, member consents under **Section 18.5**, and a certified copy of the member resolutions or written consents authorizing the Loan, the pledges and the Operating Agreement amendments.

6. **SPE Covenants and Independent Manager.** Delivery of a certified copy of the amendment to Borrower's Operating Agreement adding the SPE covenants in **Section 18.1** and the Independent Manager provisions in **Section 18.2**, together with evidence of the appointment of the Independent Manager, and delivery of the Non-Consolidation Opinion in accordance with **Section 18.3**.

7. **Title Policy.** Issuance (or binding commitment to issue) of the Title Policy in accordance with **Section 12.3**, with all required endorsements, and deletion or affirmative coverage of the mechanics' lien and survey exceptions.

8. **Release of Prior Deed of Trust.** Delivery of the payoff letter, cancellation or certificate of satisfaction, and escrow instructions described in **Section 12.4**, and evidence of the source of the Refinancing Payoff.

9. **Pre-Closing Lien Waivers.** Delivery of the final lien waivers and releases, owner's and contractor's affidavits, and mechanics' lien coverage or indemnity described in **Section 12.6**.

10. **Survey.** Delivery of the ALTA/NSPS Survey conforming to **Section 12.5** and **Section 21.3**, and confirmation that the legal description in **Exhibit A** conforms to the Survey and the Title Commitment.

11. **Appraisal.** Delivery of the Appraisal, together with Lender's internal appraisal review and any FIRREA-required documentation, confirming the as-completed value of not less than $72,800,000 and the as-stabilized value of not less than $76,200,000.

12. **Environmental Reports and Reliance.** Delivery of the Phase I ESA, the Phase II ESA and the NFA Letter, together with a reliance letter from Sentinel Environmental Consulting LLC addressed to Lender (to the extent not already delivered) and Borrower's certification that the Phase I ESA satisfies the all appropriate inquiry requirements of 40 C.F.R. Part 312 as of the Closing Date.

13. **Environmental Compliance.** (a) Evidence that the Soil Management Plan has been submitted to NCDEQ and, if required, approved; (b) evidence that the Vapor Mitigation System has been designed and incorporated into the Plans and Specifications and the GMP Contract; (c) evidence of the recording of the Deed Notice (or escrow instructions to record at Closing), together with written confirmation that the late recording does not impair the NFA determination; and (d) either (i) a written modification of the NFA Letter from NCDEQ permitting residential use above the Affected Area, or (ii) revised Plans and Specifications and revised income projections eliminating residential use within the Affected Area and demonstrating compliance with **Article 16** on the revised program.

14. **GMP Contract and Bonds.** Delivery of the fully executed GMP Contract (GMP amount not less than $34,750,000), the Contractor's payment and performance bonds (100%), the Contractor's financial statements and bonding capacity evidence, and the collateral assignment of the GMP Contract.

15. **Architect's Agreement.** Delivery of the Architect's Agreement, the Architect's professional liability certificate, the collateral assignment thereof, and the Architect's consent to assignment.

16. **Plans and Specifications.** Delivery of the Plans and Specifications identified in **Schedule 10.2**, together with the Architect's certification that they are complete and permit-ready.

17. **Architectural Review Approval.** Delivery of evidence of the Brightleaf Historic District Association Architectural Review Committee's approval of the Project (or the lapse of the sixty (60) day deemed-approval period), in accordance with **Section 10.7**.

18. **Zoning and Permits.** Delivery of the Zoning Report from the City of Durham confirming that the Project is permitted as of right in the MU-D district, together with the building permit (or evidence that the building permit will issue upon recording of the Deed of Trust) and all other required permits and approvals.

19. **Insurance.** Delivery of certificates of insurance and endorsements evidencing all coverages required by **Article 20**, naming Lender as mortgagee, loss payee and additional insured, together with the flood determination.

20. **Guaranties.** Execution and delivery of the Completion Guaranty, the Carry Guaranty, the Partial Repayment Guaranty and the Environmental Indemnity by each Guarantor.

21. **Organizational Documents.** Delivery of Borrower’s Articles of Organization, the Operating Agreement (as amended), a certificate of good standing from the North Carolina Secretary of State dated within thirty (30) days of Closing, and certificates of existence and good standing for Brightleaf Investors Group LLC.

22. **Borrower Financial Statements.** Delivery of Borrower’s financial statements supporting the $12,000,000 net worth representation in **Section 14.1(e)**, including a balance sheet that properly reflects the Prior Deed of Trust and the Mezzanine Loan.

23. **Guarantor Financial Statements.** Delivery of the personal financial statements of each Guarantor (including those dated December 15, 2024 and December 18, 2024), together with evidence of combined Liquid Assets of not less than $5,000,000 and federal income tax returns for the two most recent taxable years.

24. **Legal Opinions.** Delivery of the legal opinions of Calloway & Strauss PLLC as to due organization, valid existence, due authorization, enforceability, non-consolidation and such other matters as Lender may reasonably require.

25. **Fees and Expenses.** Payment of the Origination Fee and reimbursement of Lender’s documented costs and expenses incurred through Closing (net of the $75,000 expense deposit).

26. **Mezzanine Loan Documents.** Delivery of true and complete copies of the Mezzanine Loan documents, evidence that the Mezzanine Loan is in full force and effect and not in default, and evidence of the Mezzanine Lender’s consent to the Intercreditor Agreement.

27. **No Material Adverse Change.** No material adverse change shall have occurred in the financial condition of Borrower, any Guarantor, the Project, the Property or the Durham multifamily market, and no event shall have occurred that could reasonably be expected to have a Material Adverse Effect.

28. **KYC/AML.** Completion of Lender’s customer identification, beneficial ownership and anti-money-laundering due diligence for Borrower, its members and each Guarantor, with no adverse findings.

29. **Interest Reserve Funding.** Establishment of the Interest Reserve Account and the Equity Escrow Account, each subject to a Pledged Account Agreement.

30. **Other Documents.** Delivery of such other documents, certificates, instruments, opinions, consents, waivers, estoppels, affidavits and information as Lender or its counsel may reasonably require, including any estoppel certificate from the Brightleaf Historic District Association, any utility estoppel or consent, and any party-wall or access agreement required by the Title Policy.

SCHEDULE 10.2 — PLANS AND SPECIFICATIONS

The Plans and Specifications approved by Lender consist of the drawing set prepared by Meridian Design Collective PC dated September 12, 2024 (the "**September 12 Drawing Set**"), consisting of the site plan, architectural floor plans for the podium level and residential levels 2 through 6, building elevations and sections, exterior material specifications, the landscape and hardscape plans, the parking garage layout (276 spaces), the amenity plans (rooftop terrace, fitness center, co-working lounge, pool deck, dog park), and the specifications for the Vapor Mitigation System to be installed beneath the structures constructed over the Affected Area. Borrower shall deliver the 100% construction documents and the final GMP Contract drawings to Lender not later than ten (10) days prior to the Closing Date, and Lender's approval of such documents shall be a condition to Closing. No deviation from **Schedule 10.2** shall be made except in accordance with **Section 10.2** and **Section 10.3**.

SCHEDULE 11.2 — CLOSING STATEMENT (FORM)

The Closing Statement shall be completed and approved by Lender prior to Closing and shall include, at a minimum, the following:

Item	Amount
Total Project Costs (per conformed Approved Budget, including the Refinancing Payoff)	$_____
Less: Senior Loan Commitment (as reduced under Section 2.4(c), if applicable)	($_____)
Less: Mezzanine Loan	($9,200,000)
Equals: Required Equity Contribution (not less than $2,140,000)	$_____
Sources:	
Senior Loan — Closing Advance	$ 9,475,000
Mezzanine Loan proceeds (applied to land and Developer Fee, as approved)	$ 9,200,000
Equity Escrow Account (verified third-party sources)	$_____
Other (describe)	$_____
Total Sources	$_____
Uses:	
Land acquisition (previously closed)	$ 8,200,000
Refinancing Payoff — Triangle Commercial Bank (if included as a Project Cost)	$_____

Item	Amount
Hard construction costs (GMP)	$34,750,000
Soft costs	$ 4,150,000
Interest Reserve	$ 4,850,000
Origination Fee	$ 475,000
Developer Fee	$ 2,835,000
Contingency	$ 1,440,000
Total Uses	$_____

EXHIBIT A — LEGAL DESCRIPTION OF THE PROPERTY

Parcel 1 (Durham County PIN 0821-04-72-3341) — 601 Foster Street:

Being all of that certain lot, tract, or parcel of land situated in the City of Durham, Durham County, North Carolina, and being more particularly described as follows:

BEGINNING at an existing iron pipe located in the eastern right-of-way margin of Foster Street (60-foot public right-of-way), said iron pipe being located South 02°14’33” West, 312.47 feet from the intersection of the eastern right-of-way margin of Foster Street with the southern right-of-way margin of West Corporation Street; running thence from said Beginning point along the eastern right-of-way margin of Foster Street, South 02°14’33” West, 298.62 feet to an existing iron pipe; thence departing said right-of-way margin, South 87°45’27” East, 305.41 feet to an existing iron pipe; thence North 02°14’33” East, 298.62 feet to an existing iron pipe; thence North 87°45’27” West, 305.41 feet to the point and place of BEGINNING; containing approximately 2.09 acres as shown on that survey plat recorded in Plat Book 218, Page 47, Durham County Registry.

Being the same property conveyed to Harborview Capital Partners LLC by Special Warranty Deed recorded in Book 7598, Page 443, Durham County Registry, dated June 12, 2023, from Foster Street Properties LLC.

Parcel 2 (Durham County PIN 0821-04-72-4102) — 615 Foster Street:

Being all of that certain lot, tract, or parcel of land situated in the City of Durham, Durham County, North Carolina, and being more particularly described as follows:

BEGINNING at an existing iron pipe located in the eastern right-of-way margin of Foster Street (60-foot public right-of-way), said iron pipe being the southwestern corner of Parcel 1 described above; running thence from said Beginning point along the eastern right-of-way margin of Foster Street, South 02°14’33” West, 201.88 feet to a new iron pipe; thence departing said right-of-way margin, South 87°45’27” East, 297.63 feet to a new iron pipe; thence

North 02°14’33” East, 201.88 feet to an existing iron pipe, being the southeastern corner of Parcel 1 described above; thence along the southern boundary of Parcel 1, North 87°45’27” West, 297.63 feet to the point and place of BEGINNING; containing approximately 1.38 acres as shown on that survey plat recorded in Plat Book 218, Page 48, Durham County Registry.

Being the same property conveyed to Harborview Capital Partners LLC by Special Warranty Deed recorded in Book 7598, Page 445, Durham County Registry, from Foster Street Properties LLC.

Total combined land area: approximately 3.47 acres (approximately 151,287 square feet).

Drafting note to Exhibit A. The foregoing descriptions are reproduced from the Title Commitment. The Phase I ESA describes the parcels as containing approximately 1.89 acres (Parcel 0821-04-72-3341) and 1.58 acres (Parcel 0821-04-72-4102), while the metes and bounds descriptions above compute to approximately 2.09 acres (91,201 square feet) and 1.38 acres (60,086 square feet). The Appraisal describes approximately 420 feet of frontage along Foster Street, whereas the descriptions above reflect 298.62 feet and 201.88 feet of frontage (500.50 feet combined) and locate Foster Street on the western boundary of the Property (the Phase I ESA states that the site “fronts Foster Street to the north”). These discrepancies must be resolved by the ALTA/NSPS Survey, and this Exhibit A shall be conformed to the Survey and the final Title Policy prior to recordation of the Deed of Trust. The description shall also reflect the recording of the Deed Notice and, when recorded, the Declaration of Land Use Restrictions required by the NFA Letter.

EXHIBIT B — APPROVED BUDGET

Line	Category	Description	Amount	Funded by Senior Loan	Funded by Mezzanine Loan	Funded by Equity
1.01	Land acquisition	601 and 615 Foster Street (3.47 acres) — previously closed	$8,200,000	$0	$8,200,000	$0
I		**Subtotal — Land**	**$8,200,000**	**$0**	**$8,200,000**	**$0**
2.01	Hard costs	Site work — demolition, grading, utilities, paving	$3,180,000	$3,180,000	$0	$0
2.02	Hard costs	Foundations — deep foundations, mat slab, waterproofing	$2,950,000	$2,950,000	$0	$0
2.03	Hard costs	Structural — concrete and steel (podium and superstructure)	$6,420,000	$6,420,000	$0	$0
2.04	Hard costs	Building envelope — cladding, windows, roofing	$4,275,000	$4,275,000	$0	$0
2.05	Hard costs	MEP systems — mechanical, electrical, plumbing, fire protection	$5,850,000	$5,850,000	$0	$0

Line	Category	Description	Amount	Funded by Senior Loan	Funded by Mezzanine Loan	Funded by Equity
2.06	Hard costs	Interior finishes — residential (212 units)	$5,940,000	$5,940,000	$0	$0
2.07	Hard costs	Interior finishes — retail (18,400 SF; 7 bays)	$920,000	$920,000	$0	$0
2.08	Hard costs	Parking structure (4 levels; 276 spaces), including Vapor Mitigation System	$3,590,000	$3,590,000	$0	$0
2.09	Hard costs	Amenities and common areas	$1,625,000	$1,625,000	$0	$0
II		**Subtotal — Hard Costs (GMP)**	**$34,750,000**	**$34,750,000**	**$0**	**$0**
3.01	Soft costs	Architecture and engineering	$1,680,000	$1,680,000	$0	$0
3.02	Soft costs	Permits and impact fees	$685,000	$685,000	$0	$0
3.03	Soft costs	Legal fees — Borrower	$425,000	$425,000	$0	$0
3.04	Soft costs	Legal fees — Lender, title and escrow	$310,000	$310,000	$0	$0
3.05	Soft costs	Environmental and geotechnical	$185,000	$185,000	$0	$0
3.06	Soft costs	Appraisal	$35,000	$35,000	$0	$0
3.07	Soft costs	Title insurance and recording	$245,000	$245,000	$0	$0
3.08	Soft costs	Construction inspection and monitoring	$125,000	$125,000	$0	$0
3.09	Soft costs	Builder’s risk insurance	$210,000	$210,000	$0	$0
3.10	Soft costs	Marketing and lease-up	$250,000	$250,000	$0	$0
III		**Subtotal — Soft Costs**	**$4,150,000**	**$4,150,000**	**$0**	**$0**
4.01	Financing	Interest reserve (30 months)	$4,850,000	$4,850,000	$0	$0
4.02	Financing	Loan origination fee (1.00%)	$475,000	$475,000	$0	$0
IV		**Subtotal — Financing Costs**	**$5,325,000**	**$5,325,000**	**$0**	**$0**
5.01	Developer fee	5.00% of total project costs	$2,835,000	$1,835,000	$1,000,000	$0
V		**Subtotal — Developer Fee**	**$2,835,000**	**$1,835,000**	**$1,000,000**	**$0**
6.01	Contingency	Hard cost contingency (approximately 3.3% of hard costs)	$1,140,000	$1,140,000	$0	$0
6.02	Contingency	Soft cost contingency (approximately 7.2% of soft costs)	$300,000	$300,000	$0	$0
VI		**Subtotal — Contingency**	**$1,440,000**	**$1,440,000**	**$0**	**$0**
		TOTAL PROJECT COSTS	**$56,700,000**	**$47,500,000**	**$9,200,000**	**$0**

Notes to Exhibit B. (1) This Exhibit reproduces the Borrower's construction budget and draw schedule workbook dated January 8, 2025. (2) As delivered, the budget allocates the entire $8,200,000 land acquisition cost and $1,000,000 of the Developer Fee to proceeds of the Mezzanine Loan, and reflects **$0** of Equity Contributions. This allocation is inconsistent with the statement in Section 5.1 of the Term Sheet (which reflects Borrower equity of $0 and no source for the land cost) and with the requirement that Borrower fund the Required Equity Contribution from verified third-party sources; it is also inconsistent with any characterization of the land as a contributed equity. (3) The budget does not include any line item for the Refinancing Payoff of the Prior Deed of Trust ($3,400,000 original principal), for any Mezzanine Loan interest (which is payable-in-kind during the Construction Period at 12.50% per annum), or for the Brightleaf Historic District Association assessment (approximately $34,500 per annum at $0.12 per square foot of gross building area). (4) The budget must be conformed in accordance with **Section 11.2** prior to Closing, and the conformed budget (Exhibit B-1) shall then supersede this Exhibit B.

EXHIBIT C — DRAW SCHEDULE

This Draw Schedule supersedes Section 9.2 of the Term Sheet and the draw schedule page of the Borrower's workbook dated January 8, 2025.

Draw	Milestone	Cumulative % Complete	Estimated Date	Hard Costs in Place (Gross)	Retainage (10%)	Net Hard Cost Advances	Soft Costs	Interest Reserve	Origination Fee	Developer Fee	Contingency	Total Advance	Cumulative Advances
1	Closing — soft costs, interest reserve, origination fee	0%	Feb 28, 2025	$0	$0	$0	$4,150,000	$4,850,000	$475,000	$0	$0	**$9,475,000**	$9,475,000
2	Foundation complete	15%	Jun 2025	$5,212,500	$521,250	$4,691,250	$0	$0	$0	$0	$0	**$4,691,250**	$14,166,250
3	Structural frame — Level 3	35%	Nov 2025	$6,950,000	$695,000	$6,255,000	$0	$0	$0	$0	$0	**$6,255,000**	$20,421,250
4	Structural frame — topped out	55%	Apr 2026	$6,950,000	$695,000	$6,255,000	$0	$0	$0	$0	$0	**$6,255,000**	$26,676,250
5	Building envelope complete	70%	Aug 2026	$5,212,500	$521,250	$4,691,250	$0	$0	$0	$0	$0	**$4,691,250**	$31,367,500
6	MEP rough-in complete	80%	Nov 2026	$3,475,000	$347,500	$3,127,500	$0	$0	$0	$0	$300,000	**$3,427,500**	$34,795,000
7	Interior finish — 50% of units	90%	Mar 2027	$3,475,000	$347,500	$3,127,500	$0	$0	$0	$500,000	$400,000	**$4,027,500**	$38,822,500
8	Substantial completion / TCO	100%	Aug 2027	$3,475,000	$347,500	$3,127,500	$0	$0	$0	$600,000	$400,000	**$4,127,500**	$42,950,000
9	Retainage	100%	Oct 2027	$0	($3,475,000)	$3,475,000	$0	$0	$0	$735,000	$340,000	**$4,550,000**	$47,500,000

Draw	Milestone	Cumulative % Complete	Estimated Date	Hard Costs in Place (Gross)	Retainage (10%)	Net Hard Cost Advances	Soft Costs	Interest Reserve	Origination Fee	Developer Fee	Contingency	Total Advance	Cumulative Advances
	release and final close-out (post-CO)				release								
	TOTAL			**$34,750,000**	**$3,475,000**	**$31,275,000**	**$4,150,000**	**$4,850,000**	**$475,000**	**$1,835,000**	**$1,440,000**	**$47,500,000**	

Notes to Exhibit C. (1) Retainage equals ten percent (10%) of each hard cost advance and aggregates $3,475,000 (10.00% of the $34,750,000 of hard costs). Retainage is withheld from Draws 2 through 8 and released as part of Draw 9 upon satisfaction of **Section 9.3(b)**. (2) Aggregate hard cost disbursements (net advances of $31,275,000 plus Retainage released of $3,475,000) equal $34,750,000, the GMP amount. (3) The aggregate of all Advances equals $47,500,000, comprising hard costs of $34,750,000, soft costs of $4,150,000, Interest Reserve of $4,850,000, Origination Fee of $475,000, Developer Fee of $1,835,000 (the balance of the $2,835,000 Developer Fee being funded by the Mezzanine Loan) and contingency of $1,440,000. (4) Contingency amounts may be advanced only for Approved Change Orders or documented cost overruns approved by Lender in accordance with **Section 11.5** and may be reallocated among Draws 6 through 9. (5) Developer Fee amounts are subject to **Section 11.6**. (6) If the Commitment is reduced under **Section 2.4(c)**, the amounts in the draw schedule shall be reduced ratably from Draw 9 backward. (7) No Advance shall be made unless the conditions of **Article 9** are satisfied. (8) This Exhibit C corrects the internal inconsistencies in the draw schedule attached to the Term Sheet, in which (a) Draws 2 through 8 total $34,750,000 (one hundred percent of the GMP) notwithstanding a stated ten percent (10%) retainage, (b) Draw 9 labeled “Retainage Release” totals $3,275,000 (approximately 9.42% of hard costs) rather than $3,475,000, and (c) the Developer Fee and contingency line items were not allocated to any Draw.

EXHIBIT D — PERMITTED EXCEPTIONS

The Title Policy may contain only the following exceptions:

1. **Standard printed exceptions** (numbers 1 through 6 of Schedule B-II of the Title Commitment), to the extent modified or deleted upon delivery of the ALTA/NSPS Survey and an affidavit of possession in accordance with the Title Commitment and **Section 12.5**; and in all events the mechanics’ and materialmen’s lien exception (number 4) shall be deleted or affirmatively insured over in accordance with **Section 12.6**.

2. **Ad valorem real property taxes for the fiscal year 2025 and subsequent years**, not yet due and payable. The 2024 ad valorem taxes for Parcel 0821-04-72-3341 ($29,847.12) and Parcel 0821-04-72-4102 ($19,218.44) have been paid in full.

3. **Duke Energy Carolinas, LLC easement** — easement agreement recorded in Book 4387, Page 621, Durham County Registry, dated March 22, 1997, being twenty (20) feet in width along the western boundary of Parcel

0821-04-72-3341, for electric utility lines, poles, guys, anchors and related facilities, including rights of ingress and egress.

4. **City of Durham Stormwater Management Easement** — recorded in Book 7421, Page 212, Durham County Registry, dated April 8, 2022, affecting approximately 0.22 acres in the southern portion of Parcel 0821-04-72-3341, as depicted on the plat recorded in Plat Book 232, Page 91, for drainage pipes, retention basins and related stormwater infrastructure.

5. **Declaration of Covenants, Conditions and Restrictions** — recorded by the Brightleaf Historic District Association, Inc. in Book 6984, Page 1155, Durham County Registry, dated November 3, 2014, as amended by the First Amendment recorded in Book 7102, Page 388, dated June 19, 2017, including the architectural review and design standards (Article V), the assessment obligations (Article VII, currently $0.12 per square foot of gross building area per annum), the use restrictions (Article IV, Section 4.3), and the enforcement and injunctive relief provisions (Article IX, Section 9.2).

6. **City of Durham Unified Development Ordinance and MU-D zoning regulations** — setbacks, height, floor area ratio, parking, open space, public art and design overlay requirements applicable in the Downtown Development Tier, to the extent not violated by the Project as designed.

7. **Facts ascertainable by inspection of the Land** (exception 13 of Schedule B-II of the Title Commitment), as modified or deleted upon delivery of an affidavit of possession and the ALTA/NSPS Survey.

8. **Deed Notice and Declaration of Land Use Restrictions** required by Condition 4 of the NFA Letter, when recorded, **provided** that (a) the form and content of the recorded instrument has been approved in writing by Lender, (b) the Title Policy insures Lender’s Deed of Trust as a first priority lien notwithstanding such instrument, and (c) the instrument does not restrict the use of any portion of the Property other than the Affected Area or impose any obligation on Lender.

The following are NOT Permitted Exceptions and must be released or insured over at or before Closing: the deed of trust from Foster Street Properties LLC to the trustee for Triangle Commercial Bank dated September 14, 2018, recorded in Book 6215, Page 892 (original principal amount $3,400,000) (Exception 10 of the Title Commitment); any mechanics’ or materialmen’s lien arising from work performed prior to Closing; any judgment, tax or assessment lien; any unpermitted easement, option, right of first refusal or restrictive covenant; and any other monetary lien.

EXHIBIT E — ENVIRONMENTAL REQUIREMENTS (NFA LETTER COMPLIANCE)

NFA Condition	Requirement	Deadline Under NFA Letter	Borrower's Obligation Under This Agreement	Evidence Required by Lender
Condition 1 — Vapor Mitigation System	Passive sub-slab depressurization system with conversion capability, designed by a North Carolina licensed professional engineer, installed beneath any enclosed structure over the Affected Area in accordance with NCDEQ Division of Waste Management guidance	As-built drawings and performance verification report to NCDEQ within ninety (90) days after completion of the building foundation in the Affected Area	**Section 19.2(a)**; design incorporated into Plans and Specifications and GMP Contract (Budget line 2.08); maintenance and annual certification for so long as the NFA Letter remains in effect	Design documents and engineer's certification at Closing; NCDEQ submission and response; annual inspection and certification
Condition 2 — Non-Residential Land Use Restriction	Future use of the approximately 0.38-acre Affected Area restricted to non-residential purposes; any change to residential or other sensitive use requires additional investigation and/or remediation and a modification of the NFA determination	Ongoing	**Section 19.2(b)** and **Section 17.1(k)**: no residential use or occupancy within the Affected Area absent a written NCDEQ modification approved by Lender; alternatively, redesign of affected space as non-residential and revised income projections	NCDEQ modification letter, or revised Plans and Specifications and revised projections demonstrating compliance with **Article 16**
Condition 3 — Soil Management Plan	NCDEQ-approved plan governing soil screening, stockpile management, dust control, worker health and safety, and disposal of impacted soil for any subsurface disturbance in the Affected Area	Prior to commencement of any construction activities involving subsurface disturbance in the Affected Area	**Section 19.2(c)**; incorporation into construction documents; training of site personnel; delivery to Contractor and subcontractors	Copy of the plan and NCDEQ approval; Contractor's acknowledgment; training records
Condition 4 — Deed Notice	Notice recorded in the Durham County Registry of Deeds describing the Affected Area, the nature and extent of residual contamination, and the non-residential use restriction	Within sixty (60) days after September 30, 2024 (i.e., by November 29, 2024)	**Section 19.2(d)**; recording at or before Closing; confirmation that late recording does not impair the NFA determination; Lender approval of the form of instrument	Certified copy of the recorded Deed Notice with recording stamp; NCDEQ or environmental counsel confirmation; title date-down showing the instrument as an approved exception
Ongoing — Groundwater / Soil Gas	Post-remediation groundwater monitoring demonstrated compliance with North Carolina	Ongoing per NCDEQ	**Section 19.3** and **Section 19.4**	Monitoring reports; notice of any exceedance

NFA Condition	Requirement	Deadline Under NFA Letter	Borrower's Obligation Under This Agreement	Evidence Required by Lender
	2L Groundwater Quality Standards; soil gas results support the vapor mitigation requirement			
Ongoing — Additional Remediation	Additional investigation or remediation may be required if site conditions, standards or use change	Upon NCDEQ requirement	**Section 19.4**; cost borne by Borrower; not funded by the Loan unless approved by Lender	NCDEQ directives and Borrower's response plan

Summary of the disclosed environmental condition. The Phase I ESA identifies one Recognized Environmental Condition: residual petroleum contamination (TPH-DRO and benzene) in soil and soil gas in the northeast corner of Parcel 0821-04-72-4102, associated with a former 2,000-gallon diesel underground storage tank. Maximum detected concentrations (TPH-DRO 847 mg/kg; benzene 0.42 mg/kg) exceed the NCDEQ residential Preliminary Soil Remediation Goals (100 mg/kg and 0.065 mg/kg, respectively) but are below the non-residential PSRGs (1,000 mg/kg and 0.89 mg/kg). Soil gas benzene of 185 µg/m³ at SG-04 exceeds the NCDEQ residential sub-slab screening level of 31 µg/m³. Remediation in September 2024 removed impacted soil; residual contamination above residential standards remains in situ at depths of 10 to 14 feet below grade along the eastern property boundary. NCDEQ issued a conditional NFA determination on September 30, 2024. The Phase I ESA classifies the condition as a REC (rather than a CREC) because the Deed Notice had not been recorded and the Vapor Mitigation System had not been installed as of the date of the assessment.

EXHIBIT F — CONDITIONS TO EXTENSION OPTION

Borrower may exercise the Extension Option only if each of the following conditions is satisfied on or before the Construction Maturity Date (or such earlier date as is specified), each to Lender's satisfaction:

(a) **No Default.** No Default or Event of Default exists and no condition exists that, with notice or lapse of time or both, would constitute a Default or an Event of Default under any Loan Document or the Intercreditor Agreement.

(b) **Final Completion.** Substantial Completion has been achieved and a final, unconditional certificate of occupancy has been issued by the City of Durham for all residential units, all retail bays and the parking garage; and all conditions to the release of Retainage under **Section 9.3(b)** (other than the release itself) have been satisfied or are being satisfied concurrently.

(c) **Occupancy.** Not less than seventy-five percent (75%) of the residential units are leased under executed leases having initial terms of at least twelve (12) months and are physically occupied.

(d) **DSCR.** The DSCR, calculated as of the date of the extension request using actual trailing three (3) month annualized in-place net operating income and Senior Debt Service at the then-current Mini-Perm Rate, is not less than 1.15x.

(e) **Combined DSCR.** The Combined DSCR, calculated as of the date of the extension request on the same basis (giving effect to all cash and paid-in-kind Mezzanine Debt Service then payable or accruing), is not less than 1.00x, or Borrower has delivered evidence reasonably satisfactory to Lender that the Mezzanine Loan will be repaid or restructured at or before the Extended Maturity Date, or that a permanent take-out financing has been committed.

(f) **Extension Fee.** Payment of the Extension Fee required by **Section 5.4**.

(g) **Interest Rate Cap.** Delivery of evidence of an interest rate cap agreement for the extension period, with a notional amount not less than the outstanding principal balance of the Loan, a strike rate approved by Lender in its reasonable discretion, a term coextensive with the extension period, and a counterparty (or guarantor) having a long-term credit rating of at least A- (S&P) or A3 (Moody's), collaterally assigned to Lender.

(h) **Environmental.** No material non-compliance with the NFA Letter, the Soil Management Plan or the Deed Notice; no new environmental condition, notice of violation or claim; and delivery of the then-current Vapor Mitigation System certification.

(i) **Intercreditor Agreement.** The Intercreditor Agreement remains in full force and effect and no default exists thereunder.

(j) **Updated Appraisal.** Delivery of an updated appraisal from an MAI-designated appraiser acceptable to Lender, confirming that the Loan-to-Value Ratio based on the outstanding principal balance and the as-stabilized value does not exceed seventy percent (70%).

(k) **Representations.** All representations and warranties in the Loan Documents remain true and correct in all material respects.

(l) **Financial Covenants.** Borrower and the Guarantors are in compliance with each Financial Covenant (after giving effect to any permitted equity cure).

(m) **Notice.** Written notice of Borrower's election to exercise the Extension Option, delivered to Lender not less than sixty (60) days prior to the Mini-Perm Maturity Date and in any event not later than March 1, 2028.

(n) **Take-Out Plan.** Delivery of an updated plan under **Section 6.4** describing Borrower's strategy for repayment of the Loan on or before the Extended Maturity Date.

(o) **Other.** Delivery of such other certificates, endorsements (including a date-down of the Title Policy), insurance evidence and documents as Lender may reasonably require.

EXHIBIT G — FORM OF DRAW REQUEST

DRAW REQUEST NO. ___ — PINNACLE SAVINGS BANK, N.A., LOAN NO. CRE-2025-0342

Date of Request: _____ Requested Funding Date: _____ Draw No.: ____ Milestone: _____

1. Amounts Requested

Component	Amount
Hard costs in place since last Draw (gross)	$_____
Less: Retainage (10%)	($_____)
Net hard cost advance	$_____
Soft costs	$_____
Developer Fee (if permitted under Section 11.6)	$_____
Contingency (Approved Change Orders)	$_____
Total Advance Requested	**$_____**
Cumulative Advances (including this request)	$_____
Remaining Commitment	$_____

2. Required Attachments (check each): ☐ AIA G702/G703 certified by Architect and Contractor; ☐ Updated construction progress report and schedule; ☐ Construction inspector's certification; ☐ Partial lien waivers (all contractors, subcontractors and materialmen); ☐ Title date-down endorsement; ☐ Certificates of insurance; ☐ Budget reconciliation and remaining-cost analysis; ☐ Interest Reserve reconciliation and adequacy test; ☐ Evidence of Equity Contributions applied; ☐ Evidence of NFA/Soil Management Plan compliance (if work in the Affected Area); ☐ Certified Rent Roll (if applicable); ☐ Change order log.

3. Certifications. The undersigned, on behalf of Borrower, certifies that: (a) all costs for which reimbursement is requested have been incurred in accordance with the Plans and Specifications and the Approved Budget and are not the

subject of any dispute; (b) no Default or Event of Default exists and no condition exists that, with notice or lapse of time or both, would constitute a Default or an Event of Default; (c) each representation and warranty in the Loan Documents is true and correct in all material respects as of the date hereof; (d) the remaining undisbursed Loan proceeds, Retainage, contingency and committed Equity Contributions are sufficient to complete the Project in accordance with the Approved Budget; (e) the Loan-to-Cost Ratio and Loan-to-Value Ratio comply with **Article 16**; and (f) Borrower is in compliance with the NFA Letter and the Soil Management Plan.

HARBORVIEW CAPITAL PARTNERS LLC

By: _____ Name: Elena Vasquez-Torres Title: Managing Member

Reviewed and approved by Lender: _____ *Date:* _____

EXHIBIT H — FORM OF COMPLIANCE CERTIFICATE

COMPLIANCE CERTIFICATE — LOAN NO. CRE-2025-0342 — For the period ended _____

The undersigned, the Managing Member of Harborview Capital Partners LLC, certifies, based on a review of the financial statements and other information furnished herewith and to the best of his or her knowledge after due inquiry, that:

1. The financial statements delivered herewith fairly present in all material respects the financial condition and results of operations of Borrower as of the date and for the period indicated, in accordance with GAAP.

2. No Default or Event of Default exists (or, if one exists, a description of the Default or Event of Default and the actions being taken is attached).

3. All representations and warranties in the Loan Documents remain true and correct in all material respects.

4. Borrower is in compliance with the NFA Letter, the Soil Management Plan and the Deed Notice, and no environmental condition, notice or claim has arisen except as described in the attached schedule.

5. Borrower and the Guarantors are in compliance with each Financial Covenant set forth in the following table:

Covenant	Requirement	Measured Value	Compliance
LTV (as-completed / as-stabilized) — **§16.1**	≤ 65%	_____%	☐ Yes ☐ No
LTC — **§16.2**	≤ 80%	_____%	☐ Yes ☐ No

Covenant	Requirement	Measured Value	Compliance
DSCR (senior debt service) — **§16.3**	≥ 1.25x	_____x	☐ Yes ☐ No
Combined DSCR (senior plus mezzanine) — **§16.4**	≥ 1.10x	_____x	☐ Yes ☐ No
Borrower net worth — **§16.5**	≥ $12,000,000	$_____	☐ Yes ☐ No
Guarantor combined Liquid Assets — **§16.6**	≥ $5,000,000	$_____	☐ Yes ☐ No
Guarantor combined net worth — **§16.7 / §13.8(a)**	≥ $30,000,000	$_____	☐ Yes ☐ No
Each Guarantor net worth — **§13.8(b)**	≥ $8,000,000	$_____ / $_____	☐ Yes ☐ No
Interest Reserve balance — **§8.4**	Adequate through Construction Maturity Date	$_____	☐ Yes ☐ No

6. [If applicable] The Mezzanine Loan is not in default, the outstanding balance is $_____, and the amount of paid-in-kind interest accrued and capitalized to date is $_____.

HARBORVIEW CAPITAL PARTNERS LLC

By: _____ Name: Elena Vasquez-Torres Title: Managing Member Date: _____